



City of Gallatin, Tennessee

Annual Comprehensive Financial Report
For the Fiscal Year Ended June 30, 2022

Prepared by the City of Gallatin Finance Director

City of Gallatin, Tennessee
Annual Comprehensive Financial Report
For the Fiscal Year Ended June 30, 2022

Contents

Introductory Section

Letter of Transmittal	<i>i</i>
Directory	<i>v</i>

Financial Section

Independent Auditor's Report	1
Management's Discussion and Analysis	4
Basic Financial Statements	
Government-wide Financial Statements	
Statement of Net Position	12
Statement of Activities	14
Fund Financial Statements	
Balance Sheet - Governmental Funds	15
Reconciliation of Balance Sheet to Statement of Net Position - Governmental Funds	17
Statement of Revenues, Expenditures, and Changes in Fund Balances - Governmental Funds	18
Reconciliation of the Statement of Revenues, Expenditures, and Changes in Fund Balances of Governmental Funds to the Statement of Activities	19
Statement of Fund Net Position - Proprietary Funds	20
Statement of Revenues, Expenses, and Changes in Fund Net Position - Proprietary Funds	22
Statement of Cash Flows - Proprietary Funds	23
Statement of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual - General Fund	25
Statement of Fiduciary Net Position - Pension Trust Fund - Electric Department	35
Statement of Changes in Fiduciary Net Position - Pension Trust Fund - Electric Department	36
Notes to the Financial Statements	37
Required Supplementary Information	
Schedule of Changes in Net Pension Liability (Asset) and Related Ratios Based on Participation in the Public Employee Hybrid Pension Plan of the TCRS	78
Schedule of Contributions Based on Participation in the Public Employee Hybrid Pension Plan of the TCRS	79
Schedule of Changes in Net Pension Liability (Asset) and Related Ratios Based on Participation in the Gallatin Electric Department Employee Pension Plan	80
Schedule of Contributions Based on Participation in the Gallatin Electric Department Employee Pension Plan	81
Schedule of Investment Returns Based on Participation in the Gallatin Electric Department Employee Pension Plan	82
Schedule of Changes in Total OPEB Liability and Related Ratios - Electric Department	83
Supplementary Information	
Combining Balance Sheet - Nonmajor Governmental Funds	84
Combining Statement of Revenues, Expenditures, and Changes in Fund Balances - Nonmajor Governmental Funds	85
Schedules of Revenues, Expenditures, and Changes in Fund Balances - Budget and Actual	
Special Services Fund	86
Drug Fund	87
Environmental Services Fund	88
Stormwater Utility Fund	89
Industrial Development Board	90

City of Gallatin, Tennessee
Annual Comprehensive Financial Report
For the Fiscal Year Ended June 30, 2020

Contents

Financial Section

Supplementary Information	
Supplementary Schedules	
Schedule of Expenditures of Federal Awards and State Financial Assistance	91
Schedule of Changes in Long-term Debt by Individual Issue	93
Schedule of Long-term Debt, Principal, and Interest Requirements - Governmental Activities	94
Schedule of Long-term Debt, Principal, and Interest Requirements - Business-type Activities	95
Schedule of Changes in Lease Obligations	96
Schedule of Lease Obligations, Principal, and Interest Requirements by Fiscal Year	97
Schedule of Electric Rates in Force - Unaudited	98
Schedule of Water and Sewer Rates in Force - Unaudited	100
Schedule of Gas Rates in Force - Unaudited	101

Statistical Section

Financial Trends Information	
Net Position by Component - Last Ten Fiscal Years	102
Changes in Net Position - Last Ten Fiscal Years	103
Fund Balances of Governmental Funds - Last Ten Fiscal Years	105
Changes in Fund Balances of Governmental Funds - Last Ten Fiscal Years	106
Revenue Capacity Information	
Assessed Value and Estimated Actual Value of Taxable Property - Last Ten Tax Years	107
Principal Property Taxpayers - Current Year and Nine Years Ago	108
Property Tax Levies and Collections - Last Ten Fiscal Years	109
Debt Capacity Information	
Ratios of Outstanding Debt by Type - Last Ten Fiscal Years	110
Ratios of General Bonded Debt Outstanding - Last Ten Fiscal Years	111
Pledged Revenue Coverage - Last Ten Fiscal Years	112
Demographic and Economic Information	
Demographic and Economic Statistics - Last Ten Fiscal Years	113
Principal Employers - Current Year and Nine Years Ago	114
Operating Information	
Full-Time Equivalent City Government Employees by Function/Program - Last Ten Fiscal Years	115
Operating Indicators by Function/Program - Last Ten Fiscal Years	116
Capital Asset Statistics by Function/Program - Last Ten Fiscal Years	117

Internal Control and Compliance Section

Independent Auditor's Report on Internal Control Over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance with <i>Government Auditing Standards</i>	118
Independent Auditor's Report on Compliance for Each Major Federal Program and on Internal Control over Compliance Required by the Uniform Guidance	120
Schedule of Findings and Questioned Costs	123
Schedule of Prior Year Findings	125
Management's Corrective Action Plan	126

Introductory Section



December 19, 2022

Honorable Mayor, City Council, and Citizens of the City of Gallatin,

State law requires that every general-purpose government publish a complete set of audited financial statements within six months of the close of each fiscal year. This report is published to fulfill that requirement for the fiscal year ended June 30, 2022. This report consists of management's representations concerning the finances of the City of Gallatin. To provide a reasonable basis for making these representations, management of the City of Gallatin has established a comprehensive internal control framework that is designed both to protect the city's assets from loss, theft, or misuse and to compile sufficient reliable information for the preparation of the City of Gallatin's financial statements in conformity with GAAP. Because the cost of internal controls should not outweigh their benefits, the City of Gallatin's comprehensive framework of internal controls has been designed to provide reasonable rather than absolute assurance that the financial statements will be free from material misstatement. Management assumes full responsibility for the completeness and reliability of all the information presented in this report.

The City of Gallatin's financial statements have been audited by Blankenship CPA Group, PLLC, a firm of licensed certified public accountants. The goal of the independent audit was to provide reasonable assurance that the financial statements of the City of Gallatin, for the fiscal year ended June 30, 2022, are presented fairly in all material aspects. The independent audit involved examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements; assessing the accounting principles used and significant estimates made by management; and evaluating the overall financial statement presentation. The independent auditor concluded, based upon the audit, that there was a reasonable basis for rendering an unmodified opinion that the City of Gallatin's financial statements, for the fiscal year ended June 30, 2022, are fairly presented in all material aspects in conformity with GAAP. The independent auditor's report is presented as the first component of the financial section of this report. GAAP requires that management provide a narrative introduction, overview, and analysis to accompany the basic financial statements in the form of Management's Discussion and Analysis (MD&A). This letter of transmittal is designed to complement the MD&A and should be read in conjunction with it. The City of Gallatin's MD&A can be found beginning on page 3, immediately following the report of the independent auditors.

PROFILE OF THE CITY OF GALLATIN

The City of Gallatin, population of 50,160, is located in Sumner County, Tennessee and is the county seat for Sumner County. It is approximately 30 miles northeast of downtown Nashville, and is served by numerous major highways including U.S. 31-E, State Route 386, State Route 109, and State Route 25. The City of Gallatin was founded in 1802, incorporated in 1954, and operates under the City Mayor/City Council form of government. The Municipality's legislative body is a seven member City Council that is elected, one each for 5 council districts and two at-large

members. Each Councilmember is elected to a four-year alternating term with elections conducted every two years. The Mayor is chief administrative officer of the Municipality and presides at meetings of the Council.

The City of Gallatin provides a wide range of services which include police and fire protection, the construction and maintenance of highways, streets, and other infrastructure, sanitation services, recreational and cultural services, planning and zoning, and general administrative services. Additionally, the City owns and operates its water (17,607 customers), wastewater (14,810 customers), natural gas (16,377 customers), and electric (24,247 customers) systems. For very small, outlying populations, White House Utility District provides water service.

All of the City's Governmental funds are annually appropriated. The City Council is required to adopt a final budget by no later than the close of the fiscal year. This annual budget serves as the foundation for the City's financial planning and control. In February of each year, Department Heads submit their budget requests to the Mayor and Finance Director. The Mayor conducts departmental meetings in March of each year, and the Finance Director makes revenue estimates for the upcoming year. The budget is submitted to City Council in April. First reading of the Budget is usually in May, second reading is usually in May/June but no later than June 30, the close of the City's fiscal year. The budget is prepared by fund (i.e. general) and department (i.e. police). Department heads are authorized to expend funds within total departmental appropriations. However, amendments to the budget that change departmental and/or total appropriations require the adoption of an ordinance by the City Council. Budget transfers between departments require approval of the City Council. Budget to actual comparisons are provided in this report for each governmental fund for which an appropriated annual budget has been adopted.

LOCAL ECONOMY

The City of Gallatin continues its strong growth in both the residential and business sectors, maintaining the trajectory established over the last several years. Gallatin has held true to its strategic plan for attracting business, keeping technology, corporate office/back office and amenities as our focus.

Continuing to benefit from our proximity to Nashville and the unprecedented growth occurring in middle Tennessee, the City saw more than 10,000 building permits issued this past year with a valuation of more than \$1.9 billion. A majority of those dollars were in the commercial space, which included more than 1 million square feet of data halls, more than a dozen restaurants/eateries and multiple hotels. Residential growth continues to be strong, with the City now having reached 50,160 in population, up 75% from the 2010 census and 17% from the 2020 census. The completion of a \$36 M road project, Albert Gallatin Avenue opened access to the 680-acre Nexus development that is well under way. The development includes a 100-acre Planned Business Park capable of hosting more than one million sq. feet of light industrial and office space, 145 acres of commercial development and housing options with more than 1,350 single family houses and 900 apartments. With thousands of approved building lots inside the city limits, the consistent gain of more than 200 residents a month realized over the last 10 years

will continue for the foreseeable future. This commercial and residential growth has pushed sales tax collections to over a million dollars a month for the past 20 months and property tax collections to an all-time high, creating an economic stability that is unmatched in Gallatin's recent history.

LONG-TERM FINANCIAL PLANNING

In 2018, the City began developing a comprehensive long range plan, *Plan Gallatin*, for future growth and development of the city. The city's Planning Commission has formally adopted the plan and the City Council will formally adopt soon with a few minor changes to the plan. Additionally, a formalized Capital Improvement Plan was adopted during the 2022 fiscal year with department heads projecting major needs for the upcoming 10 years. The plan is updated at least annually, if not more frequently, with new information on previously submitted projects and the addition of new future projects. The CIP is used to plan for long-term capital funding, whether it be pay-as-you-go or debt issues.

The City has numerous capital projects currently funded and under construction. Included are various city-wide infrastructure projects such as roads, streets, sidewalks, greenways, water lines, sewer lines, and gas lines. Many of these projects are being funded wholly or in part by Federal and State grants. Capital projects underway include: equalization basin for heavy rainfall events; new water storage tank; signal grant for synchronized signalization along major thoroughfares; new traffic signal installations; various roadway improvements; purchase of a new fire engine; purchase of heavy equipment for Streets and Environmental Services departments; miscellaneous roadway and drainage projects; new utility line installation and existing line rehabilitation; new park facilities and park upgrades; new golf carts for the city-owned course; partnership with Sumner County government for a downtown parking structure; existing utility office renovations; and a police and fire training center with police gun range.

FINANCIAL POLICIES

The City is committed to protecting its taxpayers' funds. Management continues to take a very conservative approach to budgeting and spending in order to lessen the chance of a revenue shortage and mid-year program cuts. This approach will help finance contingencies and unforeseen budget amendments. The City of Gallatin recognizes the importance of a diversified revenue system, and strives to not rely too heavily on one source. Currently the city general fund revenue sources are approximately one-third sales tax, one-third property tax, and one-third all other revenues. The City routinely reviews its various rates and fees and considers inflation and current market rates. The City Council has formally adopted Fund Balance Policies for the General Fund and for the enterprise funds which indicate that they will maintain a minimum unassigned fund balance of 25% of the operating expenditures in each of those funds. Additionally, the City has a formally adopted Capital Improvement Plan, Purchasing Policy, Internal Financial Controls Policy, Debt Management Policy, and Investment Policy, all of which are updated periodically and which serve to further strengthen its overall fiduciary duties to the citizens of Gallatin.

AWARDS AND ACKNOWLEDGEMENTS

The preparation of this report on a timely basis could not have been accomplished without the dedicated services of the Finance department staff of the City of Gallatin. Credit must also be given to the City Mayor and City Council for their support of excellence in financial reporting and fiscal integrity. Also, the City is grateful to the staffs of Blankenship CPA Group, PLLC and Jobe, Hastings & Associates, CPA's for their invaluable guidance and assistance.

Respectfully Submitted,

Rachel Nichols

Rachel Nichols

Director of Finance

City of Gallatin | 132 West Main Street | Gallatin, TN 37066 | 615.451.5963

City of Gallatin, Tennessee

Directory
As of June 30, 2022

ELECTED OFFICIALS

Paige Brown, Mayor
Lynda Love, Council Member
William C. Hayes, Council Member
Steve Fann, Council Member
John D. Alexander, Council Member
James W. Overton, Council Member
Eileen George, Council Member
Shawn Fennell, Council Member, Vice Mayor
Connie Kittrell, Recorder

MANAGEMENT TEAM

Rachel Nichols, Director of Finance, CMFO
Richard Depriest, Director of Public Works
David Kellogg, Superintendent of Public Utilities
Donald Bandy, Chief of Police
Jeff Beaman, Fire Chief
Charles Stuart, Director of Codes
William McCord, Director of Planning
David Brown, Director of Leisure Services
Connie Flood, Director of Human Resources
James Fenton, Director of Economic Development
Nick Tuttle, City Engineer
Lori Smiley, Director of Information Technology
Mark Kimbell, Electric Department Manager

COUNSEL

Susan High-McAuley
City Attorney
Gallatin, Tennessee

Financial Section



Independent Auditor's Report

Honorable Paige Brown, Mayor, and Members of the City Council
City of Gallatin, Tennessee

Report on the Audit of the Financial Statements

Opinions

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Gallatin, Tennessee (the City), as of and for the year ended June 30, 2022, and the related notes to the financial statements, which collectively comprise the City's basic financial statements as listed in the table of contents.

In our opinion, based on our audit and the report of the other auditors, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City, as of June 30, 2022, and the respective changes in financial position and, where applicable, cash flows thereof and the respective budgetary comparison for the general fund for the year then ended in accordance with accounting principles generally accepted in the United States of America.

We did not audit the financial statements of the Department of Electricity (Electric Department), which represent 24%, 23%, and 64%, respectively, of the assets, net position, and revenues of the business-type activities as of June 30, 2022. Those statements were audited by other auditors whose report has been furnished to us, and our opinions, insofar as they relate to the amounts included for the Electric Department, are based solely on the report of the other auditors.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the City and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, no such opinion is expressed,
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control–related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that Management's Discussion and Analysis on pages 4 to 11 and the pension and OPEB Information on pages 78 to 83 be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the City's basic financial statements. The combining and individual nonmajor fund financial statements and schedules on pages 84 to 90 and the supplementary information on pages 91 to 97 (including the schedule of expenditures of federal awards and state financial assistance, as required by Title 2 US Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards, on pages 91 and 92) are presented for purposes of additional analysis and are not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the combining and individual nonmajor fund financial statements and schedules on pages 84 to 90 and the supplementary information on pages 91 to 97 are fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Information

Management is responsible for the other information included in the annual report. The other information comprises the introductory section, and the statistical section, and other schedules on pages 98 to 101, but does not include the basic financial statements and our auditor's report thereon. Our opinions on the basic financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists; we are required to describe it in our report.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated December 19, 2022 on our consideration of the City's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering City's internal control over financial reporting and compliance.

Blankenship CPA Group, PLLC

Blankenship CPA Group, PLLC
Goodlettsville, Tennessee
December 19, 2022

City of Gallatin, Tennessee
Management's Discussion and Analysis
June 30, 2022

As management of the City of Gallatin, Tennessee, we offer readers of the City's financial statements this narrative overview and analysis of the financial activities of the City for the fiscal year ended June 30, 2022. The analysis focuses on significant financial position, budget changes and specific issues related to funds and economic factors affecting the City. It also focuses on current year activities and the resulting changes.

FINANCIAL HIGHLIGHTS

- The assets and deferred outflows of resources of the City exceed its liabilities and deferred inflows of resources at the close of the fiscal year by \$414.65 million as compared to \$362.31 million in the prior year. Of the amounts, \$103.59 million (unrestricted net position) as compared to \$85.80 million in the prior year may be used to meet the City's ongoing obligations to citizens and creditors.
- The government's total net position increased by \$52.34 million in 2022, compared to an increase of \$37.99 million in 2021.
- As of the close of the current fiscal year, the City's governmental funds reported ending fund balances of \$57.16 million, an increase of \$12.18 million from the prior year. Approximately \$43.46 million of that total is available for spending at the government's discretion.
- At the end of the current fiscal year, unassigned fund balance of the General Fund was \$43.46 million, or 97.55% of the total general fund expenditures as compared to \$29.34 million the prior year.
- The City's debt obligations increased by approximately \$11.11 million during the current fiscal year.

OVERVIEW OF THE FINANCIAL STATEMENTS

This discussion and analysis is intended to serve as an introduction to the City's basic financial statements. The City's basic financial statements are comprised of the following components:

1. Government-wide financial statements,
2. Fund financial statements, and
3. Notes to the financial statements.
4. This report also contains required supplementary information and supplementary and other information in addition to the basic financial statements themselves.

Government-wide Financial Statements

The government-wide financial statements are designed to provide readers with a broad overview of the City's finances, in a manner similar to a private-sector business.

- The Statement of Net Position presents information on all of the City's assets, liabilities and deferred inflows/outflows of resources, with the net difference reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of the City is improving or deteriorating.
- The Statement of Activities presents information showing how the City's net position changed during the most recent fiscal year. All changes in net position are reported when the underlying event giving rise to the change occurs, regardless of the timing of related cash flows. Thus, revenues and expenses are reported

City of Gallatin, Tennessee
Management's Discussion and Analysis
June 30, 2022

in this statement for some items that will only result in cash flows in future fiscal periods (e.g., uncollected taxes, compensated absences, etc.).

Both of the government-wide financial statements distinguish functions of the City that are principally supported by taxes and intergovernmental revenues (governmental activities) from other functions that are intended to recover all or a significant portion of their costs through user fees and charges (business-type activities). The governmental activities of the City include general government, public safety, highways and streets, sanitation, economic development, and cultural and recreation. The business-type activities of the City are made up of Water and Sewer, Natural Gas, and Electric Power services. The government-wide financial statements can be found on pages 12 to 14 of this report.

Fund Financial Statements

A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. The City, like other state and local governments, uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. All of the funds of the City can be divided into two categories: governmental funds and proprietary funds.

Governmental Funds

Governmental funds are used to account for essentially the same functions reported as governmental activities in the government-wide financial statements. However, unlike the government-wide financial statements, the focus is on near-term inflows and outflows of spendable resources, as well as on balances of spendable resources at the end of the fiscal year. Such information may be useful in evaluating the government's near-term financing requirements.

Because the focus of governmental funds is narrower than that of government-wide financial statements, it is useful to compare the information presented for governmental funds with similar information presented for governmental activities in the government-wide financial statements. By doing so, readers may better understand the long-term impact of the City's near-term financing decisions. Both the Balance Sheet - Governmental Funds and the Statement of Revenues, Expenditures, and Changes in Fund Balances - Governmental Funds provide a reconciliation to facilitate this comparison between governmental funds and governmental activities. The governmental fund financial statements and reconciliations can be found on pages 15 to 19 of this report.

The City maintains nine governmental funds. Information is presented separately in the Balance Sheet - Governmental Funds and in the Statement of Revenues, Expenditures, and Changes in Fund Balances - Governmental Funds for the General Fund and Capital Projects Fund, which are considered to be major funds. Data from the other seven governmental funds are combined into a single, aggregated presentation. Individual fund data for each of these nonmajor governmental funds is provided in the form of combining statements beginning on page 84.

The City adopts an annual appropriated budget for the General Fund and the special revenue funds. Budgetary comparison statements have been provided on pages 25 to 34 and pages 86 to 90 of this report.

City of Gallatin, Tennessee
Management's Discussion and Analysis
June 30, 2022

Proprietary Funds

There are two different types of proprietary funds.

- *Enterprise funds* are used to report the same functions presented as business-type activities in the government-wide financial statements. The City uses enterprise funds to account for the Board of Public Utilities Electric, Water and Sewer, and Gas Funds.
- *Internal service funds* are an accounting device used to accumulate and allocate costs internally among a government's various functions. The City currently has no internal service funds.

Proprietary funds provide the same type of information as the government-wide financial statements, only in more detail. The proprietary fund financial statements provide separate information for the Water and Sewer, Natural Gas, and Electric Power operations which are considered to be major funds of the City. The basic proprietary fund financial statements can be found on pages 20 to 24 of this report.

Fiduciary Funds

Fiduciary funds are used to account for resources held for the benefit of parties outside the City. Fiduciary funds are not reflected in the government-wide financial statements because the resources of those funds are not available to support the City of Gallatin's own programs. The Fiduciary Fund reported is for the Electric Department Pension Trust Fund. The accounting used for fiduciary funds is much like that used for proprietary funds. Individual fund data for the fiduciary funds is provided in the form of combined statements which can be found on pages 35 to 36 of this report.

Notes to the Financial Statements

The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements. The notes to the financial statements can be found on pages 37 to 77 of this report.

Other Information

In addition to the basic financial statements and accompanying notes, this report also presents certain required supplementary information concerning the City's and Utility's schedules of funding progress for their respective pension plans and other post-employment benefits.

GOVERNMENT-WIDE FINANCIAL ANALYSIS

Statement of Net Position

As noted earlier, net position may serve over time as a useful indicator of exceeded liabilities and deferred inflows of resources by \$414.65 million at the close of the most recent fiscal year, as compared to \$362.31 million at the close of the previous year.

By far the largest portion of the City's net position (71.09%) reflects its net investment in capital assets (e.g., land, buildings, machinery, equipment, and infrastructure). The City uses these capital assets to provide services to citizens; consequently, these assets are not available for future spending. Although the City's investment in its capital

City of Gallatin, Tennessee
Management's Discussion and Analysis
June 30, 2022

assets is reported net of related debt, it should be noted that the resources needed to repay this debt must be provided from other sources, since the capital assets themselves cannot be used to liquidate these liabilities.

An additional portion of the City's net position \$16.28 million (3.93%) represents resources that are subject to external restrictions on how they may be used. The remaining balance of net position representing unrestricted net position \$103.59 million (24.98%) may be used to meet the City's ongoing obligations to citizens and creditors. At the end of the current fiscal year, the City is able to report positive balances in all three categories of net position, both for the City as a whole, as well as for its total governmental and total business-type activities.

Comparisons with the prior year data are presented below.

	Primary Government (in thousands)					
	Governmental Activities		Business-Type Activities		Total	
	2022	2021	2022	2021	2022	2021
Assets						
Current and other assets	\$ 86,403	\$ 65,532	\$ 79,893	\$ 63,857	\$ 166,296	\$ 129,389
Capital assets	162,610	145,682	211,531	194,159	374,141	339,841
Total Assets	249,013	211,214	291,424	258,016	540,437	469,230
Deferred Outflows of Resources						
Deferred outflows	427	276	4,028	3,333	4,455	3,609
Liabilities						
Other liabilities	12,586	6,777	26,199	19,826	38,785	26,603
Long-term liabilities	26,343	32,182	48,519	37,784	74,862	69,966
Total Liabilities	38,929	38,959	74,718	57,610	113,647	96,569
Deferred Inflows of Resources						
Deferred inflows	14,663	13,605	1,934	355	16,597	13,960
Net Position						
Net investment in capital assets	133,282	123,567	161,498	157,293	294,780	280,860
Restricted	13,222	12,609	3,056	195	16,278	12,804
Unrestricted	49,344	22,750	54,246	45,896	103,590	68,646
Total Net Position	\$ 195,848	\$ 158,926	\$ 218,800	\$ 203,384	\$ 414,648	\$ 362,310

The government's total assets increased significantly due to the capital projects that were completed and in progress during the current fiscal year. Long-term liabilities increased due to payments being made on these projects during the current fiscal year.

City of Gallatin, Tennessee
Management's Discussion and Analysis
June 30, 2022

Statement of Activities

Expenses in the governmental activities exceeded program revenues by \$13.82 million. In the business-type activities program revenues exceed expenses by \$16.94 million. General government revenues and transfers of \$50.74 million offset the governmental activities deficit resulting in a positive change of net position of \$36.92 million. Other business-type revenues of \$352 thousand and transfers of (\$1.87) million reduced income in the business type activities leaving a positive change in net position of \$15.42 million.

	Primary Government (in thousands)					
	Governmental Activities		Business-Type Activities		Total	
	2022	2021	2022	2021	2022	2021
Program Revenues						
Charges for services	\$ 12,276	\$ 10,290	\$ 108,491	95,741	\$ 120,767	\$ 106,031
Operating grants and contributions	4,390	2,421	-	-	4,390	2,421
Capital grants and contributions	15,384	12,483	8,438	6,341	23,822	18,824
General Revenues						
Property taxes	13,503	13,530	-	-	13,503	13,530
Other taxes	24,592	19,610	-	-	24,592	19,610
Other sources	10,771	3,752	352	423	11,123	4,175
Total Revenues	80,916	62,086	117,281	102,505	198,197	164,591
Expenses						
General Government	10,679	9,568	-	-	10,679	9,568
Public Safety	19,887	17,490	-	-	19,887	17,490
Engineering	2,112	638	-	-	2,112	638
Environmental Services	3,265	3,125	-	-	3,265	3,125
Public Works	827	775	-	-	827	775
Highways and Streets	1,501	1,405	-	-	1,501	1,405
Vehicle Maintenance	638	589	-	-	638	589
Parks and Recreation	5,761	4,951	-	-	5,761	4,951
Economic Development	556	528	-	-	556	528
Interest on long-term debt	640	374	-	-	640	374
Electric	-	-	67,412	61,467	67,412	61,467
Water and Sewer	-	-	15,121	13,302	15,121	13,302
Gas	-	-	17,460	12,390	17,460	12,390
Total Expenses	45,866	39,443	99,993	87,159	145,859	126,602
Increase (Decrease) in net position before transfers	35,050	22,643	17,288	15,346	52,338	37,989
Transfers	1,872	1,893	(1,872)	(1,893)	-	-
Increase (Decrease) in net position	36,922	24,536	15,416	13,453	52,338	37,989
Net Position - Beginning	158,926	134,390	203,384	189,931	362,310	324,321
Net Position - Ending	\$ 195,848	\$ 158,926	\$ 218,800	\$ 203,384	\$ 414,648	\$ 362,310

In governmental activities, charges for services increased \$1.99 million in 2022. Operating grants and contributions increased by \$1.97 million. Capital grants and contributions increased \$2.90 million. In the business type activities, charges for services increased by \$12.75 million and costs of sales and service increased by \$12.83 million due to a colder winter than the prior year and increased sales during the year driven mainly by growth.

City of Gallatin, Tennessee
Management's Discussion and Analysis
June 30, 2022

Governmental policy continues to recognize that local revenue sources must be the foundation for providing basic public services rather than depending on uncertain Federal and State sources. To this end, it is vitally important to continue efforts to seek balanced diversity, equity, and efficiency in local revenue systems to better accommodate future change.

Overall expenses for 2022 were more than expenses in 2021 in the governmental activities by \$6.42 million. For departments with increases, the increases were mainly due to capital projects and grant activities. All departments worked diligently to keep operational and capital spending to a minimum for the fiscal year due to continued uncertainties regarding potential negative economic impacts of supply chain issues and inflation concerns.

FINANCIAL ANALYSIS OF THE GOVERNMENT'S FUNDS

Governmental Funds

The focus of the City's governmental funds is to provide information on near-term inflows, outflows, and balances of spendable resources. Such information is useful in assessing the City's financing requirements. In particular, unassigned fund balance may serve as a useful measure of a government's net resources available for spending at the end of the fiscal year. Based on the statements and discussion, the overall financial position of the City has improved during the period.

The General Fund is the chief operation fund of the City. At the end of the current fiscal year, the unassigned fund balance of the general fund was \$43.46 million while total fund balance was \$44.39 million. As a measure of the general fund's liquidity, it may be useful to compare both unassigned fund balance and total fund balance to total fund expenditures. Unassigned fund balance represents 97.55% of the total general fund expenditures in 2022 as compared to 72.68% in 2021.

The fund balance of the City's general fund increased by \$14.31 million during the current fiscal year. Key factors in this increase were the significant increase of local tax revenues and intergovernmental revenues.

Proprietary Funds

The City's proprietary funds provide the same type of information found in the government-wide financial statements, but in more detail. Proprietary funds are considered business-type activities and are operated similarly. Net position of the proprietary funds increased by \$15.42 million in 2022 as compared to \$13.45 million in 2021.

Unrestricted net position of the proprietary funds amounted to \$54.25 million as compared to \$45.90 million in the prior year. The change in net position of the individual proprietary funds were as follows:

- Water and Sewer Fund - \$7.16 million in 2022 compared to \$6.61 million in 2021
- Natural Gas Fund - \$3.17 million in 2022 compared to \$2.62 million in 2021
- Electric Fund - \$5.09 million in 2022 compared to \$4.22 million in 2021

City of Gallatin, Tennessee
Management's Discussion and Analysis
June 30, 2022

General Fund Budgetary Highlights

The City made revisions to the original appropriations approved by the City Council. Overall these changes resulted in a \$15.13 million increase in budgeted expenditures and transfers out from the original budget. The increase of approximately 34.6% was mainly for capital expenditures.

Actual revenues exceeded budgeted amounts by \$8.43 million. The largest variances were related to local tax revenues and intergovernmental revenues.

Actual expenditures and transfers out were under budget by \$14.27 million, partially due to department heads holding spending and partially due to large projects that were budgeted for this year that will continue into next year.

CAPITAL ASSET AND DEBT ADMINISTRATION

Capital Assets

At the end of Fiscal Year 2022 the City had invested \$374.14 million net of accumulated depreciation in land, buildings, improvements, machinery and equipment, park facilities, roads, highways, bridges, and utility systems. The total increase in the City's investment in capital assets for the current fiscal year was 10.1%. Additional information on the City's capital assets can be found in Note 1 on page 41 and Note 6, beginning on page 53 of this report.

Long-term Debt

At the end of the current fiscal year, the City had long-term debt outstanding of \$72.76 million as compared to \$61.65 million at the end of the prior fiscal year. Of this amount, \$26.14 million represents debt backed by the full faith and credit of the City. The remainder of the City's debt represents bonds secured by specific revenue sources (i.e. revenue and tax bonds) of the various enterprise funds. Information on the City's long-term debt can be found in Note 7 beginning on page 56 of this report.

The City of Gallatin maintains a "AA+" rating from Standards and Poors for general obligation debt. Also, the City rating from Moody's has been recalibrated to "Aa2".

ECONOMIC FACTORS AND NEXT YEAR'S BUDGET

General Fund Revenue

Sales tax revenues grew at an increased rate for the year. Most other general revenue taxes and charges for services showed modest-to-moderate growth. Grants and contributions increased in 2022 as did Other Revenue Sources with the biggest contributing factor being federal American Rescue Plan Act (ARPA) Revenue Loss dollars.

General Fund Expenditures and Capital Outlay

Departments were encouraged to be prudent and frugal with spending due to uncertainty regarding supply chain issues and inflation concerns. Most capital funding was to complete existing, ongoing projects, to purchase critical equipment, or for grant funded projects.

City of Gallatin, Tennessee
Management's Discussion and Analysis
June 30, 2022

General Fund Balance

At the end of the current fiscal year, unassigned fund balance in the general fund was \$43.46 million. The increase from the previous year was related to better than anticipated revenue collections, delayed capital expenditures and ARPA revenues.

Next Year's Budget and Rates

The City has no plans to increase the property tax rate paid by citizens in the next fiscal year. While preparing the next budget in the midst of the inflation uncertainty, management took a conservative approach to revenue projections. Spending increases were focused on employee retention measures and new capital to keep pace with the needs and wants of a rapidly growing population. The City will continue to watch the national and world economic factors that could influence the local economy and will make any necessary mid-year adjustments to operate within available revenues.

REQUESTS FOR INFORMATION

This financial report is designed to provide a general overview of the City of Gallatin's finances for citizens, taxpayers, customers, investors, creditors and all others with an interest in the City's finances. Questions concerning any of the information provided in this report or requests for additional financial information should be addressed to the Department of Finance, City of Gallatin, 132 West Main Street, Gallatin, TN, 37066.

City of Gallatin, Tennessee

Statement of Net Position

June 30, 2022

	Governmental Activities	Business-type Activities	Total
Assets			
Cash and cash equivalents	\$ 54,618,623	\$ 54,717,354	\$ 109,335,977
Certificates of deposit	1,945,463	4,764,176	6,709,639
Investments	21,025	-	21,025
Receivables, net of allowance for uncollectibles	28,840,463	11,057,848	39,898,311
Inventories	67,181	5,159,157	5,226,338
Net pension assets	82,566	2,847,238	2,929,804
Prepaid items and other assets	10,929	130,948	141,877
Restricted Assets			
Cash and Cash Equivalents	-	1,015,059	1,015,059
TCRS Stabilization Fund	816,777	200,373	1,017,150
Capital assets			
Land and construction in progress	13,446,545	3,862,204	17,308,749
Other capital assets, net of accumulated depreciation	149,163,590	207,668,766	356,832,356
Total assets	<u>249,013,162</u>	<u>291,423,123</u>	<u>540,436,285</u>
Deferred Outflows of Resources			
Deferred charge on refunding	-	2,619,274	2,619,274
Deferred outflows related to pensions	427,133	1,275,960	1,703,093
Deferred outflows related to OPEB	-	132,706	132,706
Total deferred outflows of resources	<u>427,133</u>	<u>4,027,940</u>	<u>4,455,073</u>
Total assets and deferred outflows of resources	\$ 249,440,295	\$ 295,451,063	\$ 544,891,358

Continued

City of Gallatin, Tennessee

Statement of Net Position

June 30, 2022

	Governmental Activities	Business-type Activities	Total
Liabilities			
Accounts payable and accrued expenses	\$ 4,369,444	\$ 15,971,608	\$ 20,341,052
Unearned revenues	133,735	-	133,735
Accrued interest	452,452	743,369	1,195,821
Deposits held	-	5,870,451	5,870,451
Other deposits	3,874,443	-	3,874,443
Other liabilities	-	6,074	6,074
Long-term debt, current portion	2,057,667	3,076,993	5,134,660
Long-term lease liabilities, current portion	-	3,710	3,710
Other long-term liabilities, current portion	1,697,977	526,513	2,224,490
Long-term debt, net of current portion	26,155,958	47,520,035	73,675,993
Other long-term liabilities, net of current portion	187,212	367,655	554,867
OPEB liability	-	630,245	630,245
Long-term lease liabilities, net of current portion	-	1,299	1,299
Total liabilities	38,928,888	74,717,952	113,646,840
Deferred Inflows of Resources			
Deferred current property taxes	14,452,613	-	14,452,613
Deferred inflows related to pensions	210,835	1,903,184	2,114,019
Deferred inflows related to OPEB	-	30,337	30,337
Total deferred inflows of resources	14,663,448	1,933,521	16,596,969
Net Position			
Net investment in capital assets	133,281,647	161,498,167	294,779,814
Restricted for:			
Pension benefits	899,343	3,047,611	3,946,954
Capital projects	7,733,080	-	7,733,080
Funds held in trust	438,030	-	438,030
Environmental services	1,702,500	-	1,702,500
Drug enforcement	180,641	-	180,641
Economic development	145,664	-	145,664
Stormwater	2,086,795	-	2,086,795
Other purposes	-	7,783	7,783
Perpetual care			
Expendable	15,276	-	15,276
Nonexpendable	21,025	-	21,025
Unrestricted	49,343,958	54,246,029	103,589,987
Total net position	195,847,959	218,799,590	414,647,549
Total liabilities, deferred inflows of resources, and net position	\$ 249,440,295	\$ 295,451,063	\$ 544,891,358

City of Gallatin, Tennessee
Statement of Activities
For Year Ended June 30, 2022

Functions/Programs	Expenses	Program Revenues			Net (Expenses) Revenues and Changes in Net Position		
		Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	Primary Government		
					Governmental Activities	Business-type Activities	Total
Primary Government							
Governmental Activities							
Administrative and general	\$ 10,679,488	\$ 6,157,245	\$ 1,944,987	\$ -	\$ (2,577,256)	\$ -	\$ (2,577,256)
Public safety	19,887,020	663,376	571,070	-	(18,652,574)	-	(18,652,574)
Engineering	2,112,141	-	17,500	-	(2,094,641)	-	(2,094,641)
Environmental	3,264,572	3,126,576	45,203	-	(92,793)	-	(92,793)
Public works	826,884	-	9,375	-	(817,509)	-	(817,509)
Highways and streets	1,500,643	-	1,768,426	15,384,481	15,652,264	-	15,652,264
Vehicle maintenance	638,291	239,057	12,500	-	(386,734)	-	(386,734)
Recreation	5,760,606	2,089,565	13,000	-	(3,658,041)	-	(3,658,041)
Economic development	556,451	-	7,500	-	(548,951)	-	(548,951)
Interest on long-term debt	640,400	-	-	-	(640,400)	-	(640,400)
Total governmental activities	45,866,496	12,275,819	4,389,561	15,384,481	(13,816,635)	-	(13,816,635)
Business-type Activities							
Electric	67,411,765	69,929,821	-	3,462,024	-	5,980,080	5,980,080
Water and sewer	15,120,466	17,638,006	-	4,976,207	-	7,493,747	7,493,747
Gas	17,460,412	20,922,959	-	-	-	3,462,547	3,462,547
Total business-type activities	99,992,643	108,490,786	-	8,438,231	-	16,936,374	16,936,374
Total primary government	\$ 145,859,139	\$ 120,766,605	\$ 4,389,561	\$ 23,822,712	(13,816,635)	16,936,374	3,119,739
General Revenues							
Taxes							
Property taxes, levied for general government					\$ 13,503,462	\$ -	\$ 13,503,462
In lieu of taxes, other governments					543,914	-	543,914
Sales taxes					19,014,773	-	19,014,773
Franchise taxes					451,706	-	451,706
Alcoholic beverage taxes					2,099,402	-	2,099,402
Business taxes					2,008,558	-	2,008,558
Income taxes					355,086	-	355,086
Miscellaneous state taxes					118,839	-	118,839
Grants and contributions not restricted to specific programs					10,000,000	-	10,000,000
Other sources					438,776	-	438,776
Unrestricted investment earnings					81,819	180,733	262,552
Gain (loss) on sales of assets					250,125	171,323	421,448
Transfers					1,872,093	(1,872,093)	-
Total general revenues, contributions, and transfers					50,738,553	(1,520,037)	49,218,516
Change in net position					36,921,918	15,416,337	52,338,255
Net position, beginning of year					158,926,041	203,383,850	362,309,891
Prior period adjustment					-	(597)	(597)
Net position, end of year					\$ 195,847,959	\$ 218,799,590	\$ 414,647,549

See notes to financial statements

City of Gallatin, Tennessee

Balance Sheet Governmental Funds June 30, 2022

	General Fund	Capital Projects Fund	Other Governmental Funds	Total Governmental Funds
Assets				
Cash and cash equivalents	\$ 38,515,916	\$ 7,733,080	\$ 8,369,627	\$ 54,618,623
Certificates of deposit	1,945,463	-	-	1,945,463
Investments	-	-	21,025	21,025
Receivables				-
Interest	338,800	-	-	338,800
Taxes (net of allowance of \$279,482)	14,418,733	-	-	14,418,733
Accounts (net of allowance of \$21,969)	1,616,058	-	507,458	2,123,516
Fines (net of allowance of \$2,060,737)	34,537	-	-	34,537
Grants	259,528	1,444,300	-	1,703,828
Intergovernmental	4,233,017	-	-	4,233,017
Inventories	52,862	-	14,319	67,181
Prepaid expense	-	-	10,929	10,929
Restricted assets				
TCRS Stabilization Fund	773,009	-	43,768	816,777
Total assets	<u>\$ 62,187,923</u>	<u>\$ 9,177,380</u>	<u>\$ 8,967,126</u>	<u>\$ 80,332,429</u>
Liabilities				
Accounts payable	\$ 2,515,148	\$ 1,114,863	\$ 316,064	\$ 3,946,075
Retainage payable	-	-	-	-
Accrued expenses	423,268	100	-	423,368
Unearned revenues	71,539	-	-	71,539
Unearned evidence funds	-	-	62,196	62,196
Performance deposits	-	-	3,874,443	3,874,443
Total liabilities	<u>3,009,955</u>	<u>1,114,963</u>	<u>4,252,703</u>	<u>8,377,621</u>
Deferred Inflows of Resources				
Unavailable revenues, property tax	14,757,533	-	-	14,757,533
Unavailable revenues, court fines	<u>34,537</u>	<u>-</u>	<u>-</u>	<u>34,537</u>
Total deferred inflows of resources	<u>14,792,070</u>	<u>-</u>	<u>-</u>	<u>14,792,070</u>

Continued

City of Gallatin, Tennessee

Balance Sheet Governmental Funds June 30, 2022

	General Fund	Capital Projects Fund	Other Governmental Funds	Total Governmental Funds
Fund Balances				
Nonspendable				
Prepaid items	-	-	10,929	10,929
Funds held in trust	-	-	21,025	21,025
Inventories	52,862	-	14,319	67,181
Restricted for				
Capital projects	-	7,733,080	-	7,733,080
Funds held in trust	-	-	438,030	438,030
Environmental services	-	-	1,702,500	1,702,500
Drug enforcement	-	-	180,641	180,641
Economic development	-	-	145,664	145,664
Stormwater	-	-	2,086,795	2,086,795
Hybrid Retirement Stabilization Funds	773,009	-	43,768	816,777
Committed for				
Economic development	98,506	-	-	98,506
Assigned for				
Capital projects	-	329,337	-	329,337
Police special projects	-	-	55,476	55,476
Cemetery	-	-	15,276	15,276
Unassigned	43,461,521	-	-	43,461,521
Total fund balances	<u>44,385,898</u>	<u>8,062,417</u>	<u>4,714,423</u>	<u>57,162,738</u>
 Total liabilities, deferred inflows of resources, and fund balance	 \$ 62,187,923	 \$ 9,177,380	 \$ 8,967,126	 \$ 80,332,429

City of Gallatin, Tennessee
Reconciliation of Balance Sheet to Statement of Net Position
Governmental Funds
June 30, 2022

Amounts reported for fund balance, total governmental funds	\$ 57,162,738
Amounts reported for governmental activities in the statement of net position are different because:	
Capital assets used in governmental activities are not financial resources and, therefore, are not reported in the funds.	162,610,135
Amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be amortized and recognized as components of the related expense in future years.	216,298
Net pension assets and liabilities are not due in the current period and, therefore, are not reported in the funds.	82,566
Receivables are not available to pay for current period expenditures and, therefore, are deferred or not reported in the funds.	618,939
Grant receivables are not available to pay for current period expenditures and, therefore, are deferred or not reported in the funds.	5,708,550
Long-term liabilities, including bonds payable, are not due and payable in the current period and, therefore, are not recorded in the funds.	(30,551,267)
Net position of governmental activities	\$ 195,847,959

City of Gallatin, Tennessee
Statement of Revenues, Expenditures, and Changes in Fund Balance
Governmental Funds
For Year Ended June 30, 2022

	General Fund	Capital Projects Fund	Other Governmental Funds	Total Governmental Funds
Revenues				
Local taxes	\$ 31,828,287	\$ -	\$ -	\$ 31,828,287
Licenses and permits	3,633,533	-	-	3,633,533
Intergovernmental revenues	15,152,790	4,810,482	-	19,963,272
Charges for services	2,909,476	-	5,069,434	7,978,910
Fines	554,102	-	104,639	658,741
Other	<u>2,908,759</u>	<u>22,236</u>	<u>357,683</u>	<u>3,288,678</u>
Total revenues	56,986,947	4,832,718	5,531,756	67,351,421
Expenditures				
Current				
General government	8,648,829	-	-	8,648,829
Public safety	18,535,891	-	161,151	18,697,042
Engineering	2,114,553	-	-	2,114,553
Environmental services	-	-	3,087,746	3,087,746
Public works	827,963	-	-	827,963
Highways and streets	1,127,266	-	-	1,127,266
Vehicle maintenance	639,633	-	-	639,633
Parks and recreation	4,982,212	-	-	4,982,212
Economic development	395,912	-	161,718	557,630
Debt service				
Principal	1,745,000	-	-	1,745,000
Interest	970,589	-	-	970,589
Other debt service expense	1,400	-	-	1,400
Capital outlay	<u>4,563,834</u>	<u>8,513,803</u>	<u>560,285</u>	<u>13,637,922</u>
Total expenditures	44,553,082	8,513,803	3,970,900	57,037,785
Excess (deficiency) of revenues over expenditures	12,433,865	(3,681,085)	1,560,856	10,313,636
Other financing sources (uses)				
Transfers in, in lieu of taxes	1,872,093	-	-	1,872,093
Change in fund balance	14,305,958	(3,681,085)	1,560,856	12,185,729
Fund balance, beginning of year	<u>30,079,940</u>	<u>11,743,502</u>	<u>3,153,567</u>	<u>44,977,009</u>
Fund balance, end of year	\$ 44,385,898	\$ 8,062,417	\$ 4,714,423	\$ 57,162,738

City of Gallatin, Tennessee

Reconciliation of the Statement of Revenues, Expenditures, and Changes in Fund Balance of Governmental Funds to the Statement of Activities For Year Ended June 30, 2022

Net change in fund balance, total governmental funds \$ 12,185,729

**Amounts reported for governmental activities in the
statement of activities are different because:**

Governmental funds report capital outlays as expenditures.

However, in the statement of activities, the cost of those assets is allocated
over their estimated useful lives and reported as depreciation expense.

Depreciation expense 9,029,266

The net effect of various transactions involving capital assets (i.e., sales,
trade-ins, and contributed assets) is to increase net position

9,128,112

Revenues in the statement of activities that do not provide current financial
financial resources are not reported as revenues in the funds, and revenues
received in the current year that were accrued in the statement of activities
in prior years are reported as revenues in the funds.

4,438,175

The issuance of long-term debt provides current financial resources to
governmental funds, while the repayment of the principal of long-term debt
consumes the current financial resources of governmental funds. Neither
transaction, however, has any effect on net position. Also, governmental funds
report the effects of premiums, discounts, losses on refunding's, and similar
items when debt is first issued, whereas these amounts are deferred and
amortized in the statement of activities. This amount is the net effect of these
differences in the treatment of long-term debt and related items.

2,042,264

Some expenses reported in the statement of activities do not require the use
of current financial resources and therefore are not reported as expenditures
in governmental funds. Other items such as contributions to pension funds are
expensed in the funds while an actuarially determined expense amount is
included in the statement of activities.

98,372

Change in net position of governmental activities \$ **36,921,918**

City of Gallatin, Tennessee

Statement of Net Position

Proprietary Funds

June 30, 2022

	Electric Department	Water and Sewer Dept	Gas Department	Total
Assets				
Current assets				
Cash and cash equivalents, general	\$ 17,604,119	\$ 23,128,514	\$ 13,984,721	\$ 54,717,354
Cash and cash equivalents, restricted	7,783	891,542	115,734	1,015,059
Certificates of deposit	4,764,176	-	-	4,764,176
Accounts receivable, trade, net of allowance for doubtful accounts	7,948,547	1,698,941	1,305,067	10,952,555
Prepayments and other current assets	91,481	-	39,467	130,948
Materials and supplies	2,288,252	967,739	1,903,166	5,159,157
Non-current receivables, current portion	4,238	-	-	4,238
Total current assets	32,708,596	26,686,736	17,348,155	76,743,487
Other assets				
Other receivables	99,936	-	-	99,936
TCRS Stabilization Fund	-	150,003	50,370	200,373
TVA contracts receivables, home weatherization	5,357	-	-	5,357
Net pension assets	2,831,011	12,550	3,677	2,847,238
Less: amount due within one year	(4,238)	-	-	(4,238)
Total other assets	2,932,066	162,553	54,047	3,148,666
Capital assets				
Land	2,316,720	1,750,002	231,447	4,298,169
Construction in progress	(2,534,434)	2,098,469	-	(435,965)
Other capital assets, net of depreciation				
Transmission plant	1,013,318	-	-	1,013,318
Distribution plant	30,981,980	105,829,365	41,023,898	177,835,243
General plant	2,278,602	-	-	2,278,602
General plant, right to use leased equipment	4,490	-	-	4,490
Buildings	-	24,689,100	560,027	25,249,127
Operating equipment	-	595,293	176,439	771,732
Rolling stock	-	401,777	92,634	494,411
Office furniture and equipment	-	(3,646)	25,489	21,843
Total capital assets	34,060,676	135,360,360	42,109,934	211,530,970
Total assets	69,701,338	162,209,649	59,512,136	291,423,123
Deferred Outflows of Resources				
Deferred charge on bond refunding	-	2,619,274	-	2,619,274
Deferred outflows related to pensions	1,171,303	78,053	26,604	1,275,960
Deferred outflows related to OPEB	132,706	-	-	132,706
Total deferred outflows of resources	1,304,009	2,697,327	26,604	4,027,940
Total assets and deferred outflows of resources	\$ 71,005,347	\$ 164,906,976	\$ 59,538,740	\$ 295,451,063

Continued

See notes to financial statements

City of Gallatin, Tennessee
Statement of Net Position
Proprietary Funds
June 30, 2022

	Electric Department	Water and Sewer Dept	Gas Department	Total
Liabilities				
Current liabilities				
Accounts payable	\$ 12,068,392	\$ 694,171	\$ 1,914,513	\$ 14,677,076
Retainage payable	-	891,542	115,734	1,007,276
Other accrued expenses	285,096	370	1,790	287,256
Accrued interest	22,242	620,958	100,169	743,369
Customers' deposits	5,085,174	511,740	273,537	5,870,451
Accrued leave	243,069	237,630	45,814	526,513
Lease liabilities, current portion	3,710	-	-	3,710
Long-term debt, current portion	-	2,845,733	231,260	3,076,993
Total current liabilities	17,707,683	5,802,144	2,682,817	26,192,644
Long-term liabilities				
Bonds payable (less current maturities)	-	39,200,000	4,730,000	43,930,000
Accrued leave	148,806	155,221	63,628	367,655
TVA advances payable, home weatherization	6,074	-	-	6,074
Net pension liability	-	-	-	-
OPEB liability	630,245	-	-	630,245
Lease liability	1,299	-	-	1,299
Bond premiums	-	3,249,885	340,150	3,590,035
Total long-term liabilities	786,424	42,605,106	5,133,778	48,525,308
Total liabilities	18,494,107	48,407,250	7,816,595	74,717,952
Deferred Inflows of Resources				
Deferred inflows related to pensions	1,854,950	36,491	11,743	1,903,184
Deferred inflows related to OPEB	30,337	-	-	30,337
Total deferred inflows of resources	1,885,287	36,491	11,743	1,933,521
Total liabilities and deferred inflows of resources	20,379,394	48,443,741	7,828,338	76,651,473
Net Position				
Net investment in capital assets	34,055,667	90,998,668	36,443,832	161,498,167
Restricted for:				
Workers' compensation adjustment	7,783	-	-	7,783
Pension benefits	2,831,011	162,553	54,047	3,047,611
Unrestricted	13,731,492	25,302,014	15,212,523	54,246,029
Total net position	50,625,953	116,463,235	51,710,402	218,799,590
Total liabilities, deferred inflows of resources, and net position	\$ 71,005,347	\$ 164,906,976	\$ 59,538,740	\$ 295,451,063

City of Gallatin, Tennessee
Statement of Revenues, Expenditures, and Changes in Net Position
Proprietary Funds
For Year Ended June 30, 2022

	Electric Department	Water and Sewer Dept	Gas Department	Total
Operating Revenues				
Charges for sales and service	\$ 68,893,931	\$ 17,142,670	\$ 20,739,369	\$ 106,775,970
Fines and forfeitures	254,508	130,496	-	385,004
Other operating revenue	<u>781,382</u>	<u>364,840</u>	<u>183,590</u>	<u>1,329,812</u>
Total operating revenues	69,929,821	17,638,006	20,922,959	108,490,786
Operating Expenses				
Cost of sales and service	56,326,930	-	13,487,108	69,814,038
Water treatment and pumping	-	1,722,442	-	1,722,442
Transmission and distribution	4,966,360	1,752,444	1,304,086	8,022,890
Customer service and collection	894,172	744,127	663,624	2,301,923
General administration	1,592,510	1,300,051	554,673	3,447,234
Sewer collection	-	1,259,734	-	1,259,734
Sewer system rehab	-	402,471	-	402,471
Sewer treatment and disposal	-	2,091,723	-	2,091,723
Sewer pretreatment	-	91,924	-	91,924
Maintenance	1,544,729	-	-	1,544,729
Customer deposit interest	23,708	-	-	23,708
Amortization, acquisition adjustment	4,047	-	-	4,047
Provision for depreciation	<u>2,059,309</u>	<u>4,363,986</u>	<u>1,376,762</u>	<u>7,800,057</u>
Total operating expenses	67,411,765	13,728,902	17,386,253	98,526,920
Operating income (loss)	2,518,056	3,909,104	3,536,706	9,963,866
Non-operating revenues (expenses)				
Interest and other income	94,635	43,459	42,639	180,733
Tap fees	-	1,197,106	-	1,197,106
Amortization of bond premiums	-	258,822	-	258,822
Interest and other expense	-	(1,650,386)	(74,159)	(1,724,545)
Other gains and losses	<u>-</u>	<u>97,005</u>	<u>74,318</u>	<u>171,323</u>
Total non-operating revenues (expenses)	94,635	(53,994)	42,798	83,439
Income before contributions and transfers	2,612,691	3,855,110	3,579,504	10,047,305
Capital contributions	3,462,024	3,779,101	-	7,241,125
Transfers out, in lieu of taxes	<u>(982,759)</u>	<u>(476,032)</u>	<u>(413,302)</u>	<u>(1,872,093)</u>
Change in net position	5,091,956	7,158,179	3,166,202	15,416,337
Net position, beginning of year	45,534,594	109,305,056	48,544,200	203,383,850
Prior period adjustment	<u>(597)</u>	<u>-</u>	<u>-</u>	<u>(597)</u>
Net position, end of year	\$ 50,625,953	\$ 116,463,235	\$ 51,710,402	\$ 218,799,590

City of Gallatin, Tennessee
Statement of Cash Flows
Proprietary Funds
For Year Ended June 30, 2022

	Electric Department	Water and Sewer Dept	Gas Department	Total
Cash flows from operating activities				
Cash received from customers	\$ 68,446,025	\$ 17,505,346	\$ 21,168,086	\$ 107,119,457
Cash payments to suppliers for goods and services	(59,935,427)	(6,141,615)	(14,690,583)	(80,767,625)
Cash payments to employees for services	(3,647,175)	(4,518,043)	(1,531,045)	(9,696,263)
Interest payments on customer deposits	(23,546)	-	-	(23,546)
Net decrease in TVA loan funds receivable	14,271	-	-	14,271
Net decrease in TVA loan funds payable	(14,750)	-	-	(14,750)
Net cash provided (used) by operating activities	4,839,398	6,845,688	4,946,458	16,631,544
Cash flows from noncapital financing activities				
Transfers out	(982,759)	(476,032)	(413,302)	(1,872,093)
Cash flows from capital and related financing activities				
Capital contributions by customers and grants	3,462,024	-	-	3,462,024
Proceeds from tap fees	-	1,197,106	-	1,197,106
Principal paid on debt	-	(1,875,000)	(200,000)	(2,075,000)
Proceeds from issuance of debt	-	14,930,000	-	14,930,000
Interest paid on bonds, notes, and leases	(4,125)	(1,085,122)	(90,669)	(1,179,916)
Construction and acquisition of plant	(2,036,802)	(15,976,028)	(3,411,555)	(21,424,385)
Received on sale of assets	46,207	97,005	74,318	217,530
Plant removal cost	(83,415)	-	-	(83,415)
Net cash provided (used) by capital and related financing activities	1,383,889	(2,712,039)	(3,627,906)	(4,956,056)
Cash flows from investing activities				
Redemption of certificates of deposit	375,374	-	-	375,374
Interest and other income	90,228	43,459	42,639	176,326
Net cash provided (used) by investing activities	465,602	43,459	42,639	551,700
Net change in cash and cash equivalents	5,706,130	3,701,076	947,889	10,355,095
Cash and cash equivalents, beginning of year	11,905,772	20,318,980	13,152,566	45,377,318
Cash and cash equivalents, end of year	\$ 17,611,902	\$ 24,020,056	\$ 14,100,455	\$ 55,732,413
Cash and Cash Equivalents				
Unrestricted cash and cash equivalents on deposit	\$ 17,604,119	\$ 23,128,514	\$ 13,984,721	\$ 54,717,354
Restricted cash and cash equivalents on deposit	7,783	891,542	115,734	1,015,059
Total cash and cash equivalents	\$ 17,611,902	\$ 24,020,056	\$ 14,100,455	\$ 55,732,413

City of Gallatin, Tennessee
Statement of Cash Flows
Proprietary Funds
For Year Ended June 30, 2022

	Electric Department	Water and Sewer Dept	Gas Department	Total
Reconciliation of operating income to net cash provided (used) by operating activities				
Operating income (loss)	\$ 2,518,056	\$ 3,909,104	\$ 3,536,706	\$ 9,963,866
Adjustments to reconcile operating income to net cash provided (used) by operating activities				
Depreciation and amortization of acquisition costs	2,197,381	4,363,986	1,376,762	7,938,129
Recovery of bad debt	-	(125,950)	(219,554)	(345,504)
Change in:				
Accounts receivable	(1,483,796)	(188,446)	280,373	(1,391,869)
Materials and supplies	(490,314)	(159,743)	(784,501)	(1,434,558)
Prepayments and other current assets	(34,069)	629	(19,153)	(52,593)
TVA contracts receivable	14,271	-	-	14,271
Deferred outflows of resources	537,817	(26,188)	(8,428)	503,201
TCRS stabilization fund	-	(31,176)	(10,033)	(41,209)
Pension asset	(2,783,367)	(12,550)	(3,677)	(2,799,594)
Accounts payable	2,625,817	(1,058,590)	917,504	2,484,731
Other accrued expenses	2,226	4	694	2,924
Customers' deposits	166,281	55,786	(35,246)	186,821
Accrued leave	55,085	96,664	(91,758)	59,991
TVA contracts payable	(14,750)	-	-	(14,750)
Pension liability	-	(14,333)	(4,974)	(19,307)
OPEB liability	(1,709)	-	-	(1,709)
Deferred inflows of resources	1,530,469	36,491	11,743	1,578,703
Net cash provided (used) by operating activities	\$ 4,839,398	\$ 6,845,688	\$ 4,946,458	\$ 16,631,544

Supplemental disclosure of noncash capital and related financing activities

Utility plant additions financed accounts payable	\$ -	\$ 793,806	\$ 248,958	\$ 1,042,764
Utility plant additions financed by retainage payable	-	891,542	115,734	1,007,276
Developer contributions of systems	-	3,779,101	-	3,779,101
	\$ -	\$ 5,464,449	\$ 364,692	\$ 5,829,141

Use of proceeds of Water and Sewer Revenue Refunding Bonds,
Series 2021B (Series 2021B Bonds):
Refunding of Series 2015 Bonds
Early redemption of refunded bonds
Bond discount
Issuance cost on Series 2021B Bonds

\$ 12,435,000
1,666,291
69,825
45,957
\$ 14,217,073

City of Gallatin, Tennessee
Statement of Revenues, Expenditures, and Changes in Fund Balance
Budget (GAAP Basis) and Actual
General Fund
For Year Ended June 30, 2022

	Budgeted amounts		Actual	Variance with
	Original	Final	amounts	final budget
Revenues				
Local taxes				
Property taxes, current	\$ 12,632,500	\$ 12,632,500	\$ 12,784,245	151,745
Property taxes, delinquent	150,000	150,000	680,851	530,851
Property taxes, penalty and interest	60,000	60,000	83,846	23,846
Local sales taxes	11,379,900	11,413,900	14,017,722	2,603,822
Local beer taxes	1,160,000	1,160,000	1,246,776	86,776
Local liquor taxes	549,000	549,000	554,583	5,583
Business taxes	988,000	988,000	1,597,492	609,492
Privilege taxes	26,000	26,000	27,401	1,401
Cable taxes	465,000	465,000	451,706	(13,294)
Occupancy taxes	180,000	180,000	378,802	198,802
Special assessments	5,000	5,000	4,863	(137)
Total local taxes	27,595,400	27,629,400	31,828,287	4,198,887
Licenses and permits				
Beer licenses	5,000	5,000	3,700	(1,300)
Building permits	950,000	950,000	1,213,560	263,560
Plumbing permits	250,000	250,000	261,674	11,674
Planning fees	325,000	325,000	436,262	111,262
Other mechanical permits	390,000	390,000	424,907	34,907
Other permits	1,086,650	1,086,650	1,293,430	206,780
Total licenses and permits	3,006,650	3,006,650	3,633,533	626,883
Fines and forfeitures				
Fines and forfeitures	364,250	366,050	376,989	10,939
ACES red light revenue	120,000	120,000	157,975	37,975
Drug fines	17,500	17,500	19,138	1,638
Total fines and forfeitures	501,750	503,550	554,102	50,552
Intergovernmental revenues				
In lieu of tax, housing authority	3,400	3,400	3,672	272
In lieu of tax, industry	150,000	150,000	166,387	16,387
State sales tax	3,530,000	3,530,000	4,997,051	1,467,051
State income tax	-	-	355,086	355,086
State beer tax	17,000	17,000	20,295	3,295
State mixed drink tax	190,000	190,000	277,748	87,748
State gas and motor fuel tax	1,245,000	1,245,000	1,640,312	395,312
State petroleum special	68,000	68,000	80,364	12,364
State telecomm	20,000	20,000	571	(19,429)
State TVA in lieu of tax	450,000	450,000	373,855	(76,145)
State excise tax	100,000	100,000	118,268	18,268
State salary supplements	-	124,000	124,800	800
Other federal grants	-	5,942,325	6,787,785	845,460
Sidewalk grant	-	-	206,596	206,596
Government highway safety grant	-	-	-	-
Other state grants	484,558	1,364,571	-	(1,364,571)
Total intergovernmental revenues	6,257,958	13,204,296	15,152,790	1,948,494

City of Gallatin, Tennessee
Statement of Revenues, Expenditures, and Changes in Fund Balance
Budget (GAAP Basis) and Actual
General Fund
For Year Ended June 30, 2022

	Budgeted amounts		Actual amounts	Variance with final budget
	Original	Final		
Revenues				
Charges for services				
Admin and management services	172,050	172,050	262,411	90,361
Accounting and management services	111,117	111,117	95,766	(15,351)
Personnel services	36,803	36,803	50,629	13,826
Other legal services	85,073	85,073	108,361	23,288
Miscellaneous	14,500	14,500	24,925	10,425
Vehicle maintenance charges	220,000	260,000	239,057	(20,943)
Rent	34,875	34,875	38,762	3,887
Golf course revenue	737,000	737,000	1,142,868	405,868
Civic center revenue	850,300	850,300	946,697	96,397
Total charges for services	2,261,718	2,301,718	2,909,476	607,758
Miscellaneous revenues				
Miscellaneous	509,558	718,834	150,279	(568,555)
Sale of land	-	-	1,229,530	1,229,530
Sale of materials	2,000	13,903	24,076	10,173
Sale of equipment	30,000	30,000	117,025	87,025
Donations	75,000	960,478	1,239,291	278,813
Insurance recoveries	-	60,253	84,172	23,919
Interest	125,000	125,000	64,386	(60,614)
Total miscellaneous revenues	741,558	1,908,468	2,908,759	1,000,291
Total revenues	40,365,034	48,554,082	56,986,947	8,432,865
Expenditures				
General government				
Mayor's office				
Salaries	271,440	271,440	271,085	355
Employee benefits and taxes	68,346	68,346	65,954	2,392
Official fees	48,650	48,650	37,906	10,744
Printing and publications	8,400	8,400	5,651	2,749
Membership fees	45,900	45,900	40,470	5,430
Utilities	3,000	3,000	1,266	1,734
Other professional services	106,000	106,000	344	105,656
Travel and meals	13,000	13,000	6,578	6,422
Mayor's expenses	5,000	5,000	3,815	1,185
Council expenses	14,000	14,000	6,134	7,866
Office supplies	6,850	6,850	1,913	4,937
Payments in lieu of tax	209,000	209,000	196,552	12,448
County portion of liquor tax	105,000	105,000	112,740	(7,740)
Discounts on taxes	12,000	12,000	10,591	1,409
Grants and donations	94,000	94,000	5,933	88,067
Prizes and awards	16,000	16,000	12,688	3,312
Miscellaneous	41,397	41,397	10,904	30,493
Total mayor's office	1,067,983	1,067,983	790,524	277,459

City of Gallatin, Tennessee
Statement of Revenues, Expenditures, and Changes in Fund Balance
Budget (GAAP Basis) and Actual
General Fund
For Year Ended June 30, 2022

	Budgeted amounts		Actual amounts	Variance with final budget
	Original	Final		
Expenditures				
General government				
Finance department				
Salaries	466,903	466,903	460,174	6,729
Employee benefits and taxes	137,424	137,424	118,046	19,378
Postage	6,500	6,500	3,195	3,305
Printing and publications	3,000	3,000	4,326	(1,326)
Membership fees	1,000	1,000	580	420
Utilities	1,000	1,000	703	297
Accounting services	68,000	68,000	73,000	(5,000)
Repairs and maintenance	1,000	1,000	717	283
Training	2,500	2,500	1,416	1,084
Operating supplies	4,500	4,500	4,086	414
Miscellaneous	56,900	56,900	(8,375)	65,275
Total finance department	748,727	748,727	657,868	90,859
City recorder				
Salaries	306,564	306,564	279,389	27,175
Employee benefits and taxes	123,608	123,608	91,083	32,525
Postage	14,000	14,000	13,811	189
Printing and publications	750	750	382	368
Membership fees	1,500	1,500	1,615	(115)
Utilities	-	-	453	(453)
Other professional services	3,500	14,100	10,274	3,826
Travel	1,500	1,500	442	1,058
Other contractual services	5,000	18,774	5,553	13,221
Office supplies	3,000	3,000	3,118	(118)
Miscellaneous	78,250	78,250	22,157	56,093
Total city recorder	537,672	562,046	428,277	133,769
Risk management				
HRA expense	125,000	125,000	232,289	(107,289)
Workers compensation	325,000	325,000	395,884	(70,884)
ADA transition plan	500,000	500,000	18,025	481,975
General liability	450,000	450,000	375,682	74,318
Total risk management	1,400,000	1,400,000	1,021,880	378,120

City of Gallatin, Tennessee
Statement of Revenues, Expenditures, and Changes in Fund Balance
Budget (GAAP Basis) and Actual
General Fund
For Year Ended June 30, 2022

	Budgeted amounts		Actual amounts	Variance with final budget
	Original	Final		
Expenditures				
General government				
Attorney				
Salaries	357,586	357,586	355,496	2,090
Employee benefits and taxes	90,037	90,037	79,635	10,402
Printing and publications	3,250	3,250	2,362	888
Tax law and other publications	11,000	11,000	13,552	(2,552)
Membership fees	3,000	3,000	2,536	464
Utilities	1,400	1,400	1,026	374
Legal services	35,000	35,000	57,331	(22,331)
Other professional services	10,000	10,000	100	9,900
Travel and meals	4,250	4,250	2,857	1,393
Training	3,500	3,500	3,683	(183)
Office supplies	650	650	517	133
Miscellaneous	43,124	43,124	1,133	41,991
Total attorney	562,797	562,797	520,228	42,569
Information technology				
Salaries	498,745	498,745	489,793	8,952
Employee benefits and taxes	158,009	158,009	139,887	18,122
Copier expense	250	250	405	(155)
Utilities	6,000	6,000	4,106	1,894
Other professional services	107,356	109,285	97,455	11,830
Other contractual services	955,739	1,310,728	1,151,056	159,672
Training	-	-	6,995	(6,995)
Office supplies	2,000	2,000	674	1,326
Operating supplies	10,000	10,000	5,297	4,703
Miscellaneous	300	300	282	18
Total information technology	1,738,399	2,095,317	1,895,950	199,367
Personnel				
Salaries	288,174	288,174	263,283	24,891
Employee benefits and taxes	95,828	95,828	73,801	22,027
Printing and publications	4,760	4,760	1,180	3,580
Utilities	625	625	484	141
Physicals	4,500	4,500	453	4,047
Professional services	11,625	11,625	125	11,500
Training	3,250	3,250	1,390	1,860
Office supplies	2,900	2,900	3,003	(103)
Operating supplies	-	-	545	(545)
Miscellaneous	12,775	12,775	3,396	9,379
Total personnel	424,437	424,437	347,660	76,777

City of Gallatin, Tennessee
Statement of Revenues, Expenditures, and Changes in Fund Balance
Budget (GAAP Basis) and Actual
General Fund
For Year Ended June 30, 2022

	Budgeted amounts		Actual amounts	Variance with final budget
	Original	Final		
Expenditures				
General government				
City planner				
Salaries	543,360	543,360	487,833	55,527
Employee benefits and taxes	196,667	196,667	136,567	60,100
Planning commission	18,000	18,000	12,134	5,866
Postage	1,500	1,500	324	1,176
Printing and publications	4,000	4,000	2,369	1,631
Membership fees	4,000	4,000	2,726	1,274
Utilities	4,600	4,600	2,735	1,865
Repairs and maintenance	500	500	208	292
Office supplies	3,500	3,500	2,287	1,213
Gas, oil, diesel, etc.	500	500	822	(322)
Miscellaneous	80,600	80,600	8,509	72,091
Total city planner	857,227	857,227	656,514	200,713
Buildings				
Salaries	236,857	244,057	252,544	(8,487)
Employee benefits and taxes	95,309	95,859	80,182	15,677
Utilities	79,456	79,456	71,779	7,677
Repairs and maintenance	38,400	38,400	27,633	10,767
Other contractual services	18,000	23,879	27,403	(3,524)
Small equipment	1,500	1,500	1,814	(314)
Operating supplies	2,300	2,300	2,805	(505)
Janitorial supplies	8,000	8,000	6,797	1,203
Gas, oil, diesel, etc.	4,500	4,500	2,460	2,040
Miscellaneous	3,350	3,350	2,123	1,227
Total buildings	487,672	501,301	475,540	25,761
Codes				
Salaries	1,064,622	1,064,622	1,002,657	61,965
Employee benefits and taxes	404,483	404,483	304,180	100,303
Postage	720	720	127	593
Printing and publications	10,600	10,600	6,191	4,409
Membership fees	5,000	5,000	2,168	2,832
Utilities	20,500	20,500	14,138	6,362
Repairs and maintenance	3,000	3,000	120,855	(117,855)
Other professional services	15,000	15,000	13,394	1,606
Office supplies	6,000	6,000	2,160	3,840
Gas, oil, diesel, etc.	12,000	12,000	20,326	(8,326)
Miscellaneous	82,700	101,898	79,242	22,656
Total codes	1,624,625	1,643,823	1,565,438	78,385
Community services				
July 4th celebration	21,000	33,600	30,450	3,150
Appropriations to non-profits	258,500	258,500	258,500	-
Total community services	279,500	292,100	288,950	3,150
Total general government	9,729,039	10,155,758	8,648,829	1,506,929

City of Gallatin, Tennessee
Statement of Revenues, Expenditures, and Changes in Fund Balance
Budget (GAAP Basis) and Actual
General Fund
For Year Ended June 30, 2022

	Budgeted amounts		Actual amounts	Variance with final budget
	Original	Final		
Expenditures				
Public safety				
Police				
Salaries	5,836,982	5,899,795	5,627,637	272,158
Employee benefits and taxes	2,406,240	2,409,740	1,801,119	608,621
Postage	3,000	3,000	2,636	364
Printing and publications	29,400	29,400	19,494	9,906
Membership fees	3,500	3,500	7,387	(3,887)
Public relations	1,500	1,972	1,915	57
Utilities	91,955	91,955	84,986	6,969
Physicals	8,000	8,000	19,498	(11,498)
Data processing services	25,000	25,000	19,628	5,372
Repairs and maintenance	590,200	623,399	373,518	249,881
Travel	9,000	14,565	20,010	(5,445)
Other contractual services	144,500	867,774	245,998	621,776
Reserve officers expense	15,000	15,000	30,245	(15,245)
Office supplies	5,100	5,100	3,402	1,698
Small office equipment	13,500	13,500	29,581	(16,081)
Operating supplies	32,000	32,000	43,545	(11,545)
Janitorial supplies	4,500	4,500	3,975	525
Clothing and uniforms	45,000	45,000	82,792	(37,792)
Fire arm supplies	27,000	27,000	26,694	306
Other operating supplies	3,000	3,000	4,849	(1,849)
Gas, oil, diesel, etc.	150,500	150,500	238,251	(87,751)
Other supplies	3,000	3,000	2,240	760
Traffic light camera expense	110,000	110,000	82,982	27,018
Other grants and donations	1,025,462	1,025,462	619,518	405,944
Total police	10,583,339	11,412,162	9,391,900	2,020,262
Fire				
Salaries	5,124,554	6,395,483	6,381,452	14,031
Employee benefits and taxes	2,065,539	2,161,931	1,807,063	354,868
Printing and publications	2,000	2,000	1,211	789
Membership fees	8,000	8,000	6,201	1,799
Utilities	76,305	76,305	80,956	(4,651)
Physicals	50,500	50,500	46,937	3,563
Repairs and maintenance	232,500	232,500	448,380	(215,880)
Travel	36,000	36,000	34,937	1,063
Other contractual services	20,000	20,000	31,377	(11,377)
Training	60,000	62,895	71,213	(8,318)
Office supplies	2,500	2,500	1,690	810
Small office equipment	-	-	323	(323)
Operating supplies	20,000	20,000	20,197	(197)
Janitorial supplies	12,000	12,000	11,979	21
Clothing and uniforms	40,000	42,364	44,869	(2,505)
Fire prevention supplies	8,000	8,000	6,617	1,383
Gas, oil, diesel, etc.	85,000	85,000	119,904	(34,904)
Miscellaneous	24,650	24,650	28,685	(4,035)
Total fire	7,867,548	9,240,128	9,143,991	96,137
Total public safety	18,450,887	20,652,290	18,535,891	2,116,399

City of Gallatin, Tennessee
Statement of Revenues, Expenditures, and Changes in Fund Balance
Budget (GAAP Basis) and Actual
General Fund
For Year Ended June 30, 2022

	Budgeted amounts		Actual amounts	Variance with final budget
	Original	Final		
Expenditures				
Engineering				
Salaries	484,992	484,992	479,124	5,868
Employee benefits and taxes	176,290	176,290	146,914	29,376
Printing	3,000	3,000	2,182	818
Membership fees	1,290	1,290	592	698
Utilities	10,200	10,200	9,602	598
Professional services	50,000	50,000	4,842	45,158
Repairs and maintenance	456,023	1,874,000	1,461,678	412,322
Office supplies	1,500	1,500	696	804
Operating supplies	3,700	3,700	1,703	1,997
Gas, oil, diesel, etc.	3,000	3,000	4,637	(1,637)
Miscellaneous	3,250	3,250	2,583	667
Total engineering	<u>1,193,245</u>	<u>2,611,222</u>	<u>2,114,553</u>	<u>496,669</u>
Public works				
Salaries	282,950	292,950	268,235	24,715
Employee benefits and taxes	89,963	91,628	84,080	7,548
Utilities	1,800	1,800	1,336	464
Repairs and maintenance	8,500	8,500	65,617	(57,117)
Gas, oil, diesel, etc.	19,500	19,500	24,161	(4,661)
Miscellaneous	391,250	444,621	384,534	60,087
Total public works	<u>793,963</u>	<u>858,999</u>	<u>827,963</u>	<u>31,036</u>
Highways and streets				
Salaries	843,817	843,817	587,600	256,217
Employee benefits and taxes	413,811	413,811	206,830	206,981
Utilities	11,200	11,200	9,603	1,597
Physicals	1,000	1,000	3,520	(2,520)
Repairs and maintenance	156,000	178,463	164,425	14,038
Travel	1,000	1,000	668	332
Other contractual services	10,000	10,000	2,692	7,308
Operating supplies	2,500	2,500	3,351	(851)
Agricultural and horticultural supplies	4,000	4,000	10,472	(6,472)
Janitorial supplies	800	800	1,055	(255)
Clothing and uniforms	7,500	7,500	4,807	2,693
Other operating supplies	1,500	1,500	1,747	(247)
Gas, oil, diesel, etc.	63,000	63,000	57,249	5,751
Consumable tools	3,500	3,500	1,776	1,724
Sign parts and supplies	15,000	26,800	24,266	2,534
Demolition and mowing	20,000	20,000	7,742	12,258
Other supplies	1,500	1,500	341	1,159
Salt	30,000	30,000	29,545	455
Drainage materials	-	-	177	(177)
Inmate crew expense	10,000	10,000	3,521	6,479
Miscellaneous	18,150	28,839	5,879	22,960
Total highways and streets	<u>1,614,278</u>	<u>1,659,230</u>	<u>1,127,266</u>	<u>531,964</u>

City of Gallatin, Tennessee
Statement of Revenues, Expenditures, and Changes in Fund Balance
Budget (GAAP Basis) and Actual
General Fund
For Year Ended June 30, 2022

	Budgeted amounts		Actual	Variance with
	Original	Final	amounts	final budget
Expenditures				
Vehicle maintenance				
Salaries	276,143	317,758	298,591	19,167
Employee benefits and taxes	101,942	108,871	88,426	20,445
Utilities	12,400	12,400	11,689	711
Repairs and maintenance	196,100	274,000	234,902	39,098
Operating supplies	1,500	1,500	1,483	17
Clothing and uniforms	1,000	1,000	860	140
Maintenance supplies	500	500	158	342
Gas, oil, diesel, etc.	3,000	3,000	3,230	(230)
Miscellaneous	1,200	1,200	294	906
Total vehicle maintenance	593,785	720,229	639,633	80,596
Parks and recreation				
Civic center				
Salaries	842,865	842,865	868,664	(25,799)
Employee benefits and taxes	196,578	196,578	166,669	29,909
Postage	2,100	2,100	1,576	524
Printing and publications	4,500	4,500	4,426	74
Utilities	206,000	209,000	232,180	(23,180)
Employee physicals	1,000	1,000	2,674	(1,674)
Repairs and maintenance	70,900	202,793	119,427	83,366
Other contractual services	110,000	110,000	105,681	4,319
Operating supplies	70,000	87,014	78,687	8,327
Food	50,000	69,899	72,418	(2,519)
Janitorial supplies	15,000	15,000	11,617	3,383
Miscellaneous	22,500	22,500	29,064	(6,564)
Total civic center	1,591,443	1,763,249	1,693,083	70,166
Golf course				
Salaries	484,736	485,736	511,839	(26,103)
Employee benefits and taxes	163,490	163,657	143,868	19,789
Membership fees	1,600	1,600	1,020	580
Utilities	46,100	46,100	36,917	9,183
Physicals	200	200	751	(551)
Repairs and maintenance	7,000	44,900	19,068	25,832
Other contractual services	5,000	20,000	18,825	1,175
Items for resale	15,000	15,000	25,577	(10,577)
Operating supplies	20,000	20,000	23,745	(3,745)
Agricultural and horticultural supplies	55,000	63,000	35,006	27,994
Food	30,000	30,000	32,567	(2,567)
Clothing and uniforms	2,000	2,000	1,504	496
Gas, oil, diesel, etc.	14,500	14,500	15,848	(1,348)
Other equipment parts	25,000	40,000	39,830	170
Repair parts for water/sewer lines	1,000	1,000	874	126
Beer for resale	15,000	15,000	21,447	(6,447)
Discount credit card	16,000	16,000	31,864	(15,864)
Miscellaneous	3,800	3,800	15,919	(12,119)
Total golf course	905,426	982,493	976,469	6,024

City of Gallatin, Tennessee
Statement of Revenues, Expenditures, and Changes in Fund Balance
Budget (GAAP Basis) and Actual
General Fund
For Year Ended June 30, 2022

	Budgeted amounts		Actual amounts	Variance with final budget
	Original	Final		
Expenditures				
Parks				
Salaries	823,492	859,502	849,844	9,658
Employee benefits and taxes	513,873	533,869	488,348	45,521
Printing and publications	1,500	1,500	1,455	45
Memberships	2,000	2,000	1,742	258
Public relations	15,000	15,000	9,321	5,679
Utilities	123,000	128,000	141,423	(13,423)
Repairs and maintenance	58,000	724,100	543,897	180,203
Travel	2,000	2,000	4,494	(2,494)
Other contractual services	55,000	77,614	78,464	(850)
Small equipment	7,000	7,000	2,098	4,902
Operating supplies	75,000	88,410	87,413	997
Agricultural and horticultural supplies	25,000	25,165	13,447	11,718
Food	-	-	356	(356)
Gas, oil, diesel, etc.	40,000	75,000	87,695	(12,695)
Miscellaneous	3,300	3,300	2,663	637
Total parks	<u>1,744,165</u>	<u>2,542,460</u>	<u>2,312,660</u>	<u>229,800</u>
Total parks and recreation	4,241,034	5,288,202	4,982,212	305,990
Economic development				
Economic development agency				
Salaries	240,894	233,894	231,257	2,637
Employee benefits and taxes	82,076	68,176	63,569	4,607
Printing and publications	5,000	5,000	2,040	2,960
Membership fees	13,000	13,000	14,793	(1,793)
Public relations	27,000	27,000	26,395	605
Utilities	1,800	1,800	1,531	269
Repairs and maintenance	500	500	5,585	(5,085)
Professional services	12,000	12,000	10,176	1,824
Travel	6,000	6,000	3,806	2,194
Office supplies	2,250	2,250	2,233	17
Gas, oil, diesel, etc.	1,250	1,250	982	268
Miscellaneous	45,600	45,600	10,495	35,105
Total economic development agency	<u>437,370</u>	<u>416,470</u>	<u>372,862</u>	<u>43,608</u>
Economic development utility				
Professional services	15,000	15,000	11,150	3,850
Repairs and maintenance	7,500	7,500	5,000	2,500
Grants and donations	7,500	7,500	6,900	600
Total economic development utility	<u>30,000</u>	<u>30,000</u>	<u>23,050</u>	<u>6,950</u>
Total economic development	467,370	446,470	395,912	50,558

City of Gallatin, Tennessee
Statement of Revenues, Expenditures, and Changes in Fund Balance
Budget (GAAP Basis) and Actual
General Fund
For Year Ended June 30, 2022

	Budgeted amounts		Actual	Variance with
	Original	Final	amounts	final budget
Expenditures				
Capital outlay	3,891,035	11,689,767	4,563,834	7,125,933
Debt service				
Principal	1,745,000	3,770,690	1,745,000	2,025,690
Interest	970,589	970,589	970,589	-
Bond fees	1,435	1,435	1,400	35
Total debt service	<u>2,717,024</u>	<u>4,742,714</u>	<u>2,716,989</u>	<u>2,025,725</u>
Total expenditures	43,691,660	58,824,881	44,553,082	14,271,799
Excess (deficiency) of revenues over (under) expenditures	(3,326,626)	(10,270,799)	12,433,865	22,704,664
Other financing sources (uses)				
In lieu of payment, utility	1,740,000	1,740,000	1,872,093	132,093
Transfers from the other funds	-	-	-	-
Transfers to the other funds	-	-	-	-
Total other financing sources (uses)	<u>1,740,000</u>	<u>1,740,000</u>	<u>1,872,093</u>	<u>132,093</u>
Net change in fund balance	(1,586,626)	(8,530,799)	14,305,958	22,836,757
Fund balance, beginning of year	30,079,940	30,079,940	30,079,940	-
Fund balance, end of year of year	\$ 28,493,314	\$ 21,549,141	\$ 44,385,898	\$ 22,836,757

City of Gallatin, Tennessee
Statement of Fiduciary Net Position
Pension Trust Fund, Electric Department
June 30, 2022

Assets

Cash and cash equivalents	\$ 420,020
Receivables	
Employee contributions	4,450
Employer contributions	-
Investment income	29,886
Investments	
Mutual funds	2,028,396
US government and municipal obligations	1,533,115
Corporate bonds and debentures	4,021,205
Common stocks	5,087,639
Preferred stocks	37,500
Total assets	\$ 13,162,211

Liabilities and Net Position

Liabilities	
Payables	
Trustee/Custody fees	\$ 766
Investment management fees	15,428
Total liabilities	<u>16,194</u>
Net Position	
Restricted for pensions	13,146,017
Total liabilities and net position	\$ 13,162,211

City of Gallatin, Tennessee
Statement of Changes in Fiduciary Net Position
Pension Trust Fund, Electric Department
For Year Ended June 30, 2022

Additions

Contributions	
Employees	\$ 59,943
Employer	<u>600,000</u>
Total contributions	659,943
Investment income	
Net appreciation (depreciation) in fair value of investments	(1,691,167)
Interest and dividends	<u>275,580</u>
	(1,415,587)
Less: investment fees	<u>(77,848)</u>
Net investment gain	(1,493,435)
Total additions	(833,492)

Deductions

Benefit payments	627,700
Change in net position	(1,461,192)
Net position, beginning of year	<u>14,607,209</u>
Net position, end of year	\$ 13,146,017

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 1. Summary of Significant Account Policies

The City of Gallatin's financial statements are prepared in accordance with accounting principles generally accepted in the United States of America (GAAP). The Governmental Accounting Standards Board (GASB) is responsible for establishing GAAP for state and local governments through its pronouncements (Statements and Interpretations). The more significant accounting policies established in GAAP and used by the City of Gallatin are discussed below.

Reporting Entity

The City of Gallatin, Tennessee (the City) operates under a Mayor-Alderman form of government and provides the following services as authorized by its charter: public safety (police and fire), street maintenance, sanitation collection and disposal, recreation, water and sewer, electricity, gas, and general administrative services. As required by GAAP, these financial statements present the government and its component units, entities for which the City is considered to be financially accountable. Blended component units, although legally separate entities, are, in substance, part of the City's operations.

Related Organizations

The City's officials are also responsible for appointing the members of the Board of Gallatin Housing Authority (the Housing Authority), but the City's accountability for this organization does not extend beyond making the appointments. The Board of the Housing Authority is appointed by the Mayor, but the City does not provide funding, has no obligation for the debt issued by the Housing Authority, and cannot impose its will upon the operations of the Housing Authority. Accordingly, the Housing Authority has not been included in the reporting entity.

Joint Venture

The City is a participant in the Sumner County Resource Authority (the Resource Authority), a joint venture, in which it retains an ongoing financial interest. The Resource Authority is a joint venture of Sumner County and the Cities of Gallatin and Hendersonville, and operates a solid waste energy recovery plant. The City has no equity interest in the Resource Authority. Complete financial statements of the Resource Authority are available from the City Finance Director.

Government-wide and Fund Financial Statements

Government-wide Financial Statements

The government-wide financial statements (the statement of net position and the statement of activities) report information on all of the activities of the City. As a rule, the effect of interfund activity has been eliminated from the government-wide financial statements. Exceptions to this general rule are payments-in-lieu-of-taxes and other charges between the government's utilities and various other functions of the government. Elimination of these charges would distort the direct costs and program revenues reported for the various functions concerned. Governmental activities, which normally are supported by taxes and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for support.

The statement of activities demonstrates the degree to which the direct expenses of a given program are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific program. Program revenues include: 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given program, and 2) operating or capital grants and contributions that are restricted to meeting the operational or capital requirements of a particular program. Taxes and other items not included among program revenues are reported instead as general revenues.

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 1. Summary of Significant Account Policies

Government-wide and Fund Financial Statements

Government-wide Financial Statements

Separate financial statements are provided for governmental funds and proprietary funds. Major individual governmental funds and major individual enterprise funds are reported as separate columns in the fund financial statements.

Fund Financial Statements

The government uses funds to report on its financial position and the results of its operations. Fund accounting is designed to demonstrate legal compliance and to aid financial management by segregating transactions related to certain government functions or activities. A fund is a separate accounting entity with a self-balancing set of accounts.

The City has its funds classified into two categories: governmental and proprietary. Each category, in turn, is divided into separate "fund types."

Governmental funds are used to account for all or most of a government's general activities including the collection and disbursement of earmarked monies (special revenue funds) and the acquisition or construction of general fixed assets (capital projects funds). The General Fund is used to account for all activities of the general government not accounted for in some other fund.

Proprietary funds are used to account for activities similar to those found in the private sector, where the determination of net income is necessary or useful to sound financial administration. Goods or services from such activities can be provided either to outside parties (enterprise funds) or to other departments or agencies primarily within the government (internal service funds).

The City reports the following major governmental funds:

The General Fund is the government's primary operating fund. It accounts for all financial resources of the general government, except those required to be accounted for in another fund. The General Fund also includes the accounting for all solid waste revenues and expenditures.

The Capital Projects Fund focuses on project-to-date costs for many projects within the City. It accounts for and reports financial resources that are restricted, committed, or assigned to expenditure for capital outlays of governmental fund types including the acquisition and construction of capital facilities and other capital assets.

The City reports the following major proprietary funds:

The Gallatin Department of Electricity (Electric Department Fund) accounts for the activities of the government's electric distribution operations.

The Water and Sewer Department Fund accounts for the activities associated with the water distribution system, the sewage treatment plant, sewage pumping stations, and sewage collection system.

The Gas Department Fund accounts for the activities of the government's gas distribution operations.

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 1. Summary of Significant Account Policies

Government-wide and Fund Financial Statements

Fund Financial Statements

Additionally, the City reports the following fiduciary fund:

The Electric Department's pension trust fund is used to account for assets held for benefits related to the Gallatin Di of Electricity's pension plan.

Measurement Focus and Basis of Accounting

The government-wide financial statements are reported using the economic resources measurement focus and the accrual basis of accounting, as are the proprietary fund financial statements. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property taxes are recognized as revenues in the year for which they are assessed. Grants and similar items are recognized as revenues as soon as all eligibility requirements imposed by the provider have been met.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the City considers all revenues to be available in the period for which levied if they are collected within 60 days of the end of the current fiscal period. Those revenues susceptible to accrual are property taxes, franchise taxes, special assessments, licenses, interest income, and charges for services. Fines, permits, and parking meter revenues are not susceptible to accrual because, generally, they are not measurable until received in cash. Expenditures are recorded when the related fund liability is incurred. Principal and interest on long-term debt are recorded as fund liabilities when due or when amounts have been accumulated in the debt service fund for payments to be made early in the following year. Operating statements of these funds present increases (i.e., revenues and other financing sources) and decreases (i.e., expenditures and other financing uses) in net current assets.

Proprietary funds distinguish operating revenues and expenses from non-operating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. Operating expenses for the proprietary funds include the necessary costs to provide the services including the cost of personal and contractual services, supplies, and depreciation on capital assets. Charges for sales and services are reported net of discounts and allowances of \$356,272. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

When both restricted and unrestricted resources are available for use, it is the City's policy to use restricted resources first, then unrestricted resources as they are needed.

Cash and Cash Equivalents

The City's cash and cash equivalents are considered to be cash on hand, demand deposits, and short-term investments with maturities of three months or less from the date of acquisition. State statutes authorize the City to invest in certificates of deposit, obligations of the US Treasury agencies and instrumentalities, obligations guaranteed by the US government or its agencies, repurchase agreements, and the state's investment pool.

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 1. Summary of Significant Account Policies

Cash and Cash Equivalents

Investments for the City are reported at fair value. The State Local Government Investment Pool is operated in accordance with appropriate state laws and regulations. The reported value of the pool is the same as the fair value of the pool of shares.

Receivables and Payables

During the course of operations, numerous transactions occur between individual funds for goods provided or services rendered. These receivables and payables are classified as "due from other funds" or "due to other funds" on the balance sheet.

Property tax receivables are shown net of an allowance for uncollectibles. The allowance is recorded based on the past history of collections. Court fines receivable are also shown net of an allowance for uncollectibles. The allowance is recorded based on management's estimate of what portion of the outstanding receivable will be collected in the future.

The allowances for uncollectible customer accounts recorded in the proprietary funds are based on past history of uncollectible accounts and management's analysis of current accounts.

Property taxes are levied annually and notices are mailed on October 1. The taxes are due and payable from October through February of the next year. An unperfected lien attaches by statute to property on January 1 for unpaid taxes from the prior year's levy. Taxes uncollected by March 1 the year after due may be submitted to the Chancery Court for collection. Tax liens become perfected at the time the court enters judgment.

Inventories and Prepaid Items

Inventories of the Water and Sewer, and Gas Funds are valued at the lower of cost or market using a weighted-average flow assumption. Inventory of the Electric system is stated at average cost as determined by the moving average inventory method. Inventory of the General Fund consists of expendable supplies held for consumption. Governmental fund inventories are recorded at cost under the consumption method.

Restricted Assets

The City elects to use restricted assets before unrestricted assets when situations arise where either can be used.

The TCRS Stabilization Fund consists of amounts held in a pension stabilization trust by the Tennessee Consolidated Retirement System (TCRS) for the benefit of the City's TCRS Hybrid Plan. The purpose of this trust is to accumulate funds to provide stabilization (smoothing) of retirement costs to the City in times of fluctuating investment returns and market downturns. These funds are held and invested by TCRS pursuant to an irrevocable agreement and may only be used for the benefit of the City to fund retirement benefits upon approval of the TCRS Board of Directors. To date, the City has not withdrawn any funds from the trust to pay pension costs. Trust documents provide that the funds are not subject to the claims of general creditors of the City.

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 1. Summary of Significant Account Policies

Capital Assets

Capital assets, including property, plant, and equipment, and infrastructure assets (e.g., roads, bridges, sidewalks, and similar items) are reported in the applicable governmental or business-type activities columns in the government-wide financial statements. Capital assets are defined by the government as assets with an initial individual cost of more than \$75,000 for buildings and improvements other than buildings, and \$25,000 for the remaining capital assets categories, and estimated useful life in excess of two years. Land, construction in progress, and works of art are included in the thresholds. The electric fund uses a capitalization threshold of \$2,000; water and sewer, and gas funds use a threshold of \$25,000; and all three funds use an estimated useful life in excess of two years. Such assets are recorded at historical cost or estimated historical cost if purchased or constructed. Donated capital assets are recorded at estimated fair market value at the date of donation.

The costs of normal maintenance and repairs that do not add to the value of the assets or materially extend assets' lives are not capitalized. Major outlays for capital assets and improvements are capitalized as projects are constructed. Interest incurred during the construction phase of capital assets of business-type activities is included as part of the capitalized value of the assets constructed.

Capital assets of the City are depreciated using the straight-line method using the following useful lives:

Buildings and improvements	25 – 50 years
Transmission and distribution systems	10 – 50 years
General plant	10 – 50 years
Machinery, equipment, and rolling stock	3 – 10 years
Office furniture and equipment	3 – 10 years
Improvements other than buildings	50 years

Leased assets include copier rentals. Amortization is provided over the lives of the leases, which are three years.

Total depreciation expense for proprietary funds amounted to \$7,800,057 for the year ended June 30, 2022. Some of this depreciation was charged to expense accounts other than the depreciation accounts in the Electric Fund. Depreciation accounted for in this manner results in a difference between depreciation reported in the accompanying statement of revenues, expenses, and changes in net position and the amount reported in the footnotes. A reconciliation of this difference is provided below:

	Total Proprietary funds
Depreciation and amortization expense reported in note 6	\$ 7,938,129
Provision for depreciation on statement of revenues, expenses, and changes in net position	<u>(7,800,057)</u>
Difference (depreciation charged to other operating expense accounts)	\$ 138,072

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 1. Summary of Significant Account Policies

Compensated Absences

Vacation leave is accumulated by classified full-time employees according to the following schedule:

Years of Service	Annual Vacation Leave
0 – 1 Year	5 days
2 – 5 Years	10 days
6 – 10 Years	12 days
11 – 15 Years	15 days
16 – 18 Years	18 days
19 or more Years	21 days

Sick leave is accumulated at the rate of one day per month (same for the Electric fund). At retirement, an employee will be paid accumulated sick leave ranging from 20% - 50%, based on either their age or years of service on effective date of retirement.

Long-term Obligations

In the government-wide financial statements and proprietary fund types in the fund financial statements, long-term debt and other long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, or proprietary fund type statement of net position. Bond premiums and discounts are deferred and amortized over the life of the bonds using the effective interest method. Bonds payable are reported net of the applicable bond premium or discount. Bond issuance costs are expensed as incurred.

In the fund financial statements, governmental fund types recognize bond premiums and discounts, as well as bond issuance costs, during the current period. The face amount of debt issued is reported as other financial sources while discounts on debt issuances are reported as other financing uses. Issuance costs, whether or not withheld from the actual debt proceeds received, are reported as debt service expenditures.

Deferred Outflows/Inflows of Resources

In addition to assets, the statement of net position will sometimes report a separate section for deferred outflows of resources. The separate financial statement element "deferred outflows of resources" represents a consumption of net position that applies to a future period and so will not be recognized as an outflow of resources (expense/expenditure) until then.

In addition to liabilities, the statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element "deferred inflows of resources" represents acquisition of net position that applies to a future period and so will not be recognized as an inflow of resources (revenue) until that time.

The City reports unavailable property taxes, unavailable court fines revenues, and public safety revenues as deferred inflows of resources in the governmental fund balance sheet. In the statement of net position, unavailable property taxes related to the subsequent tax year and held evidence funds are reported. The City reports loss on bond refunding as a deferred inflow of resources in the statement of net position as well.

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 1. Summary of Significant Account Policies

Fund Balance

As prescribed by GASB Statement No. 54, governmental funds report fund balance in classifications based primarily on the extent to which the City is bound to honor constraints on the specific purposes for which amounts in the funds can be spent. Fund balance for governmental funds can consist of the following:

Nonspendable Fund Balance

This classification includes amounts that are restricted for specific purposes stipulated by external resource providers, constitutionally, or through enabling legislation. Restrictions may effectively be changed or lifted with the consent of resource providers. This classification also includes amounts that cannot be spent because they are not in spendable form (such as inventory or prepaid items).

Restricted Fund Balance

This classification includes amounts that are: (a) not in spendable form, or (b) legally or contractually required to be maintained intact. The "not in spendable form" criterion includes terms that are not expected to be converted to cash, for example: inventories, prepaid amounts, and long-term notes receivable.

Committed Fund Balance

This classification includes amounts that can only be used for the specific purposes determined by the City's highest level of decision-making authority (the City Council) and the highest form of authority (ordinances). Commitments may be changed or lifted only by the City taking the same formal action that imposed the constraint originally (for example: ordinance). The ordinance must be either approved or rescinded, as applicable, prior to the last day of the fiscal year for which the commitment is made. If the actual amount of the commitment is not available by June 30th, the ordinance must state the process of formula necessary to calculate the actual amount as soon as information is available.

Assigned Fund Balance

This classification includes amounts intended to be used by the City for specific purposes that are neither restricted nor committed. The City Council and its designee, the Finance Director, have the authority to assign amounts to be used for specific purposes. Assigned amounts also include all residual amounts in governmental funds (except for the General Fund and also negative amounts) that are not classified as nonspendable, restricted, or committed. Any funds assigned must be reported to the Council at the next regular meeting and recorded in the minutes. The Council has the authority to assign funds or to remove or change the assignments of the Finance Director with a simple majority vote. Upon passage of a budget ordinance where fund balance is used as the source to balance the budget, the Finance Director shall record the amount as assigned fund balance.

Unassigned Fund Balance

This fund balance is the residual classification for the General Fund. It is also used to report negative fund balances in other governmental funds.

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 1. Summary of Significant Account Policies

Fund Balance

The City will maintain a minimum unassigned fund balance in the General Fund equivalent to 20% of that fiscal year's operating expenses, excluding any capital purchases. The minimum unassigned fund balance is established to protect against cash flow shortfalls related to timing of project revenue receipts and to maintain a budget stabilization commitment. In any fiscal year, it shall take the affirmative action of five or more City Council members to approve an appropriation of funds that result in the minimum unassigned general fund balance to drop below 20%. In the event the balance drops below the minimum level, the City Council will develop a plan to replenish the fund balance to the minimum level within two years. The deficiency will be funded by reducing recurring expenditures, increasing revenues, or pursuing other fund sources, or a combination of the two.

Fund Balance Flow Assumptions

Sometimes the government will fund outlays for a particular purpose from both restricted and unrestricted resources (the total of committed, assigned, and unassigned fund balance). In order to calculate the amounts to report as restricted, committed, assigned, and unassigned fund balance in the governmental fund financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the government's policy to consider restricted fund balance to have been depleted before using any of the components of unrestricted fund balance. Further, when the components of unrestricted fund balance can be used for the same purpose, committed fund balance is depleted first, followed by assigned fund balance. Unassigned fund balance is applied last.

Net Position

Restricted net position is net position less related liabilities reported in the government-wide statement of net position that have limitations imposed on their use through constitutional provisions, enabling legislation or external restrictions imposed by creditors, grantors, contributors, legislation, or other governments.

When both restricted and unrestricted funds are available for expenditure, restricted funds should be spent first unless legal requirements disallow it.

Net investment in capital assets consists of capital assets, net of accumulated depreciation, and reduced by outstanding balances of debt issued to finance the acquisition, improvement, or construction of those assets.

Net Position Flow Assumption

Sometimes the City will fund outlays for a particular purpose from both restricted (e.g., restricted bond or grant proceeds) and unrestricted resources. In order to calculate the amounts to report as restricted – net position and unrestricted – net position in the financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the City's policy to consider restricted – net position to have been depleted before unrestricted – net position is applied.

Use of Estimates

The preparation of financial statements in conformity with GAAP requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 1. Summary of Significant Account Policies

Leases

The City determines if an arrangement is or contains a lease at contract inception and recognizes an intangible right of use asset and a lease liability at the lease commencement date. Subsequently, the intangible right of use asset is amortized on a straight-line basis over its useful life. The City also enters into agreements, as lessor, to lease office space or property, recognizing a lease receivable and a deferred inflow of resources. The lease term includes the noncancelable period of the lease plus an additional period covered by either an option to extend or not to terminate the lease that the lessee is reasonably certain to exercise, or an option to extend or not to terminate the lease controlled by the lessor. The City uses its estimated incremental borrowing rate as the discount rate for leases.

The City monitors for events or changes in circumstances that require a reassessment of its leases. When a reassessment results in the remeasurement of a lease liability, a corresponding adjustment is made to the carrying amount of the intangible right of use asset.

Pensions

City Funds

For purposes of measuring the net pension liability (asset), deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the City's participation in the Public Employee Retirement Plan of the Tennessee Consolidated Retirement System (TCRS), and additions to/deductions from the City's fiduciary net position have been determined on the same basis as they are reported by the TCRS for the Public Employee Retirement Plan. For this purpose, benefits (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms of the Public Employee Retirement Plan of the TCRS. Investments are reported at fair value.

Gallatin Department of Electricity

The net pension liability (asset) for the department was measured as of June 30, 2021 pursuant to GASB 68, which allows for a measurement date no earlier than the end of the employer's prior fiscal year, consistently applied from period to period. The requirement establishes standards for calculating and reporting the net pension liability (asset) and pension expense in the financial statements of the employer. The data necessary to comply with the new standards presents challenges to reporting the net pension liability (asset) and pension expense on a current basis while still adhering to the deadlines for financial reporting to different agencies. The net pension liability (asset) reported at June 30, 2022 is the net pension liability (asset) determined at June 30, 2021 and the pension expense reflects the activity for fiscal year 2021.

Other Post-employment Benefit (OPEB) Plan

Gallatin Department of Electricity

The net OPEB (Other Post-employment Benefit) liability for the department was measured as of June 30, 2021 pursuant to GASB 75, which allows for a measurement date no earlier than the end of the employer's prior fiscal year, consistently applied from period to period. The requirement establishes standards for calculating and reporting the net OPEB liability and OPEB expense in the financial statements of the employer. The data necessary to comply with the new standards presents challenges to reporting the net OPEB liability and OPEB expense on a current basis while still adhering to the deadlines for financial reporting to different agencies. Accordingly, with this implementation, the net OPEB liability reported at June 30, 2022 is the net OPEB liability determined at June 30, 2021 and the OPEB expense reflects the activity for fiscal year 2021.

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 2. Reconciliation of Government-wide and Fund Financial Statements

Explanation of Certain Differences Between the Balance Sheet of Governmental Funds and the Government-wide Statement of Net Position

The governmental fund balance sheet includes a reconciliation between fund balance – total governmental funds and net position – governmental activities as reported in the government-wide statement of net position. One element of the reconciliation explains that “receivables are not available to pay for current expenditures and, therefore, are deferred in the funds.” The details of the difference are as follows:

Unavailable property taxes	\$ 584,402
Unavailable court fines	<u>34,537</u>
Net adjustments	\$ 618,939

The reconciliation of the statement of revenues, expenditures, and changes in fund balances of governmental funds to the statement of activities includes reconciliation between net changes in fund balances – total government funds and changes in net position of governmental activities as reported in the government-wide statement of activities. One element of that reconciliation explains that “governmental funds report capital outlays as expenditures; however, in the statement of activities, the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense in the current period.” The details of the difference are as follows:

Capital outlay	\$ 13,637,922
Depreciation expense	<u>(4,608,656)</u>
Net adjustment	\$ 9,029,266

Note 3. Stewardship, Compliance, and Accountability

Budgetary Information

Annual budgets are adopted on a basis consistent with GAAP for the General Fund and special revenue funds, excluding the Capital Projects fund. The City follows these procedures in establishing the budgetary data reflected in the financial statements:

1. Prior to year-end, the Director of Finance and the Mayor submit to the City Council a proposed operating budget for the fiscal year commencing the following July 1st. The operating budget includes proposed expenditures and the means of financing them.
2. Public hearings are conducted to obtain taxpayer comments on the budget.
3. Prior to June 30, the budget is legally enacted through passage of an ordinance.
4. The Department Heads are authorized to transfer budgeted amounts within their departments; however, any revisions that alter the total expenditures of any department function or fund must be approved by the City Council.
5. Formal budgetary integration is employed as a management control device during the year for all funds excluding the Electric fund.
6. Budgeted amounts are as originally adopted, or as amended by the City Council. Budget appropriations lapse at year-end.

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 3. Stewardship, Compliance, and Accountability

Budgetary Information

As an extension of the formal budgetary process, the City Council may transfer or appropriate additional funds for expenditures not anticipated at the time of budget adoption. The City's policy is to not allow expenditures to exceed budgetary amounts at the total fund expenditure level without obtaining additional appropriation approval from the Council.

Note 4. Deposits and Investments

General Information

As of June 30, 2022, the City of Gallatin, Tennessee's Electric Department had \$4,764,176 and the General Fund had \$1,945,463 in certificates of deposit with local financial institutions.

As of June 30, 2022, the cemetery trust fund had \$21,025 in unrated stock investments with no maturities. These investments are reported at fair value and are categorized for fair value measurement within the fair value hierarchy established by GAAP. The hierarchy is based on the valuation inputs used to measure the fair value of the asset and give the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (Level 1 measurements) and the lowest priority to unobservable inputs (Level 3 measurements).

Level 1 - Unadjusted quoted prices for identical assets or liabilities in active markets that can be accessed at the measurement date.

Level 2 - Quoted prices for similar assets or liabilities in active markets; quoted prices for identical or similar assets or liabilities in markets that are not active; assets or liabilities that have a bid-ask spread price in an inactive dealer market, brokered market, or principal-to-principal market; and Level 1 assets or liabilities that are adjusted.

Level 3 - Valuations derived from valuation techniques in which significant inputs are unobservable.

The investments of the cemetery trust fund have been classified as Level 1.

Deposits and Investments

In accordance with its formal investment policy, the City manages its exposure to declines in fair values by limiting its investments to certificates of deposit with local financial institutions.

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 4. Deposits and Investments

General Information

Custodial Credit Risk

The City's policies limit deposits and investments to those instruments allowed by applicable state laws and described in note 1. State statutes require that all deposits with financial institutions must be collateralized by securities whose market value is equal to 105% of the value of uninsured deposits. The deposits must be collateralized by federal depository insurance, by the Tennessee Bank Collateral Pool, by collateral held by the City's agent in the City's name, or by the Federal Reserve Banks acting as third party agents. State statutes also authorize the City to invest in bonds, notes, or treasury bills of the United States or any of its agencies, certificates of deposit at Tennessee state chartered banks and savings and loan associations, repurchase agreements utilizing obligations of the United States or its agencies as the underlying securities, and the state pooled investment fund. Statutes also require that securities underlying repurchase agreements must have a market value of at least equal to the amount of funds invested in the repurchase transaction. As of June 30, 2022, all bank deposits were fully collateralized or insured.

TCRS Stabilization Trust, City Funds

Legal Provisions

The City is a member of the TCRS Stabilization Reserve Trust (the Trust). The City has placed funds into the irrevocable trust as authorized by statute under Tennessee Code Annotated (TCA), Title 8, Chapters 34-37. The TCRS Board of Trustees is responsible for the proper operation and administration of the trust. Funds of trust members are held by and invested in the name of the trust for the benefit of each member. Each member's funds are restricted for the payment of retirement benefits of that member's employees. Trust funds are not subject to the claims of general creditors of the City.

The trust is authorized to make investments as directed by the TCRS Board of Trustees. The City may not impose any restrictions on investments placed by the trust on its behalf. It is the intent of the plan trustees to allocate these funds in the future to offset pension costs.

Investment Balances

Assets of the TCRS, including the Stabilization Reserve Trust, are invested in the Tennessee Retiree Group Trust (TRGT). The TRGT is not registered with the Securities and Exchange Commission (SEC) as an investment company. The State of Tennessee has not obtained a credit quality rating for the TRGT from a nationally recognized credit rating agency. The fair value of investment positions in the TRGT is determined daily, based on the fair value of the pool's underlying portfolio. Furthermore, TCRS had not obtained or provided any legally binding guarantees to support the value of participant shares during the fiscal year. There are no restrictions on the sale or redemption of shares.

Investments are reported at fair value. Securities traded on a national exchange are valued at the last reported sales price. Investment income consists of realized and unrealized appreciation (depreciation) in the fair value of investments and interest and dividend income. Interest income is recognized when earned. Securities and securities transactions are recorded in the financial statements on a trade-date basis. The fair value of assets of the TRGT held at June 30, 2022 represents the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants. Assets held are categorized for fair value measurement within the fair value hierarchy established by GAAP as described above.

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 4. Deposits and Investments

TCRS Stabilization Trust, City Funds

Investment Balances

Investments using the Net Asset Value (NAV) per share have no readily determinable fair value and have been determined using amortized cost, which approximates fair value.

Where inputs used in the measurement of fair value fall into different levels of the hierarchy, fair value of the instrument in its entirety is categorized based on the lowest level input that is significant to the valuation. This assessment requires professional judgment and, as such, management of the TRGT has developed a fair value committee that worked in conjunction with the plan's custodian and investment professionals to make these valuations. All assets held were valued individually and aggregated into classes to be represented in the following tables.

Short-term securities generally include investments in money market-type securities, reported at cost plus accrued interest.

Equity and equity derivative securities classified in Level 1 are valued using last reported sales prices quoted in active markets that can be accessed at the measurement date. Equity and equity derivative securities classified in Level 2 are securities whose values are derived daily from associated traded securities. Equity securities classified in Level 3 are valued with the last trade data, having limited trading volume.

US Treasury bills, bonds, notes, and futures classified in Level 1 are valued using last reported sales prices quoted in active markets that can be accessed at the measurement date. Debt and debt derivative securities classified in Level 2 are valued using a bid-ask spread price from multiple independent brokers, dealers, or market principals, which are known to be actively involved in the market. Level 3 debt securities are valued using proprietary information, a single pricing source, or other unobservable inputs related to similar assets or liabilities.

Real estate investments classified in Level 3 are valued using the last valuations provided by external investment advisors or independent external appraisers. Generally, all direct real estate investments are appraised by a qualified independent appraiser(s) with the professional designation of Member of the Appraisal Institute (MAI), or its equivalent, every three years beginning from the acquisition date of the property. The appraisals are performed using generally accepted valuation approaches applicable to the property type.

For investments in private mutual funds, traditional private equity funds, strategic lending funds, and real estate funds that report using GAAP, the fair values, as well as the unfunded commitments, were determined using the prior quarter's NAV, as reported by the fund managers, plus the current cash flows. These assets were then categorized by investment strategy. In instances where the fund investment reported using non-GAAP standards, the investment was valued using the same method, but was classified in Level 3.

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 4. Deposits and Investments

TCRS Stabilization Trust, City Funds

Investment Balances

At June 30, 2022, the City had the following investments held by the Trust on its behalf. These funds are recognized as restricted assets in the General Fund, Other Governmental Funds, the Water and Sewer Fund, and the Gas Fund of the City.

	Weighted average days to maturity	Maturities	Fair value
Investments at fair value			
US equity	N/A	N/A	\$ 315,316
Developed market international equity	N/A	N/A	142,401
Emerging market international equity	N/A	N/A	40,686
US fixed income	N/A	N/A	203,430
Real estate	N/A	N/A	101,715
Short-term securities	N/A	N/A	10,172
NAV, private equity, and strategic lending	N/A	N/A	<u>203,429</u>
			\$ 1,017,149

A summary of investment values by fair value level at June 30, 2022 is as follows:

	Fair Value June 30, 2022	Level 1	Level 2	Level 3	NAV
US equity	\$ 315,316	\$ 315,316	\$ -	\$ -	\$ -
Developed market international equity	142,401	142,401	-	-	-
Emerging market international equity	40,686	40,686	-	-	-
US fixed income	203,430	-	203,430	-	-
Real estate	101,715	-	-	101,715	-
Short-term securities	10,172	-	10,172	-	-
NAV, private equity, and strategic lending	<u>203,429</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>203,429</u>
	\$1,017,149	\$ 498,403	\$ 213,602	\$ 101,715	\$ 203,429

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 4. Deposits and Investments

TCRS Stabilization Trust, City Funds

Risks and Uncertainties

The Trust's investments include various types of investment funds, which in turn invest in any combination of stock, bonds, and other investments exposed to various risks, such as interest rate, credit, and market risk. Due to the level of risk associated with certain investment securities, it is at least reasonably possible that changes in the values of investment securities will occur in the near term and that such changes could materially affect the amounts reported for Trust investments.

Interest Rate Risk

Interest rate risk is the risk that changes in interest rates will adversely affect the fair value of an investment. The City does not have the ability to limit trust investment maturities as a means of managing its exposure to fair value losses arising from increasing interest rates.

Credit Risk

Credit risk is the risk that an issuer or other counterparty to an investment will not fulfill its obligations. The City does not have the ability to limit the credit ratings of individual investments made by the Trust.

Concentration of Credit Risk

Concentration of credit risk is the risk of loss attributed to the magnitude of the City's investment in a single issuer. The City places no limit on the amount that may be invested in one issuer.

Custodial Credit Risk

Custodial credit risk for investments is the risk that, in the event of a failure of the counterparty to a transaction, the City will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party. Pursuant to the Trust agreement, investments are held in the name of the Trust for the benefit of the City to pay retirement benefits of its employees.

For further information concerning the legal provisions, investment policies, investment types, and credit risks of the City's investments with the TCRS Stabilization Reserve Trust, audited financial statements of the TCRS may be obtained at <https://comptroller.tn.gov/content/dam/cot/sa/advanced-search/disclaimer/2022/ag21066.pdf>

Electric Department Pension Investments

Information regarding investments of the Gallatin Department of Electricity Employee's Pension Plan may be obtained from a separate financial report. The report may be obtained by contacting the City's Finance Director.

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 5. Receivables

Receivables as of the year-end for the government's individual major funds and non-major and fiduciary funds in the aggregate, including the applicable allowances for uncollectible accounts, are as follows:

	General Fund	Capital Projects Fund	Electric Fund	Water and Sewer Fund	Gas Fund	Non-major and other Funds	Total
Receivables							
Property taxes	\$ 14,698,215	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 14,698,215
Interest	338,800	-	-	-	-	-	338,800
Accounts	1,617,333	-	7,948,547	1,781,863	1,507,867	528,153	13,383,763
Fines	2,095,274	-	-	-	-	-	2,095,274
Grants	259,528	1,444,300	-	-	-	-	1,703,828
Intergovernmental	4,233,017	-	-	-	-	-	4,233,017
Less allowance for doubtful accounts	<u>(2,341,494)</u>	<u>-</u>	<u>-</u>	<u>(82,922)</u>	<u>(202,000)</u>	<u>(20,694)</u>	<u>(\$2,647,110)</u>
Receivables, net	\$ 20,900,673	\$ 1,444,300	\$ 7,948,547	\$ 1,698,941	\$ 1,305,867	\$ 507,459	\$33,805,787

Governmental funds report unavailable revenues in connection with receivables for revenues that are not considered to be available to liquidate liabilities of the current period. Governmental funds also defer revenue recognition in connection with resources that have been received but not yet earned (unearned revenues). At the end of the current fiscal year, various components of unavailable revenues reported in the governmental funds were as follows:

	Unavailable	Unearned
Interest and penalty on property taxes receivable	\$ 304,920	\$ -
2022 property tax assessment	14,452,613	-
Other revenues collected in advance	-	71,539
Drug fund revenues held	-	62,196
Court fines	<u>34,537</u>	<u>-</u>
Total unavailable revenues for fund financial statements	\$ 14,792,070	\$ 133,735

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 6. Capital Assets

Capital assets activity for the year ended June 30 2022 was as follows:

	Balance June 30, 2021	Additions	Disposals	Transfers	Balance June 30, 2022
Governmental activities					
Capital assets not being depreciated					
Land	\$ 16,618,038	\$ -	\$ (3,193,204)	\$ -	\$ 13,424,834
Construction in progress	<u>257,458</u>	<u>1,598,707</u>	<u>-</u>	<u>(1,834,454)</u>	<u>21,711</u>
Total capital assets not being depreciated	16,875,496	1,598,707	(3,193,204)	(1,834,454)	13,446,545
Capital assets being depreciated					
Buildings	23,423,573	589,571	(297,027)	-	23,716,117
Improvements other than buildings	127,310,297	20,467,939	-	1,834,454	149,612,690
Vehicles	16,693,252	1,548,411	(1,205,013)	-	17,036,650
Office equipment	2,414,318	18,234	(396,427)	-	2,036,125
Equipment	<u>4,738,779</u>	<u>506,846</u>	<u>(672,620)</u>	<u>-</u>	<u>4,573,005</u>
Total capital assets being depreciated	174,580,219	23,131,001	(2,571,087)	1,834,454	196,974,587
Accumulated depreciation					
Buildings	9,296,973	541,935	(297,027)	-	9,541,881
Improvements other than buildings	19,152,351	2,267,740	-	-	21,420,091
Vehicles	12,193,772	1,339,543	(1,205,013)	-	12,328,302
Office equipment	2,146,108	117,356	(396,427)	-	1,867,037
Equipment	<u>2,984,224</u>	<u>342,082</u>	<u>(672,620)</u>	<u>-</u>	<u>2,653,686</u>
Total accumulated depreciation	45,773,428	4,608,656	(2,571,087)	-	47,810,997
Total capital assets being depreciated, net	<u>128,806,791</u>	<u>18,522,345</u>	<u>-</u>	<u>1,834,454</u>	<u>149,163,590</u>
Total governmental capital assets, net	\$145,682,287	\$ 20,121,052	\$ (3,193,204)	\$ -	\$162,610,135

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 6. Capital Assets

	Balance June 30, 2021	Additions	Disposals	Transfers	Balance June 30, 2022
Business-type activities					
Capital assets not being depreciated					
Land	\$ 4,043,750	\$ 254,419	\$ -	\$ -	4,298,169
Construction in progress	<u>6,418,342</u>	<u>416,523</u>	<u>(2,549,616)</u>	<u>(4,721,214)</u>	<u>(435,965)</u>
Total capital assets not being depreciated	10,462,092	670,942	(2,549,616)	(4,721,214)	3,862,204
Capital assets being depreciated					
Transmission plant	1,437,843	-	-	-	1,437,843
Distribution plant	251,534,859	26,528,625	(646,743)	4,721,214	282,137,955
General plant	5,203,242	352,233	-	-	5,555,475
Buildings	43,110,256	-	-	-	43,110,256
Operating equipment	3,462,024	262,643	(548,529)	-	3,176,138
Rolling stock	4,179,174	-	(11,824)	-	4,167,350
Office furniture and equipment	<u>705,929</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>705,929</u>
Total capital assets being depreciated	309,612,859	27,143,501	(1,207,096)	4,721,214	340,290,946
Accumulated depreciation					
Transmission plant	379,821	44,703	-	-	424,524
Distribution plant	98,751,398	6,235,265	(683,951)	-	104,302,712
General plant	3,006,518	265,866	-	-	3,272,384
Buildings	16,853,447	1,007,682	-	-	17,861,129
Operating equipment	2,657,666	295,269	(548,529)	-	2,404,406
Rolling stock	3,606,039	78,724	(11,824)	-	3,672,939
Office furniture and equipment	<u>673,466</u>	<u>10,620</u>	<u>-</u>	<u>-</u>	<u>684,086</u>
Total accumulated depreciation	125,916,424	7,938,129	(1,244,304)	-	132,622,180
Total capital assets being depreciated net	<u>183,696,435</u>	<u>19,205,372</u>	<u>37,208</u>	<u>4,721,214</u>	<u>207,668,766</u>
Total business-type capital assets, net	\$194,158,527	\$ 19,876,314	\$ (2,512,408)	\$ -	\$211,530,970

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 6. Capital Assets

Included in the additions for the governmental activities is \$11,091,786 in donated infrastructure from developers. Included in the additions for the business-type activities is \$3,779,101 in donated utility lines from developers.

Depreciation expense was charged to functions/programs of the primary government as follows:

Governmental Activities

General government	\$ 1,913,038
Public safety	1,217,408
Environmental services	177,982
Stormwater	137,204
Highways and streets	376,110
Parks and recreation	<u>786,914</u>
Total depreciation expense, governmental activities	\$ 4,608,656

Business-type Activities

Electric (see note 1)	\$ 2,193,334
Water and sewer	4,363,986
Gas	<u>1,376,762</u>
Total depreciation expense	7,934,082
Amortization of right-to-use assets	<u>4,047</u>
Total depreciation and amortization expenses, business-type activities	\$ 7,938,129

Gallatin Department of Electricity

Construction Work in Progress:

The Department has been experiencing a high percentage of growth and development for some time now. The policy for the department has been to collect as Aid-to-Construction a portion of the costs to be incurred during the new construction process. Due to the volume of requests for new construction, the length of time to acquire the necessary materials once ordered, and the labor/time required to complete the projects, the Department has a negative balance in Construction Work in Progress at June 30, 2022, due to advance payments being credited to the work order process upon receipt. The Department follows this method of accounting for Construction Work in Progress based on FERC guidance as well as from our regulator, the Tennessee Valley Authority (TVA). This is to ensure that plant in service will be recorded at actual cost. A lot of work has already been committed to these projects as well as materials being ordered. This is an unusual occurrence that will equal out once the costs are accumulated in the individual work orders as the work progresses.

For the Electric department, lease assets are summarized below:

Right-to-use asset	\$ 20,468
Less: accumulated amortization	<u>(15,978)</u>
Lease assets, net	\$ 4,490

Amortization expense for the year was charged to the business-type function in the amount of \$4,047.

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 7. Long-term Debt

Governmental activities debt at June 30, 2022 is comprised of the following:

General Obligation Improvement Bonds, Series 2014, due in annual installments from \$375,000 to \$1,090,000, through January 2034, interest at 2.00% to 5.00%	\$ 8,525,000
General Obligation Improvement Bonds, Series 2016, due in annual installments from \$430,000 to \$700,000, through January 2036, interest at 2.00% to 5.00%	8,210,000
General Obligation Improvement Bonds, Series 2021, due in annual installments from \$325,000 to \$630,000, through January 2041, interest at 2.00% to 5.00%	<u>9,400,000</u>
Total bonds payable	\$ 26,135,000

The aforementioned bonds are secured by the full faith and credit of the City. During 2022, debt service for the aforementioned debt was provided by the City's General Fund

Business-type activities debt at June 30, 2022 is comprised of the following:

Water and Sewer Revenue Bonds, Series 2015, due in annual installments from \$500,000 to \$1,825,000, through July 2040, interest at 3.00% to 5.00%	\$ 5,700,000
Water and Sewer Revenue Refunding and Improvement Bonds, Series 2014, due in annual installments from \$265,000 to \$570,000, through July 2029, interest at 2.00% to 5.00%	2,690,000
Water and Sewer Revenue Refunding and Improvement Bonds, Series 2011, due in annual installments from \$25,000 to \$635,000, through July 2032, interest at 2.00% to 3.625%	5,925,000
Gas Revenue Bonds, Series 2019, due in annual installments from \$190,000 to \$380,000, through January 2039, interest at 3.00% to 5.00%	4,940,000
Water and Sewer Revenue Improvement Bonds, Series 2021A, due in annual installments from \$325,000 to \$775,000, through July 2046, interest at 3.00% to 4.00%	13,400,000
Water and Sewer Revenue Refunding Bonds, Series 2021B, due in annual installments from \$125,000 to \$1,840,000, through July 2038, interest at 0.51% to 2.75%	<u>13,965,000</u>
Total bonds payable	\$ 46,620,000

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 7. Long-term Debt

The aforementioned bonds are secured by revenue streams of the Gas and Water and Sewer funds. During 2022, debt service for the aforementioned debt was provided solely by the City's Proprietary Funds.

The annual requirements, by type of issue, to amortize all long-term debt outstanding at June 30, 2022 are as follows:

Year Ended June 30,	Governmental Activities		Business-type Activities			
	General Obligation Bonds		Revenue Bonds		Totals	
	Principal	Interest	Principal	Interest	Principal	Interest
2023	\$ 1,780,000	\$ 911,850	\$ 2,690,000	\$ 1,401,819	\$ 4,470,000	\$ 2,313,669
2024	1,835,000	846,600	2,810,000	1,304,311	4,645,000	2,150,911
2025	1,895,000	754,850	2,925,000	1,201,666	4,820,000	1,956,516
2026	1,965,000	670,200	3,010,000	1,096,530	4,975,000	1,766,730
2027	2,035,000	582,450	3,125,000	982,418	5,160,000	1,564,868
2028 – 2032	7,650,000	1,956,150	16,185,000	3,623,138	23,835,000	5,579,288
2033 – 2037	6,535,000	669,232	7,530,000	1,794,636	14,065,000	2,463,868
2038 – 2042	2,440,000	123,300	4,685,000	882,894	7,125,000	1,006,194
2043 – 2047	-	-	3,660,000	280,950	3,660,000	280,950
	\$26,135,000	\$ 6,514,632	\$46,620,000	\$12,568,362	\$72,755,000	\$19,082,994

The City complied with all significant debt covenants and restrictions as set forth in the bond agreements. The above bonds and notes payable contain provisions that in the event of default, the lenders can exercise one or more of the following options:

- 1) make the outstanding bond and/or note payable with accrued interest due and payable,
- 2) use remedies allowed by state or federal law.

Governmental Activities

Long-term liability activity for the year ended June 30, 2022 was as follows:

	Beginning balance	Additions	Reductions	Ending balance	Due within one year
General obligation bonds	\$27,880,000	\$ -	\$ (1,745,000)	\$26,135,000	\$ 1,780,000
Premium on bond issue	<u>2,375,889</u>	<u>-</u>	<u>(297,264)</u>	<u>2,078,625</u>	<u>277,667</u>
Total long-term debt	\$ 30,255,889	\$ -	\$ (2,042,264)	\$ 28,213,625	\$ 2,057,667

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 7. Long-term Debt

Governmental Activities

Other long-term obligations activity for the year ended June 30, 2022 was as follows:

	Beginning balance	Additions	Reductions	Ending balance	Due within one year
Compensated absences	\$ 1,853,442	\$ 1,697,977	\$ (1,666,230)	\$ 1,885,189	\$ 1,697,977

Business-type Activities

Long-term liability activity for the year ended June 30, 2022 was as follows:

	Beginning balance	Additions	Reductions	Ending balance	Due within one year
Revenue and tax bonds	\$ 33,765,000	\$ 27,365,000	\$(14,510,000)	\$ 46,620,000	\$ 2,690,000
Premium on bond issue	2,533,322	1,723,788	(280,082)	3,977,028	386,993
Lease liability	<u>9,134</u>	<u>-</u>	<u>(4,125)</u>	<u>5,009</u>	<u>3,710</u>
Total long-term debt	\$ 36,307,456	\$ 29,088,788	\$(14,794,207)	\$ 50,597,028	\$ 3,080,703

Other long-term obligations activity for the year ended June 30, 2022 was as follows:

	Beginning balance	Additions	Reductions	Ending balance	Due within one year
Compensated absences	\$ 834,177	\$ 546,372	\$ (486,381)	\$ 894,168	\$ 526,513
OPEB liability	<u>631,954</u>	<u>-</u>	<u>(1,709)</u>	<u>630,245</u>	<u>-</u>
Total other long-term obligations	\$ 1,466,131	\$ 546,372	\$ (488,090)	\$ 1,524,413	\$ 526,513

Within the City's governmental activities, compensated absences are generally liquidated by the General Fund. The City complied with all significant debt covenants and restrictions as set forth in the bond agreements across all systems.

The water and sewer department and gas department funds issue revenue bonds, which are collateralized by the revenues of the respective departments. The bonds payable for all systems contain provisions that, in the event of default, the lender can exercise one or more of the following options: (1) Make all or any of the outstanding bonds payable balance immediately due and accrued interest at highest post maturity interest rate, (2) Use any remedy allowed by state or federal law.

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 7. Long-term Debt

Issuance of Long-term Debt

In November 2021, the City issued \$13,400,000 in Water and Sewer Revenue Improvement Bonds, Series 2021A (Series 2021A Bonds) for the purpose of providing funds to (i) finance extensions and improvements to the System and (ii) pay costs of issuance. The Series 2021A bonds are issued as fully registered bonds, in denominations of \$5,000, and are payable solely from and secured by a lien on the revenues of the City's water and sewer system (the "System"), after payment of operating expenses, on a parity of lien with the City's outstanding Water and Sewer Revenue Refunding and Improvement Bonds, Series 2011, its Water and Sewer Revenue Refunding and Improvement Bonds, Series 2014 and Water and Sewer Revenue Refunding and Improvement Bonds, Series 2015 and any obligations hereafter issued on parity therewith. The Series 2021A bonds carry fixed interest rates ranging from 3.0% to 4.0% and mature between July 1, 2022 and July 1, 2046. Interest is payable semi-annually on July 1 and January 1. Series 2021A bonds maturing on July 1, 2032, and thereafter, are subject to redemption prior to maturity at the option of the City, on or after July 1, 2031, as a whole or in part, at a redemption price equal to 100% of the principal amount plus accrued interest to the redemption date.

In November 2021, the City issued \$13,965,000 in Water and Sewer Revenue Refunding Bonds, Series 2021B (Series 2021B) to refund \$12,435,000 of its outstanding Water and Sewer System Revenue and Improvement Bonds, Series 2015, dated May 19, 2015, (the Outstanding Bonds). The Outstanding Bonds were called for redemption in November 2021, and were redeemed at a redemption price of par plus accrued interest. The estimated economic gain from the refunding was approximately \$1.2 million.

The Series 2021B bonds are issued as fully registered bonds, in denominations of \$5,000, and are payable solely from and secured by a lien on the revenues of the System, after payment of operating expenses, on a parity of lien with the City's outstanding Water and Sewer Revenue Refunding and Improvement Bonds, Series 2011, its Water and Sewer Revenue Refunding and Improvement Bonds, Series 2014 and Water and Sewer Revenue Refunding and Improvement Bonds, Series 2015 and any obligations hereafter issued on parity therewith. The Series 2021B bonds carry fixed interest rates ranging from 0.51% to 2.75% and mature between July 1, 2022 and July 1, 2037. Interest is payable semi-annually on July 1 and January 1. Series 2021B bonds maturing on July 1, 2032 and thereafter are subject to redemption prior to maturity at the option of the City, on or after July 1, 2031, as a whole or in part, at a redemption price equal to 100% of the principal amount plus accrued interest to the redemption date.

Advance Refunding of Bonds

In prior years, the City has defeased certain bonds by placing the proceeds of new bonds in irrevocable trusts to provide for all future debt service requirements on the retired bonds. Accordingly, the trust account assets and the liability for the defeased bonds are not included in the City's financial statements. As of June 30, 2022, outstanding bonds considered as defeased were as follows:

General Obligation Public Improvements Bonds – Series 2007	\$ 5,130,000
Water and Sewer Revenue and Tax Bonds – Series 2008	<u>20,010,000</u>
	\$ 25,140,000

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 8. Lease Liabilities

The Electric Department entered into a 61-month lease agreement in March 2018 for three copy machines. The Electric Department entered into a 60-month lease agreement in June of 2019 for a large engineering printer. At the time of the initial agreements, there was no interest rate specified in the lease agreement, nor were there any values assigned to the equipment. The Department used a borrowing rate of 2.2672%, which was available during the year of implementation through the issuance of a bond, to calculate the present value to place on the equipment, and to establish the lease liability.

The amount of payments made during the year applied to the lease liabilities totaled \$44,581.

Principal and interest requirements on these leases are as follows:

Year ended June 30,	Principal	Interest	Total
2023	\$ 3,710	\$ 69	\$ 3,779
2024	<u>1,299</u>	<u>16</u>	<u>1,315</u>
Total	\$ 5,009	\$ 85	\$ 5,094

Note 9. Interfund Balances and Transfers

There were no interfund balances at June 30, 2022. The following is a summary of transfers during the year ended June 30, 2022:

Transfers from	Transfers to	Amount
Electric fund	General fund	\$ 982,759
Water and sewer fund	General fund	476,032
Gas fund	General fund	<u>413,302</u>
		1,872,093
	Less: governmental fund activities eliminated	(<u>\$1,872,093</u>)
	Total government-wide transfers	\$ -

The transfers between the proprietary funds and the general fund are for the purpose of transferring in-lieu-of-tax payments.

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 10. Pension Plans – City Funds

General Information about the Pension Plan

Plan Description

Employees of the City are provided a defined benefit hybrid pension plan through the Public Employee Retirement Plan, an agent multiple-employer pension plan administered by the TCRS. The TCRS was created by state statute under Tennessee Code Annotated (TCA), Title 8, Chapters 34-37. The TCRS Board of Trustees is responsible for the proper operation and administration of the TCRS. The Tennessee Treasury Department, an agency in the legislative branch of state government, administers the plans of the TCRS. The TCRS issues a publicly available financial report that can be obtained at <https://treasury.tn.gov/Retirement/Boards-and-Governance/Reporting-and-Investment-Policies>.

Benefits Provided

Tennessee Code Annotated, Title 8, Chapters 34-37, establishes the benefit terms and can be amended only by the Tennessee General Assembly. The chief legislative body may adopt the benefit terms permitted by statute. Members are eligible to retire with an unreduced benefit at age 65 with 5 years of service credit or pursuant to the rule of 90 in which the member's age and service credit total 90. Benefits are determined by a formula using the member's highest five consecutive years average compensation and the member's service credit. Reduced benefits for early retirement are available at age 60 and vested or pursuant to the rule of 80 in which the member's age and service credit total 80. Members vest with five years of years of service credit. Service-related disability benefits are provided regardless of length of service. Five years of service is required for nonservice-related disability eligibility. The service-related and nonservice-related disability benefits are determined in the same manner as a service retirement benefit but are reduced 10% and include projected service credits. A variety of death benefits are available under various eligibility criteria.

Member and beneficiary annuitants are entitled to automatic cost of living adjustments (COLAs) after retirement. A COLA is granted each July for annuitants retired prior to the 2nd of July of the previous year. The COLA is based on the change in the consumer price index (CPI) during the prior calendar year, capped at 3%, and applied to the current benefit. No COLA is granted if the change in the CPI is less than 0.5%. A 1% percent COLA is granted if the CPI change is between 0.5% and 1%. A member who leaves employment may withdraw their employee contributions, plus any accumulated interest. Moreover, there are defined cost controls and unfunded liability controls that provide for the adjustment of benefit terms and conditions on an automatic basis.

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 10. Pension Plans – City Funds

General Information about the Pension Plan

Employees Covered by Benefit Terms

At the measurement date of June 30, 2021, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefits	-
Inactive employees entitled to but not yet receiving benefits	68
Active employees	<u>239</u>
	307

Contributions

Contributions for employees are established in the statutes governing the TCRS and may only be changed by the Tennessee General Assembly. Employees contribute 5% of salary. The City makes employer contributions at the rate set by the Board of Trustees as determined by an actuarial valuation. For the year ended June 30, 2022, the employer contributions by the City were \$247,676, based on a rate of 4% of covered payroll. By law, employer contributions are required to be paid. The TCRS may intercept the City's state shared taxes if required employer contributions are not remitted. The employer's actuarially determined contribution (ADC) and member contributions are expected to finance the costs of benefits earned by members during the year, the cost of administration, as well as an amortized portion of any unfunded liability.

Net Pension Liability (Asset)

Pension Liability (Asset)

The City's net pension liability (asset) was measured as of June 30, 2021, and the total pension liability used to calculate net pension liability (asset) was determined by an actuarial valuation as of that date.

Actuarial Assumptions

The total pension liability as of the June 30, 2021 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Inflation	2.25%
Salary increases	Graded salary ranges from 8.72% to 3.44% based on age, including inflation, averaging 4.00%
Investment rate of return	6.75%, net of pension plan investment expenses, including inflation
Cost-of-living adjustment	2.125%, if provided

Mortality rates were based on actual experience including an adjustment for some anticipated improvement.

The actuarial assumptions used in the June 30, 2021 actuarial valuation were based on the results of an actuarial experience study performed for the period July 1, 2016 through June 30, 2020. The demographic assumptions were adjusted to more closely reflect actual and expected future experience.

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 10. Pension Plans – City Funds

Net Pension Liability (Asset)

Changes of assumptions

In 2021, the following assumptions were changed: decreased the inflation rate from 2.50% to 2.25%; decreased the investment rate of return from 7.25% to 6.75%; decreased the cost-of-living adjustment from 2.25% to 2.125%; and modified mortality assumptions.

The long-term expected rate of return on pension plan investments was established by the TCRS Board of Trustees in conjunction with the June 30, 2020 actuarial experience study. A blend of future capital market projections and historical market returns was used in a building-block method in which a best estimate of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) is developed for each major asset class. These best estimates are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation of 2.50%. The best estimates of geometric real rates of return and the TCRS investment policy target asset allocation for each major asset class are summarized in the following table:

Asset class	Long-term expected real rate of return	Target allocation
US equity	4.88%	31%
Developed market international equity	5.37%	14%
Emerging market international equity	6.09%	4%
Private equity and strategic lending	6.57%	20%
US fixed income	1.20%	20%
Real estate	4.38%	10%
Short-term securities	0.00%	1%
		100%

The long-term expected rate of return on pension plan investments was established by the TCRS Board of Trustees as 6.75% based on a blending of the factors described above.

Discount Rate

The discount rate used to measure the total pension liability was 6.75%. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the current rate and that contributions from the City will be made at the actuarially determined contribution rate pursuant to an actuarial valuation in accordance with the funding policy of the TCRS Board of Trustees and as required to be paid by state statute. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make projected future benefit payments of current active and inactive members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 10. Pension Plans – City Funds

Changes in the Net Pension Liability (Asset)

	Total pension liability (a)	Plan fiduciary net position (b)	Net pension liability (asset) (a)-(b)
Balance, June 30, 2020	\$ 1,227,840	\$ 1,135,777	\$ 92,063
Service cost	666,354	-	666,354
Interest	137,048	-	137,048
Differences between expected and actual experience	(52,390)	-	(52,390)
Changes in assumptions	169,586	-	169,586
Contributions, employer	-	190,332	(190,332)
Contributions, employees	-	556,528	(556,528)
Net investment income	-	385,616	(385,616)
Benefit payments, including refunds of employee contributions	(7,761)	(7,761)	-
Administrative expenses	-	(21,022)	21,022
Other changes	-	-	-
Net change	<u>912,837</u>	<u>1,103,693</u>	<u>(190,856)</u>
Balance, June 30, 2021	\$ 2,140,677	\$ 2,239,470	\$ (98,793)

Sensitivity of the Net Pension Liability (Asset) to Changes in the Discount Rate

The following presents the net pension liability (asset) of the City calculated using the discount rate of 6.75%, as well as what the net pension liability (asset) would be if it were calculated using a discount rate that is 1-percentage-point lower (5.75%) or 1-percentage-point higher (7.75%) than the current rate:

	1% Decrease (5.75%)	Current rate (6.75%)	1% Increase (7.75%)
Net pension liability (asset)	\$ 450,641	\$ (98,793)	\$ (517,877)

Pension Expense (Negative Pension Expense) and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

Pension Expense (Negative Pension Expense)

For the year ended June 30, 2022, the City recognized pension expense (negative pension expense) of \$129,964.

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 10. Pension Plans – City Funds

Pension Expense (Negative Pension Expense) and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

Deferred Outflows of Resources and Deferred Inflows of Resources)

For the year ended June 30, 2022, the City reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred outflows of resources	Deferred inflows of resources
Difference between expected and actual experience	\$ 129,945	\$ 47,627
Net difference between expected and actual earnings on pension plan investments	-	211,442
Changes in assumptions	154,169	-
Contributions made subsequent to measurement date of June 30, 2022	247,676	-
	<u>\$ 531,790</u>	<u>\$ 259,069</u>

The amount shown above for “Contributions subsequent to the measurement date of June 30, 2022” will be recognized as a reduction (increase) to net pension liability (asset) in the following measurement period.

Amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year ended June 30,	
2023	\$ (29,558)
2024	(29,558)
2025	(29,476)
2026	(32,981)
2027	22,467
Thereafter	124,151

In the table shown above, positive amounts will increase pension expense while negative amounts will decrease pension expense.

Defined Contribution Plans

The City has two defined contribution plans. One is the State of Tennessee Deferred Compensation Plan II – 401(k) (the Hybrid Plan) which was adopted by the City in 2018. The other plan is the State of Tennessee 401(k) plan (the former plan), which was in existence prior to 2018. When the City joined the Hybrid Plan, existing employees were given the option to stay on the former plan or move to the Hybrid plan. Several employees chose to stay on the former plan. The City has determined that none of its defined contribution pension plans are fiduciary component units or fiduciary activities of the government.

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 10. Pension Plans – City Funds

State of Tennessee 401(k) Plan

Plan Description

The City (exclusive of the electric utility) participates in the State of Tennessee 401(k) plan (the Plan) with a Roth option. Employees of the City's Municipal Service departments, Water and Sewer Utility Fund, and Natural Gas Utility Fund are eligible to participate in the Plan. The Plan assets are not held by the City and the City does not exercise a trustee responsibility over such assets nor does the City actively participate in the Plan's management or administration, which is delegated to the City of Gallatin Pension Committee. The Pension Committee has designated Retire Ready TN as a third-party administrator. Accordingly, the City does not meet the criteria necessary for presentation of the Plan as a fiduciary fund of the City.

Funding Policy

The City's Plan allows employees to make tax deferred contributions into self-directed investments of as much as allowable under the Internal Revenue Code. During the fiscal year, the City contributed 5% of the employees' annual compensation and matched up to an additional 4% of the employees' contributions. Employees are not eligible to participate until after one year of employment. The vesting of employer contributions increases from 20% in year one, with 20% annual increases until contributions are 100% vested after 5 years in the plan. If an employee leaves employment before the vesting period is complete, the forfeiture is put into a forfeiture account that can be used to pay expenses related to the plan. The City had no forfeitures in 2022. At calendar year-end, any unused forfeitures are distributed pro-rata to the other members of the plan.

Annual Contributions

The City's maximum contribution to the Plan is defined as up to 9% of an eligible employee's annual compensation. The City contributed \$906,649 on behalf of the employees for the fiscal year ended June 30, 2022.

State of Tennessee Deferred Compensation Plan II – 401(k)

Plan Description

The Hybrid Plan is a combination of the defined benefit plan (Public Employment Retirement Plan described in General Information about the Pension Plan above) and a defined contribution plan (a 401(k) plan). Employees of the City hired after October 1, 2018 working more than 30 hours per week, and any existing City employee working more than 30 hours per week who chooses to join the TCRS Hybrid Plan are eligible for the plan. The Chair of the TCRS may amend the Hybrid Plan on behalf of all employers. The Chair also has the sole and exclusive authority to interpret the Hybrid Plan and decide all claims and appeals for the Hybrid Plan benefits.

Funding Policy

Employers contribute 4% of payroll to the defined benefit component (as noted in General Information about the Pension Plan above), and 5% of payroll to the defined contribution component, for an aggregate employer contribution of 9%. Employees may elect to defer a percentage of their salary into the plan. Defined contribution plan amounts are deposited into the State's 401(k) plan with Great West Financial, where the employee manages the investments. Employees immediately vest in both the employee and employer contributions to the defined contribution plan.

Annual Contributions

The City contributed \$650,754 on behalf of the employees for the fiscal year ended June 30, 2022.

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 11. Pension Plan – Gallatin Department of Electricity

General Information about the Pension Plan

Plan Description

The Gallatin Department of Electricity Employee's Pension Plan (the Electric Plan) is a single-employer defined benefit pension plan administered by the Gallatin Electric Power Board. The Electric Plan provides retirement, disability, and death benefits to the Electric Plan members and their beneficiaries. While the Electric Plan covers substantially all Department employees, it was closed to new entrants effective March 1, 2016. The authority to establish and amend benefit provisions of the Electric Plan is assigned to the Gallatin Electric Power Board. The Electric Plan issues a separate financial report that includes financial statements and required supplementary information. That report may be obtained by writing to Gallatin Department of Electricity, P.O. Box 1555, Gallatin, TN 37066 or by calling 615-452-5152.

For pension benefits, employees with 20 or more years of credited service are entitled to monthly pension benefits upon attainment of early retirement at age 55. The plan's normal retirement age is 65.

Inactive employees or beneficiaries currently receiving benefits	22
Inactive employees entitled to but not yet receiving benefits	1
Active employees	<u>22</u>
	45

Contribution Requirements

The contribution requirements of the Electric Plan members and the department are established and may be amended by the Gallatin Electric Power Board. Electric Plan members are required to contribute 3% of their annual covered salary. The Department is required to contribute at an actuarially determined rate. The rate used in FY 2022 was 16.67% of annual covered payroll. The Department contributed \$600,000 for the year ended June 30, 2022.

Net Pension Liability

The Electric Department's net pension liability was measured as of June 30, 2021, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of June 30, 2021.

Actuarial Assumptions

The total pension liability as of the June 30, 2021 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Salary increases	4.00% per year
Investment rate of return	7.00%, compounded annually
Cost-of-living adjustment	1.50% per year of original benefit amount

Mortality rates were based on the SOA RP-2014 Total Data Set Mortality with Scale MP-2019.

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 11. Pension Plan – Gallatin Department of Electricity

Net Pension Liability

Actuarial Assumptions

The long-term expected rate of return on pension plan investment was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighing the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset class	Long-term expected real rate of return	Target allocation
US equity – large cap	5.59%	56%
US equity – small/mid cap	6.62%	3%
Fixed income	6.41%	40%
Cash	3.39%	1%
		100%

Discount Rate

The discount rate used to measure the total pension liability was 7.00%. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the current contribution rate and that the Department contributions will be made at rates equal to the difference between actuarially determined contribution rates and the employee rate.

Based on these assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 11. Pension Plan – Gallatin Department of Electricity

Changes in Net Pension Liability

	Total pension liability (a)	Plan fiduciary net position (b)	Net pension liability (asset) (a)-(b)
Balance, June 30, 2020	\$ 11,433,994	\$ 11,481,638	\$ (47,644)
Service cost	254,942	-	254,942
Interest	794,550	-	794,550
Differences between expected and actual returns	26,471	-	26,471
Contributions, employer	-	750,000	(750,000)
Contributions, employees	-	59,095	(59,095)
Net investment income	-	3,077,505	(3,077,505)
Benefits paid, including refunds and contributions	(688,070)	(688,070)	-
Changes in assumptions	(45,689)	-	(45,689)
Administrative expenses	-	(72,959)	72,959
Net change	<u>342,204</u>	<u>3,125,571</u>	<u>(2,783,367)</u>
Balance, June 30, 2021	\$ 11,776,198	\$ 14,607,209	\$ (2,831,011)

Sensitivity of the Net Pension Liability to Changes in the Discount Rate

The following presents the net pension liability of the Department, calculated using the discount rate of 7.00%, as well as what the Department's net pension liability would be if it were calculated using a discount rate that is 1% lower (6.00%) or 1% higher (8.00%) than the current rate:

	1% Decrease (6.00%)	Current rate (7.00%)	1% Increase (8.00%)
Total pension liability (asset)	\$ 13,209,871	\$ 11,776,198	\$ 10,570,679
Plan fiduciary net pension	<u>14,607,209</u>	<u>14,607,209</u>	<u>14,607,209</u>
Net pension liability (asset)	\$ (1,397,338)	\$ (2,831,011)	\$ (4,036,530)

For the year ended June 30, 2022, the Department recognized pension expense as follows:

Components of pension expense	
Service cost	\$ 254,942
Interest on total pension liability	794,550
Differences between expected and actual experience	30,313
Changes in assumptions	166
Employee contributions	(59,095)
Projected earnings on assets	(805,369)
Differences between expected and actual earnings	(418,063)
Pension plan administrative expense	<u>72,959</u>
Total expense	\$ (129,597)

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 11. Pension Plan – Gallatin Department of Electricity

Deferred Outflows of Resources and Deferred Inflows of Resources

For the year ended June 30, 2022, the Department reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred outflows of resources	Deferred inflows of resources
Differences between expected and actual experience	\$ 252,727	\$ 85,165
Changes in assumptions	318,576	155,403
Net difference between expected and actual earnings on pension plan investments	-	1,614,382
Contributions made subsequent to measurement date of June 30, 2022	<u>600,000</u>	<u>-</u>
	\$ 1,171,303	\$ 1,854,950

Amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year ended June 30,	
2023	\$ (358,752)
2024	(299,610)
2025	(257,969)
2026	(361,877)
2027	(5,439)
Thereafter	-

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 12. Pension Plan Reconciliation

Reconciliation of both pension plans to the amounts presented on the Statement of Net Position:

	Governmental activities	Business-type activities	Total
Net pension asset			
Public employee retirement plan	\$ 82,556	\$ 16,227	\$ 98,783
Gallatin Department of Electricity			
Employee pension plan	<u>-</u>	<u>2,831,011</u>	<u>2,831,011</u>
Total net pension asset	\$ 82,556	\$ 2,847,238	\$ 2,929,804
Deferred outflows related to pensions			
Public employee retirement plan	\$ 427,133	\$ 104,657	\$ 531,790
Gallatin Department of Electricity			
Employee pension plan	<u>-</u>	<u>1,171,303</u>	<u>1,171,303</u>
Total deferred outflows related to pensions	\$ 427,133	\$ 1,275,960	\$ 1,703,093
Deferred inflows related to pension			
Public employee retirement plan	\$ 210,835	\$ 48,234	\$ 259,069
Gallatin Department of Electricity			
Employee pension plan	<u>-</u>	<u>1,854,950</u>	<u>1,854,950</u>
Total deferred inflows related to pensions	\$ 210,835	\$ 1,903,184	\$ 2,114,019
Pension expense			
Public employee retirement plan	\$ 105,767	\$ 24,197	\$ 129,964
Gallatin Department of Electricity			
Employee pension plan	<u>-</u>	<u>(129,597)</u>	<u>(129,597)</u>
Total pension expense	\$ 105,767	\$ (105,400)	\$ 367

Note 13. Other Post-Employment Benefits – Gallatin Department of Electricity

General Information about the OPEB Plan

Plan Description

The Electric Department Post-Retirement Medical Plan (PRMP) is a single-employer defined benefit plan administered by the Gallatin Electric Power Board. There are no assets accumulating in a trust that meet the requirements of GASB Statement No. 75, as amended. The Plan provides supplemental health insurance premium reimbursements to eligible retirees. The criteria to determine eligibility includes years of services and employee age at date of retirement. Eligible retirees may receive up to \$150 per month for reimbursement of their supplemental health insurance premiums. The plan was closed to new entrants effective March 1, 2016. Authority to establish and amend benefit provisions is assigned to the Gallatin Electric Power Board.

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 13. Other Post-Employment Benefits – Gallatin Department of Electricity

General Information about the OPEB Plan

Employees Covered by Benefit Terms

At the measurement date of June 30, 2021, the following participants were covered by the benefit terms:

Inactive employees currently receiving benefits	16
Active employees	<u>22</u>
	38

Total OPEB Liability

The Electric Department's total OPEB liability of \$630,245 was measured as of June 30, 2021.

Actuarial Assumptions

The total OPEB liability in the July 1, 2021 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement, unless otherwise specified:

Inflation	2.00%
Salary increases	2.50%
Discount rate	2.16% as of June 30, 2021
Healthcare cost trend rate	None
Participation rate	100% assumed

The discount rate was based on the Bond Buyer's 20-year Bond Index.

Mortality rates were based on the RPH-2014 headcount-weighted total dataset fully generational table with projection scale MP-2020.

Changes in Total OPEB Liability

	Liability
Balance, June 30, 2020	\$ 631,954
Service cost	9,116
Interest	13,904
Differences between expected and actual experience	(4,878)
Changes in assumptions and other inputs	4,124
Benefit payments	<u>(23,975)</u>
Net change	<u>(1,709)</u>
Balance, June 30, 2021	\$ 630,245

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 13. Other Post-Employment Benefits – Gallatin Department of Electricity

Changes in Total OPEB Liability

Changes in assumptions and other inputs reflect a change in the discount rate from 2.21% as of June 30, 2020 to 2.16% as of June 30, 2021.

Sensitivity of the Total OPEB Liability to Changes in the Discount Rate

The following presents the total OPEB liability of the Department, as well as what the Department's total OPEB liability would be if it were calculated using a discount rate that is 1% lower (1.16%) or 1% higher (3.16%) than the current discount rate:

	1% Decrease (1.16%)	Current rate (2.16%)	1% Increase (3.16%)
Total OPEB liability	\$ 722,160	\$ 630,245	\$ 555,060

OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources

OPEB Expense

For the year ended June 30, 2021, the Department recognized OPEB expense of \$37,337.

Deferred Outflows of Resources and Deferred Inflows of Resources

At June 30, 2022, the Department reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred outflows of resources	Deferred inflows of resources
Differences between expected and actual experience	\$ 29,695	\$ 4,089
Changes in assumptions	<u>80,163</u>	<u>26,248</u>
Total to be amortized	109,858	30,337
Contributions made subsequent to measurement date	<u>22,848</u>	<u>-</u>
	\$ 132,706	\$ 30,337

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows:

Year ended June 30,	
2023	\$ 14,317
2024	14,317
2025	14,317
2026	18,932
2027	17,660
Thereafter	(22)

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 14. Defined Contribution Plan – Gallatin Department of Electricity

General Information about the Defined Contribution Plan

Plan Description

The Electric Department entered into an agreement with the State of Tennessee to participate in the State of Tennessee Deferred Compensation Plan II – 401(k) Defined Contribution Plan with a Roth option, effective March 1, 2016. The Plan will be administered by the Treasurer for the State of Tennessee, which has an agreement with Empower Retirement for the enrollment, deferrals, advisory services, and many other administrative aspects. The Plan assets are not held by the Department and the Department does not exercise a trustee responsibility over such assets. This will be the only plan offered to employees of the Department hired after March 1, 2016 and will also be available to those employees hired before March 1, 2016 on a voluntary basis.

Funding Policy

The Plan allows employees to make tax deferred contributions into self-directed investments as much as allowable under the Internal Revenue Code. For employees hired after March 1, 2016, the Department will match 200% of participant elective deferrals of up to 5% of compensation. The vested interest of each participant, with respect to matching contributions, will be as follows:

Years of service	Percentage vested
1	20%
2	40%
3	60%
4	80%
5	100%

Any forfeitures will be used first to reduce the employer's matching contributions and then to offset Plan expenses. As of June 30, 2021, there has been one forfeiture in the amount of \$2,076. For employees hired before March 1, 2016, they can make elective deferrals into the plan with no matching contribution from the Department.

Annual Cost

The Department's maximum contribution to the Plan is defined as up to 10% of an eligible employee's annual compensation. The Department contributed \$123,558 on behalf of the eligible employees during the fiscal year ended June 30, 2022. There were no outstanding contributions at June 30, 2022.

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 15. Other Information

Risk Management

City of Gallatin

The City is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters. The City decided it was more economically feasible to join a public entity risk pool than purchase commercial insurance for certain general liability, auto liability, errors and omissions, workers' compensation, and physical damage coverages. The City joined the Tennessee Municipal League Risk Pool (the Pool), which is a public entity risk pool established in 1979 by the Tennessee Municipal League. The City pays annual premiums to the Pool for its general, auto, and errors and omissions policies. The Pool provides the specified coverage and pays all claims from its member premiums charged or through its reinsurance policies. The City's premiums are calculated based on its prior claims history. It is the policy of the City to purchase commercial insurance for the risk of employee dishonesty and law enforcement professional liability. Settled claims have not exceeded the commercial coverage or the coverage provided by the Pool in any of the past three years.

Gallatin Department of Electricity

It is the policy of the Gallatin Electric Department to purchase commercial insurance for the risks of loss to which it is exposed. These risks include general liability, property and casualty, worker's compensation, employee health, and accident. Settled claims have not exceeded this commercial coverage in any of the past three fiscal years and there has been no significant reduction in the amount of coverage.

Commitments

The City purchases natural gas under various contracts requiring the purchase of minimum quantities of natural gas from suppliers at cost based upon national index prices. Natural gas purchases exceeding the specified minimum quantities are made at the going market value. City management believes any risk associated with the minimum purchase quantities as specified in the aforementioned contracts to be minimal. Further, the City is committed under various natural gas transportation agreements requiring specified minimum transmission capacities.

As of June 30, 2022, the City entered into multiple construction contracts related to road, water, and sewer construction projects of approximately \$51,300,000 and has spent approximately \$48,200,000 of committed funds, with a remaining balance of approximately \$3,100,000 in outstanding commitments at June 30, 2022.

The City has entered into an agreement with the Sumner County Resource Authority (the Resource Authority), a joint venture between the City, Sumner County, and the City of Hendersonville, TN, which provides that, in the event the Resource Authority's revenues are insufficient to cover the costs of operation and debt retirement, the County and Cities shall pay such deficit in the proportions of 3/7, 2/7, and 2/7, respectively. These same entities have executed a "contract in Lieu of Performance Bond" with the State of Tennessee for financial assurance of the closure and post-closure costs of the landfill, should the Resource Authority be unable to do so.

The Resource Authority operates primarily as a solid waste transfer station. The City utilizes the Resource Authority for solid waste disposal purposes at essentially the same cost per ton as in prior years. There is uncertainty as to the future operations of the Resource Authority, as well as the costs relative to the change in operations or possible dissolution.

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 15. Other Information

Commitments

The Resource Authority, as of June 30, 2022, which is the latest available financial statement date, has net investment in capital assets in the amount of \$2,381,080 and an unrestricted net position of \$3,846,815, as compared to \$2,404,610 and \$2,279,322, respectively, for 2021. During 2022, the City paid the Resource Authority \$765,903 in tipping fees for solid waste.

Contingent Liabilities

Amounts received or receivable from grantor agencies are subject to audit and adjustment by grantor agencies, principally the federal and state governments. Any disallowed claims, including amounts already collected, may constitute a liability of the applicable funds. The amount, if any, of expenditures which may be disallowed by the grantors cannot be determined at this time; however, the City's management expects such amounts, if any, to be immaterial.

The City is a defendant in various lawsuits; however, the outcome of these lawsuits is not presently determinable, though legal counsel does not expect any possible liability to exceed the City's limits of insurance.

Power Contract

The Utility has a power contract with the TVA whereby the electric system purchases all of its electric power from the TVA and is subject to certain restrictions and conditions as provided for in the power contract. Such restrictions include, but are not limited to, prohibitions against furnishing, advancing, lending, pledging, or otherwise diverting System funds, revenues, or property to other operations of the County and the purchase or payment of or providing security for indebtedness on other obligations applicable to such other operations.

Note 16. TVA Advances Payable

Advances payable are made up of advances to the Electric Department from TVA for home weatherization loans and interest. The TVA loans are paid in monthly installments as the Electric Department is paid by the customers. These advances bear interest at either 6% or 8%. They are secured by UCC-1s on the customer's heating and air units. At June 30, 2022, outstanding funds advanced by TVA totaled \$6,074.

Note 17. Restatement for Implementation of GASB 87

In June 2017, GASB issued Statement No. 87, *Leases*, (GASB 87) which established a single model for lease accounting based on the foundational principles that leases are financing and requires the lessee to recognize a lease liability and intangible right-to-use asset. This standard was clarified by portions of GASB Statement No. 92, *Omnibus 2020*. The City adopted the standard (and related clarifications) and retroactively applied the accounting effective July 1, 2021 through the recognition of lease assets and related lease liabilities. During fiscal year 2022, the City adopted GASB 87 and 92 using the full retrospective approach. The accompanying financial statements as of and for the year ended June 30, 2021, have been restated for the change, which decreased net position by \$597. As a result of adopting GASB 87 and 92, the City recorded intangible right-to-use assets of \$20,468 with accumulated amortization of \$11,931 and recognized lease liabilities of \$9,134.

City of Gallatin, Tennessee
Notes to Financial Statements
For the Year Ended June 30, 2022

Note 18. Subsequent Events

On November 1, 2022, the City, as a non-entitlement unit of local government, received \$6,367,174, passed through the State, from the US Treasury. This amount represents the second half of the City's total \$12,734,348 allocation from the Coronavirus State and Local Fiscal Recovery Funds, a part of the American Rescue Plan Act of 2021.

Required Supplementary Information

City of Gallatin, Tennessee
Schedule of Changes in Net Pension Liability (Asset) and Related Ratios Based on Participation
in the Public Employee Hybrid Pension Plan of the TCRS
For the Years Ended June 30,

	2021	2020	2019
Total Pension Liability			
Service cost	\$ 666,354	\$ 575,836	\$ -
Interest	137,048	72,620	-
Changes of benefit terms	-	-	426,349
Differences between actual and expected experience	(52,390)	153,571	-
Changes in assumptions	169,586	-	-
Benefit payments, including refunds of employee contributions	(7,761)	-	(536)
Net change in total OPEB liability	912,837	802,027	425,813
Total pension liability, beginning of year	1,227,840	425,813	-
Total pension liability, end of year (a)	2,140,677	1,227,840	425,813
Plan Fiduciary Net Position			
Contributions, employer	190,332	170,527	107,409
Contributions, employee	556,528	513,637	323,520
Net investment income	385,616	37,963	15,540
Benefit payments, including refunds of employee contributions	(7,761)	-	(536)
Administrative expenses	(21,022)	(19,265)	(13,018)
Other	-	-	-
Net change in plan fiduciary net position	1,103,693	702,862	432,915
Plan fiduciary net position, beginning	1,135,777	432,915	-
Plan fiduciary net position, ending (b)	2,239,470	1,135,777	432,915
Net pension liability (asset), ending (a)-(b)	\$ (98,793)	\$ 92,063	\$ (7,102)
Plan fiduciary net position as a percentage of total pension liability	104.62%	92.50%	101.67%
Covered payroll	\$ 11,130,541	\$ 10,274,439	\$ 6,470,377
Net pension liability (asset) as a percentage of covered payroll	-0.89%	0.90%	-0.11%

Notes to Schedule

Changes of Assumptions

In 2021, amounts reported as changes of assumptions resulted from changes to the inflation rate, investment rate of return, cost-of-living adjustment, and mortality improvements. In 2017, amounts reported as changes of assumptions resulted from changes to the inflation rate, investment rate of return, cost-of-living adjustment, salary growth, and mortality improvements.

GASB 68 requires this data to be presented as part of a 10-year schedule, but it is not required to be presented retroactively prior to the implementation date of GASB 68. Years will be added to this schedule until 10 years of information is available. Please refer to previously supplied data from TCRS GASB website for prior years' data, if needed.

City of Gallatin, Tennessee
Schedule of Contributions Based on Participation in the Public Employee Hybrid Pension Plan of the TCRS
Last Fiscal Year Ended June 30,

	2022	2021	2020	2019
Actuarially determined contribution	\$ 247,676	\$ 190,332	\$ 170,527	\$ 107,409
Contributions in relation to the actuarially determined contribution	<u>247,676</u>	<u>190,332</u>	<u>170,527</u>	<u>107,409</u>
Contribution deficiency (excess)	\$ -	\$ -	\$ -	\$ -
Covered-employee payroll	\$ 12,962,273	\$ 11,130,541	\$ 10,274,439	\$ 6,470,377
Contributions as a percentage of covered-employee payroll	1.91%	1.71%	1.66%	-1.66%

Notes to Schedule

GASB 68 requires this data to be presented as part of a 10-year schedule, but it is not required to be presented retroactively prior to the implementation date of GASB 68. Years will be added to this schedule until 10 years of information is available.

Beginning in FY 2019, the City placed the actuarially determined contribution rate of covered payroll in the pension plan and placed the remainder of the 4% contractually required contribution into the Pension Stabilization Reserve Trust (SRT).

2019: Pension - 1.66%, SRT - 2.34%

2020: Pension - 1.66%, SRT - 2.34%

2021: Pension - 1.71%, SRT - 2.29%

2022: Pension - 2.01%, SRT - 1.99%

Methods and assumptions used to determine contribution rates:

Actuarial cost method	Entry age normal
Amortization method	Level dollar, closed (not to exceed 20 years)
Amortization period	Varies by year
Asset valuation	10-year smoothed within a 20% corridor to market value
Inflation	2.50%
Salary increases	Graded salary ranges from 8.72 to 3.44% based on age, inflation, averaging 4.00%
Investment rate of return	7.25%, net of investment expense, including inflation
Retirement age	Pattern of retirement determined by experience study
Mortality	Customized table based on actual experience including an adjustment for some anticipated improvement
Cost of living adjustment	2.25%

City of Gallatin, Tennessee
Schedule of Changes in Net Pension Liability (Asset) and Related Ratios Based on Participation
in the Gallatin Electric Department Employee Pension Plan
Last Ten Measurement Periods

	2021	2020	2019	2018	2017	2016	2015	2014
Total Pension Liability								
Service cost	\$ 254,942	\$ 255,677	\$ 183,037	\$ 185,023	\$ 177,907	\$ 165,004	\$ 160,612	\$ 136,831
Interest	794,550	771,299	723,598	691,268	685,170	659,028	652,294	559,812
Changes in benefit terms		-	-	-	-	-	-	-
Differences between expected and actual experience	26,471	(1)	324,343	115,214	(295,965)	-	-	22,888
Changes in assumptions	(45,689)	(38,813)	(28,647)	-	-	(468,590)	-	989,264
Benefit payments, including refunds of employee contributions	(688,070)	(623,543)	(564,525)	(492,024)	(482,369)	(445,233)	(403,705)	(496,184)
Net change in total pension liability	342,204	364,619	637,806	499,481	84,743	(89,791)	409,201	1,212,611
Total pension liability, beginning	11,433,994	11,069,375	10,431,569	9,932,088	9,847,345	9,937,136	9,527,935	8,315,324
Total pension liability, ending (a)	11,776,198	11,433,994	11,069,375	10,431,569	9,932,088	9,847,345	9,937,136	9,527,935
Plan Fiduciary Net Position								
Contributions, employer	750,000	1,050,000	1,200,000	800,000	1,040,000	666,994	385,256	257,050
Contributions, employee	59,095	59,546	61,115	62,396	62,487	65,855	61,065	57,685
Net investment income	3,077,505	408,674	685,759	610,970	663,332	185,887	118,498	644,573
Benefit payments, including refunds of employee contributions	(688,070)	(623,543)	(564,525)	(492,024)	(482,369)	(445,233)	(403,705)	(496,184)
Administrative expenses	(72,959)	(57,274)	(49,663)	(45,318)	(39,030)	(34,134)	(32,684)	(31,671)
Other	-	-	-	-	-	-	-	-
Net change in plan fiduciary net position	3,125,571	837,403	1,332,686	936,024	1,244,420	439,369	128,430	431,453
Plan fiduciary net position, beginning	11,481,638	10,644,235	9,311,549	8,375,525	7,131,105	6,691,736	6,563,306	6,131,853
Plan fiduciary net position, ending (b)	14,607,209	11,481,638	10,644,235	9,311,549	8,375,525	7,131,105	6,691,736	6,563,306
Net pension liability (asset), ending (a - b)	\$ (2,831,011)	\$ (47,644)	\$ 425,140	\$ 1,120,020	\$ 1,556,563	\$ 2,716,240	\$ 3,245,400	\$ 2,964,629
Plan fiduciary net position as a percentage of total pension liability	124.04%	100.42%	96.16%	89.26%	84.33%	72.42%	67.34%	68.88%
Covered payroll	\$ 1,991,942	\$ 2,085,475	\$ 2,085,475	\$ 1,958,148	\$ 2,043,550	\$ 2,030,845	\$ 1,952,736	\$ 1,934,194
Net pension liability (asset) as a percentage of covered payroll	-142.12%	-2.28%	20.39%	57.20%	76.17%	133.75%	166.20%	153.27%

Notes to Schedule

GASB 68 requires this data to be presented as part of a 10-year schedule, but it is not required to be presented retroactively prior to the implementation date of GASB 68. Years will be added to this schedule in future years until 10 years of information is available. Please refer to previously supplied data from TCRS GASB website for prior years' data, if needed.

City of Gallatin, Tennessee

Schedule of Contributions Based on Participation in the Gallatin Electric Department Employee Pension Plan
Last Ten Fiscal Years

	2022	2021	2020	2019	2018	2017	2016	2015	2014
Actuarially determined contribution	\$ 332,078	\$ 332,078	\$ 342,422	\$ 342,422	\$ 417,159	\$ 417,159	\$ 385,256	\$ 385,256	\$ 253,122
Contributions in relation to the									
actuarially determined contribution	600,000	750,000	1,050,000	1,200,000	800,000	1,040,000	666,994	381,950	459,410
Contribution deficiency (excess)	\$ (267,922)	\$ (417,922)	\$ (707,578)	\$ (857,578)	\$ (382,841)	\$ (622,841)	\$ (281,738)	\$ 3,306	\$ (206,288)
Covered-employee payroll	\$ 1,991,942	\$ 1,991,942	\$ 2,085,475	\$ 2,085,475	\$ 1,958,148	\$ 2,043,550	\$ 2,030,845	\$ 1,952,736	\$ 1,934,194
Contributions as a percentage of									
covered-employee payroll	30.12%	37.65%	50.35%	57.54%	40.85%	50.89%	32.84%	19.56%	23.75%

Notes to Schedule

GASB 68 requires this data to be presented as part of a 10-year schedule, but it is not required to be presented retroactively prior to the implementation date of GASB 68. Years will be added to this schedule until 10 years of information is available. Please refer to previously supplied data from TCRS GASB website for prior years’ data, if needed.

Methods and assumptions used to determine contribution rates:

Valuation date	Actuarially determined contribution rates for the year ended June 30, 2022 were calculated based on the June 30, 2021 actuarial valuation.
Actuarial cost method	Entry age normal, level percentage of pay
Amortization method	Level dollar
Remaining amortization period	Initial amortization period: 30 years as of 2014
Asset valuation	Market value of plan assets
Cost-of-living adjustments	1.50%
Salary increases	4.00%
Investment rate of return	7.00%
Retirement age	Normal retirement age is 65; It is assumed early retirement occurs according to the withdrawal rate table
Mortality	SOA RP-2014 Total Dataset Mortality Scale MP-2019

City of Gallatin, Tennessee
Schedule of Investment Returns Based on Participation in the Gallatin Electric Department Employee Pension Plan
Last Ten Fiscal Years

	2022	2021	2020	2019	2018	2017	2016	2015	2014
Annual money-weighted rate of return, net of investment expense	-10.54%	26.42%	3.84%	7.09%	7.11%	9.04%	1.75%	1.82%	11.00%

Notes to Schedule

GASB 68 requires this data to be presented as part of a 10-year schedule, but it is not required to be presented retroactively prior to the implementation date of GASB 68. Years will be added to this schedule until 10 years of information is available. Please refer to previously supplied data from TCRS GASB website for prior years' data, if needed.

City of Gallatin, Tennessee
Schedule of Changes in Total OPEB Liability and Related Ratios - Electric Department
Last Ten Measurement Periods

	2021	2020	2019	2018	2017
Total Pension Liability					
Service cost	\$ 9,116	\$ 6,250	\$ 6,485	\$ 7,587	\$ 9,220
Interest	13,904	18,985	18,085	16,911	14,641
Changes of benefit terms	-	-	-	-	-
Differences between actual and expected experience	(4,878)	34,352	-	7,940	3,563
Changes in assumptions	4,124	89,394	22,113	(16,731)	(46,674)
Benefit payments, net	<u>(23,975)</u>	<u>(20,354)</u>	<u>(15,783)</u>	<u>(15,914)</u>	<u>(25,113)</u>
Net change in total OPEB liability	(1,709)	128,627	30,900	(207)	(44,363)
Total OPEB liability, beginning of year	<u>631,954</u>	<u>503,327</u>	<u>472,427</u>	<u>472,634</u>	<u>516,997</u>
Total OPEB liability, end of year (a)	\$ 630,245	\$ 631,954	\$ 503,327	\$ 472,427	\$ 472,634
 Covered-employee payroll	 \$ 2,165,686	 \$ 2,085,475	 \$ 2,005,264	 \$ 1,958,148	 \$ 2,043,550
 Net OPEB liability as a percentage of covered-employee payroll	 29.10%	 30.30%	 25.10%	 24.13%	 23.13%

Notes to Schedule

GASB 68 requires this data to be presented as part of a 10-year schedule, but it is not required to be presented retroactively prior to the implementation date of GASB 68. Years will be added to this schedule until 10 years of information is available.

There are no assets accumulating in a trust related to this OPEB plan that meet the criteria in paragraph 4 of GASB 75.

Changes in assumptions and other inputs reflect the effects of changes in the discount rate each period. The following are the discount rates used in each period:

2017	3.58%
2018	3.87%
2019	3.50%
2020	2.21%
2021	2.16%

There were no benefit changes during the measurement period.

Supplementary Information

Nonmajor Governmental Funds

Special Revenue Funds:

Special Revenue Funds account for specific revenues that are legally restricted to specific expenditure purposes. The Special Revenue Funds are:

Special Services Fund – To account for sex offender registry payments that are used for specific purposes and private donations to be used for the “Shop with a Cop” Christmas program.

Drug Fund – To account for the resources used in the City’s drug enforcement and education programs.

Environmental Services Fund – To account for the resources used for the City’s garbage collection activities.

Stormwater Fund – To account for the stormwater fee that is used for stormwater maintenance and repairs throughout the City.

Industrial Development Board – To account for activities by the City to encourage economic development.

Permanent Funds:

Permanent Funds account for specific revenues for which the corpus of the donation is restricted by external donors. The Permanent Funds are:

Witherspoon Loan Fund – To account for a donation that was received for the purpose of making loans to graduating seniors to be used for college expenses.

Cemetery Trust Fund – To account for donations that have been received to maintain the cemetery in perpetuity.

City of Gallatin, Tennessee
Combining Balance Sheet
Nonmajor Governmental Funds
June 30, 2022

	Special Revenue Funds						Permanent Funds			Total Nonmajor Governmental Funds
	Special Services Fund	Drug Fund	Environmental Services Fund	Stormwater Utility Fund	Industrial Development Fund	Total Special Revenue Funds	Witherspoon Loan Fund	Cemetery Trust Fund	Total Permanent Funds	
Assets										
Cash	\$ 3,992,144	\$ 207,278	\$ 1,729,332	\$ 1,983,637	\$ 145,664	\$ 8,058,055	\$ 296,296	\$ 15,276	\$ 311,572	\$ 8,369,627
Investments	-	-	-	-	-	-	-	21,025	21,025	21,025
Receivables, net	-	-	239,848	125,876	-	365,724	141,734	-	141,734	507,458
Inventory	-	-	14,319	-	-	14,319	-	-	-	14,319
Other assets	-	-	-	-	-	-	10,929	-	10,929	10,929
Restricted assets,										
TCRS Stabilization Fund	-	-	26,569	17,199	-	43,768	-	-	-	43,768
Total assets	\$ 3,992,144	\$ 207,278	\$ 2,010,068	\$ 2,126,712	\$ 145,664	\$ 8,481,866	\$ 448,959	\$ 36,301	\$ 485,260	\$ 8,967,126
Liabilities and Fund Balances										
Liabilities										
Accounts payable	\$ 29	\$ 26,637	\$ 266,680	\$ 22,718	\$ -	\$ 316,064	\$ -	\$ -	\$ -	\$ 316,064
Performance deposits	3,874,443	-	-	-	-	3,874,443	-	-	-	3,874,443
Unearned Evidence Funds	62,196	-	-	-	-	62,196	-	-	-	62,196
Total liabilities	<u>3,936,668</u>	<u>26,637</u>	<u>266,680</u>	<u>22,718</u>	<u>-</u>	<u>4,252,703</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>4,252,703</u>
Fund balances										
Nonspendable										
Prepaid Items	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 10,929	\$ -	\$ 10,929	\$ 10,929
Perpetual Care	-	-	-	-	-	-	-	21,025	21,025	21,025
Inventory	-	-	14,319	-	-	14,319	-	-	-	14,319
Restricted for										
Funds held in trust	-	-	-	-	-	-	438,030	-	438,030	438,030
Environmental services	-	-	1,702,500	-	-	1,702,500	-	-	-	1,702,500
Economic development	-	-	-	-	145,664	145,664	-	-	-	145,664
Drug enforcement	-	180,641	-	-	-	180,641	-	-	-	180,641
Stormwater	-	-	-	2,086,795	-	2,086,795	-	-	-	2,086,795
Hybrid Retirement										
Stabilization Funds	-	-	26,569	17,199	-	43,768	-	-	-	43,768
Assigned to										
Police Special Projects	55,476	-	-	-	-	55,476	-	-	-	55,476
Cemetery Use	-	-	-	-	-	-	-	15,276	15,276	15,276
Total fund balances	<u>55,476</u>	<u>180,641</u>	<u>1,743,388</u>	<u>2,103,994</u>	<u>145,664</u>	<u>4,229,163</u>	<u>448,959</u>	<u>36,301</u>	<u>485,260</u>	<u>4,714,423</u>
Total liabilities and fund balances	\$ 3,992,144	\$ 207,278	\$ 2,010,068	\$ 2,126,712	\$ 145,664	\$ 8,481,866	\$ 448,959	\$ 36,301	\$ 485,260	\$ 8,967,126

City of Gallatin, Tennessee
Combining Statement of Revenues, Expenditures, and Changes in Fund Balances
Nonmajor Governmental Funds
For the Year Ended June 30, 2022

	Special Revenue Funds						Permanent Funds			Total Nonmajor Governmental Funds
	Special Services Fund	Drug Fund	Environmental Services Fund	Stormwater Utility Fund	Industrial Development Fund	Total Special Revenue Funds	Witherspoon Loan Fund	Cemetery Trust Fund	Total Permanent Funds	
Revenues										
Charges for services	\$ -	\$ -	\$ 3,126,576	\$ 1,942,858	\$ -	\$ 5,069,434	\$ -	\$ -	\$ -	\$ 5,069,434
Fines and forfeitures	4,800	99,839	-	-	-	104,639	-	-	-	104,639
Other revenue	47,763	48,930	69,915	-	183,920	350,528	6,053	1,102	7,155	357,683
Total revenues	52,563	148,769	3,196,491	1,942,858	183,920	5,524,601	6,053	1,102	7,155	5,531,756
Expenditures										
Current										
Public safety	62,041	99,110	-	-	-	161,151	-	-	-	161,151
Environmental services	-	-	2,149,142	938,604	-	3,087,746	-	-	-	3,087,746
Economic development	-	-	-	-	161,718	161,718	-	-	-	161,718
Capital outlay	-	-	160,000	400,285	-	560,285	-	-	-	560,285
Total expenditures	62,041	99,110	2,309,142	1,338,889	161,718	3,970,900	-	-	-	3,970,900
Excess of revenues over expenditures	(9,478)	49,659	887,349	603,969	22,202	1,553,701	6,053	1,102	7,155	1,560,856
Fund balances, beginning of year	64,954	130,982	856,039	1,500,025	123,462	2,675,462	442,906	35,199	478,105	3,153,567
Fund balances, end of year	\$ 55,476	\$ 180,641	\$ 1,743,388	\$ 2,103,994	\$ 145,664	\$ 4,229,163	\$ 448,959	\$ 36,301	\$ 485,260	\$ 4,714,423

City of Gallatin, Tennessee

Schedule of Revenues, Expenditures, and Changes in Fund Balance Budget (GAAP Basis) and Actual Special Services Fund For the Year Ended June 30, 2022

	Budgeted amounts		Actual amounts	Variance with final budget
	Original	Final		
Revenues				
Fines and forfeitures				
Sex offender registry	\$ 5,000	\$ 5,000	\$ 4,800	\$ (200)
Other				
Donations	30,000	60,000	47,750	(12,250)
Interest	-	-	13	13
Total revenues	<u>35,000</u>	<u>65,000</u>	<u>52,563</u>	<u>(12,437)</u>
Expenditures				
Current				
Public Safety, Police				
Office supplies	5,000	5,000	1,147	3,853
Grants and donation	<u>30,000</u>	<u>60,000</u>	<u>60,894</u>	<u>(894)</u>
Total expenditures	<u>35,000</u>	<u>65,000</u>	<u>62,041</u>	<u>2,959</u>
Excess of revenues over (under) expenditures	-	-	(9,478)	(9,478)
Fund balance, beginning of year	<u>64,954</u>	<u>64,954</u>	<u>64,954</u>	<u>-</u>
Fund balance, end of year	\$ 64,954	\$ 64,954	\$ 55,476	\$ (9,478)

City of Gallatin, Tennessee

Schedule of Revenues, Expenditures, and Changes in Fund Balance Budget (GAAP Basis) and Actual Drug Fund For the Year Ended June 30, 2022

	Budgeted amounts		Actual amounts	Variance with final budget
	Original	Final		
Revenues				
Fines and forfeitures	\$ 90,000	\$ 90,000	\$ 99,839	\$ 9,839
Interest	-	-	1	1
Sale of equipment	-	-	48,929	48,929
Total revenues	90,000	90,000	148,769	58,769
Expenditures				
Current				
Public Safety, Police				
Office supplies	22,000	22,000	99,110	(77,110)
Capital outlay	-	100,000	-	100,000
Total expenditures	22,000	122,000	99,110	22,890
Excess of revenues over (under) expenditures	68,000	(32,000)	49,659	81,659
Fund balance, beginning of year	130,982	130,982	130,982	-
Fund balance, end of year	\$ 198,982	\$ 98,982	\$ 180,641	\$ 81,659

City of Gallatin, Tennessee
Schedule of Revenues, Expenditures, and Changes in Fund Balance
Budget (GAAP Basis) and Actual
Environmental Services Fund
For the Year Ended June 30, 2022

	Budgeted amounts		Actual	Variance with
	Original	Final	amounts	final budget
Revenues				
Charges for services	\$ 3,072,000	\$ 3,072,000	\$ 3,126,576	\$ 54,576
Other				
Sale of supplies	60,000	60,000	63,867	3,867
Miscellaneous	-	-	6,048	6,048
Total revenues	3,132,000	3,132,000	3,196,491	64,491
Expenditures				
Current				
Environmental services				
Salaries	673,021	673,021	681,272	(8,251)
Employee benefit and taxes	309,204	309,204	247,983	61,221
Insurance	38,000	38,000	35,546	2,454
Utilities	20,431	20,431	16,499	3,932
Repairs and maintenance	82,000	82,000	83,564	(1,564)
Other contractual services	897,000	897,000	774,447	122,553
Supplies	9,000	9,000	8,282	718
Gas, oil, diesel, etc.	100,000	100,000	140,724	(40,724)
Supplies for resale	67,000	67,000	62,459	4,541
Natural materials	90,000	90,000	31,702	58,298
Professional services	65,826	65,826	65,826	-
Miscellaneous	2,650	2,650	838	1,812
Capital outlay	160,000	160,000	160,000	-
Total expenditures	2,514,132	2,514,132	2,309,142	204,990
Excess of revenues over (under) expenditures	617,868	617,868	887,349	(269,481)
Other financing sources				
Transfers in	-	-	-	-
Excess of revenues and other sources over (under) expenditures and other uses	617,868	617,868	887,349	(269,481)
Fund balance, beginning of year	856,039	856,039	856,039	-
Fund balance, end of year	\$ 1,473,907	\$ 1,473,907	\$ 1,743,388	\$ (269,481)

City of Gallatin, Tennessee

Schedule of Revenues, Expenditures, and Changes in Fund Balance
Budget (GAAP Basis) and Actual
Stormwater Utility Fund
For the Year Ended June 30, 2022

	Budgeted amounts		Actual amounts	Variance with final budget
	Original	Final		
Revenues				
Charges for services	\$ 1,900,000	\$ 1,900,000	\$ 1,942,858	\$ 42,858
Other				
Miscellaneous	-	-	-	-
Total revenues	1,900,000	1,900,000	1,942,858	42,858
Expenditures				
Current				
Environmental services				
Salaries	619,480	619,480	461,326	158,154
Employee benefit and taxes	290,087	290,087	161,558	128,529
Utilities	6,620	6,620	5,643	977
Repairs and maintenance	14,000	14,000	68,813	(54,813)
Supplies	4,500	4,500	1,151	3,349
Gas, oil, diesel, etc.	19,000	19,000	24,556	(5,556)
Professional services	270,779	297,658	143,475	154,183
Miscellaneous	149,370	196,279	72,082	124,197
Capital outlay	500,000	656,657	400,285	256,372
Total expenditures	1,873,836	2,104,281	1,338,889	765,392
Excess of revenues over (under) expenditures	26,164	(204,281)	603,969	(808,250)
Fund balance, beginning of year	1,500,025	1,500,025	1,500,025	-
Fund balance, end of year	\$ 1,526,189	\$ 1,295,744	\$ 2,103,994	\$ (808,250)

City of Gallatin, Tennessee

Schedule of Revenues, Expenditures, and Changes in Fund Balance Budget (GAAP Basis) and Actual Industrial Development Board For the Year Ended June 30, 2022

	Budgeted amounts		Actual	Variance with
	Original	Final	amounts	final budget
Revenues				
Other				
Payment in lieu from industry	\$ 265,025	\$ 265,025	\$ 182,548	\$ (82,477)
Application fee	1,500	1,500	1,256	(244)
Interest	-	-	116	116
Total revenues	266,525	266,525	183,920	(82,605)
Expenditures				
Current				
Economic Development	205,260	227,760	161,718	66,042
Excess of revenues over (under) expenditures	61,265	38,765	22,202	16,563
Fund balance, beginning of year	123,462	123,462	123,462	-
Fund balance, end of year	\$ 184,727	\$ 162,227	\$ 145,664	\$ 16,563

City of Gallatin, Tennessee
Schedule of Expenditures of Federal Awards and State Financial Assistance
For the Year Ended June 30, 2022

Grantor / Pass-through Grantor	Program name	Assistance listing	Contract number	Expenditures	Passed through to subrecipients
Federal Awards					
US Department of Homeland Security, Federal Emergency Management Agency	Staffing for Adequate Fire and Emergency Response (SAFER)	97.083	EMW-2017-FH-00307	\$ 110,336	\$ -
	Total US Department of Homeland Security			<u>110,336</u>	
US Department of Justice, Bureau of Justice Assistance					
Federal Bureau of Investigation	FBI Violent Crimes Task Force Reimbursement	16.U01	MOU	10,387	-
Office of Community Oriented Policing Services	Public Safety Partnership and Community Policing Grants	16.710	2020CKWX008	19,772	-
Office of Justice Programs	Bulletproof Vest Program, Justice Assistance Grants	16.607	2019-BUBX-2002-3062	3,668	-
	Justice Mental Health Collaboration Program, Embedded Clinician	16.745	2018-MO-BX-0030	141,927	-
	Comprehensive Opioid, Stimulant, and Substance Abuse Program	16.838	2020-AR-BX-0053	<u>107,588</u>	<u>-</u>
	Total US Department of Justice - BJA			<u>283,342</u>	<u>-</u>
US Department of Transportation TN Department of Transportation	<u>Highway Planning and Construction Cluster</u>				
	Highway Planning and Construction (Federal-Aid Highway Program)	20.205	STP-M-8300(70)	4,757,132	-
	Highway Planning and Construction (Federal-Aid Highway Program)	20.205	EM-NH-6(130)/ 83LPLM-F3-122	380	-
	Highway Planning and Construction (Federal-Aid Highway Program)	20.205	SRTS-4569(10)/83LPLM	16,159	-
	Highway Planning and Construction (Federal-Aid Highway Program)	20.205	83PLM-F3-110/ CM-9306(21)	<u>24,130</u>	<u>-</u>
	Total Highway Planning and Construction Cluster			<u>4,797,801</u>	<u>-</u>
	Total US Department of Transportation			<u>4,797,801</u>	<u>-</u>
US Department of Treasury TN Department of Finance and Administration	COVID-19 - Coronavirus Relief Fund	21.019	RFF 4112	11,958	-
TN Department of Finance and Administration	COVID-19 - Coronavirus State and Local Fiscal Recovery Funds	21.027	N/A	<u>12,075,724</u>	<u>-</u>
	Total US Department of The Treasury			<u>12,087,682</u>	
Department of the Interior, National Park Service TN Department of Environment and Conservatism	Historic Preservation Fund Grants-In-Aid	15.904	FED P20AF00050 / TDEC 32701-04137	<u>5,115</u>	<u>-</u>
Total federal awards				<u>17,284,276</u>	<u>-</u>

Continued

City of Gallatin, Tennessee
Schedule of Expenditures of Federal Awards and State Financial Assistance
For the Year Ended June 30, 2022

Grantor / Pass-through Grantor	Program name	Assistance listing	Contract number	Expenditures	Passed through to subrecipients
State Financial Assistance					
TN Department of Environment and Conservatism	Local Parks and Recreation Fund	N/A	TDEC/RES LPRF 32701		
			03875 (GMS #2017-2782)	84,436	-
	EDA Site Development Grant		TDEC SDGP 33007-30030	4,758	-
				<u>89,194</u>	<u>-</u>
TN Department of Finance and Administration	Governor's Local Support Grant	N/A	N/A	484,558	-
Total state financial assistance				<u>573,752</u>	<u>-</u>
Total federal awards and state financial assistance				\$ 17,858,028	\$ -

Note 1. Basis of Presentation

This schedule of expenditures of federal awards and state financial assistance summarizes the expenditures of the City under programs of the federal and state governments for the year ended June 30, 2022. The information in this schedule is presented in accordance with the requirements of Title 2 US Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Because the schedule presents only a selected portion of the operations of the City, it is not intended to and does not present the financial position, change in net position, or cash flows of the City. Expenditures reported on the schedule are reported on the accrual basis of accounting. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement.

Note 2. Summary of Significant Accounting Policies

Expenditures reported on the Schedule are reported on the modified accrual basis of accounting. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. Negative amounts shown on the Schedule represent adjustments or credits made in the normal course of business to amounts reported as expenditures in prior years. The City has elected to use the 10-percent de minimis indirect cost rate as allowed under the Uniform Guidance.

Note 3. Indirect Cost Rate

The City has not elected to use the 10% de minimis indirect cost rate allowed under the Uniform Guidance.

City of Gallatin, Tennessee
Schedule of Changes in Long-term Debt by Individual Issue
For the Year Ended June 30, 2022

Description of Indebtedness	Original amount of issue	Interest rate	Date of issue	Last maturity date	Outstanding July 1, 2021	Issued during period	Paid and/or matured during period	Refunded during period	Outstanding June 30, 2022
Governmental Activities									
Bonds payable									
Payable through General Fund									
GO improvement bonds, Series 2014	\$ 14,185,000	2.00%-5.00%	8/18/14	1/1/34	\$ 9,455,000	\$ -	\$ 930,000	\$ -	\$ 8,525,000
GO bonds, Series 2016	\$ 11,040,000	2.00%-5.00%	1/20/16	1/1/36	8,700,000	-	490,000	-	8,210,000
GO bonds, Series 2021	\$ 9,725,000	2.00%-5.00%	9/28/11	1/1/41	<u>9,725,000</u>	<u>-</u>	<u>325,000</u>	<u>-</u>	<u>9,400,000</u>
Total long-term debt of governmental activities					\$ 27,880,000	\$ -	\$ 1,745,000	\$ -	\$ 26,135,000
Business-type Activities									
Bonds payable									
Payable through Water and Sewer Department									
Water and Sewer Revenue Bonds, Series 2015	\$ 25,000,000	3.00%-5.00%	5/19/15	7/1/40	\$ 19,295,000	\$ -	\$ 1,160,000	\$ 12,435,000	\$ 5,700,000
Water and Sewer Revenue Bonds, Series 2014	\$ 14,185,000	2.00%-5.00%	8/20/14	7/1/29	2,965,000	-	275,000	-	2,690,000
Water and Sewer Revenue Bonds, Series 2011	\$ 8,955,000	2.00%-3.625%	12/28/11	7/1/32	6,365,000	-	440,000	-	5,925,000
Gas System Revenue Bonds, Series 2019	\$ 5,570,000	3.00%-5.00%	4/9/19	1/1/39	5,140,000	-	200,000	-	4,940,000
Water and Sewer Revenue Improvement Bonds, Series 2021A	\$ 13,400,000	3.00%-4.00%	11/17/21	7/1/46	-	13,400,000			13,400,000
Water and Sewer Revenue Refunding Bonds, Series 2021B	\$ 13,965,000	0.510%-2.750%	11/17/21	7/1/37	<u>-</u>	<u>13,965,000</u>	<u>-</u>	<u>-</u>	<u>13,965,000</u>
Total long-term debt of business type activities					\$ 33,765,000	\$ 27,365,000	\$ 2,075,000	\$ 12,435,000	\$ 46,620,000

City of Gallatin, Tennessee
Schedule of Long-term Debt, Principal, and Interest Requirements
Governmental Activities
June 30, 2022

Fiscal year ended June 30,	General Obligation Improvement Bonds, Series 2014		General Obligation Bonds, Series 2016		General Obligation Bonds, Series 2021		Total	
	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest
2023	\$ 950,000	\$ 293,750	\$ 500,000	\$ 310,000	\$ 330,000	\$ 308,100	\$ 1,780,000	\$ 911,850
2024	975,000	270,000	510,000	285,000	350,000	291,600	1,835,000	846,600
2025	1,010,000	221,250	520,000	259,500	365,000	274,100	1,895,000	754,850
2026	1,050,000	180,850	530,000	233,500	385,000	255,850	1,965,000	670,200
2027	1,090,000	138,850	540,000	207,000	405,000	236,600	2,035,000	582,450
2028	450,000	106,150	555,000	185,400	425,000	216,350	1,430,000	507,900
2029	460,000	92,650	570,000	163,200	445,000	195,100	1,475,000	450,950
2030	475,000	78,850	585,000	140,400	465,000	172,850	1,525,000	392,100
2031	490,000	64,600	600,000	117,000	490,000	149,600	1,580,000	331,200
2032	505,000	49,900	620,000	99,000	515,000	125,100	1,640,000	274,000
2033	525,000	34,119	640,000	80,400	535,000	104,500	1,700,000	219,019
2034	545,000	17,713	660,000	61,200	545,000	93,800	1,750,000	172,713
2035	-	-	680,000	41,400	555,000	82,900	1,235,000	124,300
2036	-	-	700,000	21,000	570,000	71,800	1,270,000	92,800
2037	-	-	-	-	580,000	60,400	580,000	60,400
2038	-	-	-	-	590,000	48,800	590,000	48,800
2039	-	-	-	-	605,000	37,000	605,000	37,000
2040	-	-	-	-	615,000	24,900	615,000	24,900
2041	-	-	-	-	630,000	12,600	630,000	12,600
Total	<u>\$ 8,525,000</u>	<u>\$ 1,548,682</u>	<u>\$ 8,210,000</u>	<u>\$ 2,204,000</u>	<u>\$ 9,400,000</u>	<u>\$ 2,761,950</u>	<u>\$ 26,135,000</u>	<u>\$ 6,514,632</u>

City of Gallatin, Tennessee
Schedule of Long-term Debt, Principal, and Interest Requirements
Business-type Activities
June 30, 2022

Fiscal year ended June 30,	Water and Sewer Revenue Bonds, Series 2011		Water and Sewer Revenue Bonds, Series 2014		Water and Sewer Revenue Bonds, Series 2015		Gas System Revenue Bonds, Series 2019		Water and Sewer Revenue Improvement Bonds, Series 2021A		Water and Sewer Revenue Refunding Bonds, Series 2021B		Total	
	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest
2023	\$ 450,000	\$ 183,498	\$ 285,000	\$ 95,375	\$ 1,200,000	\$ 219,038	\$ 210,000	\$ 180,838	\$ 325,000	\$ 461,400	\$ 220,000	\$ 261,670	\$ 2,690,000	\$ 1,401,819
2024	460,000	169,848	315,000	80,375	1,255,000	171,038	215,000	174,538	340,000	448,100	225,000	260,412	2,810,000	1,304,311
2025	490,000	155,598	325,000	64,375	1,305,000	120,838	225,000	168,088	355,000	434,200	225,000	258,567	2,925,000	1,201,666
2026	505,000	141,304	330,000	49,650	1,350,000	68,638	230,000	161,338	370,000	419,700	225,000	255,900	3,010,000	1,096,530
2027	520,000	126,560	340,000	37,950	-	21,388	240,000	149,838	385,000	404,600	1,640,000	242,082	3,125,000	982,418
2028	535,000	110,401	355,000	27,525	-	21,388	255,000	137,838	400,000	388,900	1,670,000	215,587	3,215,000	901,639
2029	555,000	93,023	365,000	16,725	-	21,388	265,000	125,088	415,000	372,600	1,700,000	186,092	3,300,000	814,916
2030	570,000	74,599	375,000	5,625	-	21,388	280,000	111,838	430,000	355,700	1,730,000	154,357	3,385,000	723,507
2031	590,000	54,869	-	-	-	21,388	290,000	100,638	450,000	338,100	1,765,000	120,272	3,095,000	635,267
2032	615,000	33,781	-	-	-	21,388	305,000	89,038	470,000	319,700	1,800,000	83,902	3,190,000	547,809
2033	635,000	11,509	-	-	-	21,388	315,000	76,838	490,000	300,500	1,840,000	45,310	3,280,000	455,545
2034	-	-	-	-	-	21,388	325,000	64,238	510,000	280,500	175,000	23,031	1,010,000	389,157
2035	-	-	-	-	-	21,388	335,000	54,488	530,000	259,700	180,000	18,150	1,045,000	353,726
2036	-	-	-	-	-	21,388	345,000	44,438	550,000	238,100	185,000	13,131	1,080,000	317,057
2037	-	-	-	-	-	21,388	355,000	34,088	570,000	215,700	190,000	7,975	1,115,000	279,151
2038	-	-	-	-	-	21,388	370,000	23,438	590,000	195,450	195,000	2,681	1,155,000	242,957
2039	-	-	-	-	290,000	21,387	380,000	11,875	610,000	177,450	-	-	1,280,000	210,712
2040	-	-	-	-	300,000	10,875	-	-	630,000	158,850	-	-	930,000	169,725
2041	-	-	-	-	-	-	-	-	650,000	139,650	-	-	650,000	139,650
2042	-	-	-	-	-	-	-	-	670,000	119,850	-	-	670,000	119,850
2043	-	-	-	-	-	-	-	-	690,000	99,450	-	-	690,000	99,450
2044	-	-	-	-	-	-	-	-	710,000	78,450	-	-	710,000	78,450
2045	-	-	-	-	-	-	-	-	730,000	56,850	-	-	730,000	56,850
2046	-	-	-	-	-	-	-	-	755,000	34,575	-	-	755,000	34,575
2047	-	-	-	-	-	-	-	-	775,000	11,625	-	-	775,000	11,625
Total	\$ 5,925,000	\$ 1,154,990	\$ 2,690,000	\$ 377,600	\$ 5,700,000	\$ 868,470	\$ 4,940,000	\$ 1,708,483	\$ 13,400,000	\$ 6,309,700	\$ 13,965,000	\$ 2,149,119	\$ 46,620,000	\$ 12,568,362

City of Gallatin, Tennessee
Schedule of Changes in Lease Obligations
For the Year Ended June 30, 2022

Description of Indebtedness	Original amount of issue	Interest rate	Date of issue	Maturity date	Outstanding July 1, 2021	Issued during period	Paid and/or matured during period	Remeasure- ments	Outstanding June 30, 2022
Business-type Activities									
<i>Leases payable through electric fund</i>									
RJ Young - Copiers	\$ 14,233	2.26%	3/15/18	4/15/23	\$ 5,312	\$ -	\$ 2,877	\$ -	\$ 2,435
RJ Young - Printer	\$ 6,235	2.26%	6/17/19	6/17/24	<u>3,822</u>	<u>-</u>	<u>1,248</u>	<u>-</u>	<u>2,574</u>
Total leases payable - Business-type Activities					\$ 9,134	\$ -	\$ 4,125	\$ -	\$ 5,009

City of Gallatin, Tennessee
Schedule of Lease Obligations, Principal, and Interest Requirements by Fiscal Year
June 30, 2022

Fiscal year ended June 30,	Equipment Lease RJ Young - Copiers		Equipment Lease RJ Young - Printer		Total	
	Principal	Interest	Principal	Interest	Principal	Interest
2023	\$ 2,435	\$ 25	\$ 1,276	\$ 44	\$ 3,711	\$ 69
2024	-	-	1,298	16	1,298	16
Total	\$ 2,435	\$ 25	\$ 2,574	\$ 60	\$ 5,009	\$ 85

City of Gallatin, Tennessee
Schedule of Electric Rates in Force (Unaudited)
June 30, 2022

Residential Rate

Customer charge per month	\$ 16.55
Energy charge	
Per Kwh per month	0.10055

General Power Rate

GSA (Demand 0 - 5,000 kW)	
Customer charge per month	\$ 19.60

Less than 50 kW and not more than 1500 kWh	
All kWh per kWh	0.11310

Between 51 and 1,000 kW with energy usage over 15000 kWh	
Customer charge per month	\$ 60.00
0 to 50 kW	No charge
More than 50 to 1,000 kW	\$ 10.65

First 15,000 kWh per month	0.10568
Additional kWh per month	0.07485

Between 1,001 and 5,000 kW	
Customer charge per month	\$ 200.00
0 to 1,000 kW	\$ 10.70
More than 1,000 kW	\$ 14.87

All kWh per kWh	0.07478
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GSB (Demand from 5,001 to 15,000 kW)	
Customer charge per month	\$ 1,500
Demand charge	
Onpeak demand	\$10.87 per kW
Max demand	\$5.21 per kW
Offpeak excess of contract demand	\$10.87 per kW
Energy charge	
Onpeak kWh	0.09225
Offpeak kWh first 200 HUD	0.06734
Offpeak kWh next 200 HUD	0.03276
Additional HUD	0.02935

MSB

Customer charge per month	\$ 1,500
Demand charge	
Onpeak demand	\$10.24 per kW
Max demand	\$2.26 per kW
Offpeak excess of contract demand	\$10.24 per kW
Energy charge	
Onpeak kWh	0.08483
Offpeak kWh first 200 HUD	0.05983
Offpeak kWh next 200 HUD	0.03014
Additional HUD	0.02759

City of Gallatin, Tennessee
Schedule of Electric Rates in Force (Unaudited)
June 30, 2022

General Power Rate

MSD (Demand over 25,000 kW)	
Customer charge per month	\$ 1,500
Demand charge	
Onpeak demand	\$10.24 per kW
Max demand	\$1.64 per kW
Offpeak excess of contract demand	\$10.24 per kW
Energy charge	
Onpeak kWh	0.08144
Offpeak kWh first 200 HUD	0.05643
Offpeak kWh next 200 HUD	0.02986
Additional HUD	0.02927
Outdoor lighting (including pole)	
73 LED	\$ 11.05
113 LED	\$ 16.11
100 Watt HPS	\$ 9.48
150 Watt HPS	\$ 12.63
175 Watt HPS	\$ 10.15
250 Watt HPS	\$ 16.02
400 Watt HPS	\$ 20.66
Outdoor lighting kWh	0.07708

Number of Customers at Year End

Residential	20,599
Commercial	3,562
Street and athletic fields	57
Individually billed outdoor lighting	<u>29</u>
	24,247

City of Gallatin, Tennessee
Schedule of Water and Sewer Rates in Force (Unaudited)
June 30, 2022

Water Department

Inside city limits

All customers

\$11.92 for first 250 cubic feet
\$3.25 per 100 cubic feet in excess of 250 cubic feet

Outside city limits

All customers

\$17.80 for first 250 cubic feet
\$4.88 per 100 cubic feet in excess of 250 cubic feet

Sewer Department

Inside city limits

All customers

\$11.92 for first 250 cubic feet
\$3.25 per 100 cubic feet in excess of 250 cubic feet

Outside city limits

All customers

\$17.80 for first 250 cubic feet
\$4.88 per 100 cubic feet in excess of 250 cubic feet

Water and Sewer

Number of customers

17,055

City of Gallatin, Tennessee
Schedule of Gas Rates in Force (Unaudited)
June 30, 2022

Residential and Commercial, Inside City		
First 200 cubic	\$	3.50
All usage over 200 cubic feet, per ccf		1.35
Residential and Commercial, Outside City		
First 200 cubic	\$	3.85
All usage over 200 cubic feet, per ccf		1.49
Industrial		
All usage, per ccf	\$	1.35
Preferred interruptible		
All usage, per ccf	\$	1.25
Interruptible		
First 100,000 cubic feet	\$	0.95
All usage over 100,000 cubic, per ccf	\$	0.90
Number of Customers		
Residential		11,798
Commercial		657
Industrial		26
Interruptible		5
		12,486

Statistical Section

City of Gallatin, Tennessee

Statistical Section Summary Page

June 30, 2022

This part of the City of Gallatin, Tennessee's Annual Comprehensive Financial Report presents detailed information as a context for understanding what the information in the financial statements, the note disclosures, and the required supplementary information says about the City's overall financial health.

	Page
<i>Financial Trends Information</i>	102-106
These schedules contain trend information to help the reader understand how the government's financial performance and well-being have changed over time.	
<i>Revenue Capacity Information</i>	107-109
These schedules contain information to help the reader assess the government's most significant local revenue source, the property tax.	
<i>Debt Capacity Information</i>	110-112
These schedules present information to help the reader assess the affordability of the government's current level of outstanding debt and the government's ability to issue additional debt in the future.	
<i>Demographic and Economic Information</i>	113-114
These schedules present information to help the reader understand the environment within which the government's financial activities take place.	
<i>Operating Information</i>	115-117
These schedules contain service and infrastructure data to help the reader understand how the information in the government's financial report relates to the services the government provides and the activities it performs.	

Sources: Except where noted, the information in these schedules is derived from the City's Annual Comprehensive Financial Reports for the relevant years.

City of Gallatin, Tennessee
Financial Trends Information
Net Position by Component - Last Ten Fiscal Years

	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Governmental Activities										
Net investment in capital assets	\$ 133,281,647	\$ 106,414,737	\$ 108,846,455	\$ 89,932,089	\$ 75,402,931	\$ 67,569,997	\$ 58,836,309	\$ 54,468,094	\$ 48,317,805	\$ 44,409,934
Restricted	13,222,353	12,609,720	1,512,468	1,325,054	1,298,730	1,205,180	593,324	535,180	615,631	568,020
Unrestricted	49,343,959	39,901,584	24,032,975	17,563,265	17,336,772	17,025,218	15,409,177	13,898,373	14,232,475	11,688,071
Total net position	<u>\$ 195,847,959</u>	<u>\$ 158,926,041</u>	<u>\$ 134,391,898</u>	<u>\$ 108,820,408</u>	<u>\$ 94,038,433</u>	<u>\$ 85,800,395</u>	<u>\$ 74,838,810</u>	<u>\$ 68,901,647</u>	<u>\$ 63,165,911</u>	<u>\$ 56,666,025</u>
Business-Type Activities										
Net investment in capital assets	\$ 161,498,167	157,292,864	\$ 142,206,982	\$ 136,551,453	\$ 127,605,680	\$ 120,808,485	\$ 119,097,460	\$ 112,025,506	\$ 107,506,931	\$ 103,558,594
Restricted	3,055,394	195,257	7,729	7,702	7,675	7,648	7,621	7,572	7,522	7,473
Unrestricted	54,246,029	45,895,729	47,714,045	37,092,490	35,652,720	37,926,071	31,826,566	35,009,804	32,232,921	28,661,288
Total net position	<u>\$ 218,799,590</u>	<u>\$ 203,383,850</u>	<u>\$ 189,928,756</u>	<u>\$ 173,651,645</u>	<u>\$ 163,266,075</u>	<u>\$ 158,742,204</u>	<u>\$ 150,931,647</u>	<u>\$ 147,042,882</u>	<u>\$ 139,747,374</u>	<u>\$ 132,227,355</u>
Primary Government										
Net investment in capital assets	\$ 294,779,814	\$ 263,707,601	\$ 251,053,437	\$ 226,483,542	\$ 203,008,611	\$ 188,378,482	\$ 177,933,769	\$ 166,493,600	\$ 155,824,736	\$ 147,968,528
Restricted	16,277,747	12,804,977	1,520,197	1,332,756	1,306,405	1,212,828	600,945	542,752	623,153	575,493
Unrestricted	103,589,988	85,797,313	71,747,020	54,655,755	52,989,492	54,951,289	47,235,743	48,908,177	46,465,396	40,349,359
Total net position	<u>\$ 414,647,549</u>	<u>\$ 362,309,891</u>	<u>\$ 324,320,654</u>	<u>\$ 282,472,053</u>	<u>\$ 257,304,508</u>	<u>\$ 244,542,599</u>	<u>\$ 225,770,457</u>	<u>\$ 215,944,529</u>	<u>\$ 202,913,285</u>	<u>\$ 188,893,380</u>

City of Gallatin, Tennessee
Financial Trend Information
Change in Net Position - Last Ten Fiscal Years

(Prepared using the accrual basis of accounting)

Governmental activities:	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Revenues:										
Program revenues:										
Charges for services	\$ 12,275,819	\$ 10,289,687	\$ 8,977,852	\$ 8,356,873	\$ 7,863,631	\$ 7,418,973	\$ 6,069,552	\$ 5,538,642	\$ 6,526,770	\$ 4,075,988
Operating grants & contributions	4,389,561	2,421,030	2,923,203	2,616,883	1,865,673	1,275,976	1,064,123	1,234,427	1,527,429	1,109,040
Capital grants & contributions	15,384,481	12,482,796	20,335,480	12,308,868	6,010,371	8,921,557	4,790,834	10,285,239	3,533,738	3,975,532
General revenues:										
Property taxes	13,503,462	12,917,220	12,215,190	11,906,890	11,235,726	11,367,951	10,878,306	10,273,533	9,930,089	9,999,751
Sales taxes	19,014,773	15,317,664	12,826,752	12,145,080	11,516,561	11,064,266	10,074,289	9,330,486	8,661,499	8,014,658
Franchise taxes	451,706	507,514	465,305	487,103	468,690	466,766	448,730	421,534	385,802	360,650
Alcoholic beverage taxes	2,099,402	1,965,642	1,766,980	1,563,354	1,522,812	1,509,842	1,260,296	1,251,420	1,165,299	1,117,556
Business taxes	2,008,558	1,404,790	1,127,484	1,014,325	949,546	936,708	818,811	756,560	680,446	639,646
Income taxes	355,086	414,371	565,252	439,386	662,104	946,308	913,636	913,636	793,306	520,539
Other sources	10,807,740	3,512,304	375,946	1,354,312	540,551	480,686	226,818	230,319	240,216	319,500
Unrestricted interest income	81,819	240,425	313,968	298,873	303,527	246,354	115,184	68,994	79,958	28,417
In lieu of taxes and transfers	2,416,007	2,505,134	1,971,409	1,610,234	1,635,255	1,699,195	1,640,386	1,545,670	1,448,787	1,383,147
Total revenues	<u>82,788,414</u>	<u>63,978,577</u>	<u>64,077,687</u>	<u>54,228,047</u>	<u>44,351,729</u>	<u>46,050,378</u>	<u>38,333,637</u>	<u>41,850,460</u>	<u>34,973,339</u>	<u>31,544,424</u>
Expenses:										
General government	\$ 10,679,488	9,568,230	12,362,858	10,194,485	8,545,515	7,930,678	7,186,551	6,432,191	5,147,411	5,070,240
Public safety	19,887,020	17,489,772	15,280,509	15,685,627	14,939,109	14,842,150	12,701,861	12,139,618	11,778,255	11,626,014
Engineering	2,112,141	638,392	622,525	2,300,750	1,907,119	2,224,831	1,643,277	1,611,956	1,412,832	1,112,112
Environmental services	3,264,572	3,125,244	2,796,681	2,194,040	2,109,615	1,788,412	1,701,497	1,682,507	1,779,918	1,637,569
Animal control	-	-	-	-	-	-	-	123,665	113,487	108,023
Public works	826,884	774,681	674,693	585,600	705,505	568,139	552,190	362,748	1,163,412	1,658,029
Highways, streets, and roadways	1,500,643	1,405,170	1,136,264	1,252,628	1,556,403	1,174,314	1,359,004	1,457,922	1,403,207	1,208,364
Vehicle maintenance	638,291	589,459	617,315	612,519	562,563	549,748	459,858	418,068	420,964	403,696
Parks and recreation	5,760,606	4,950,915	3,787,643	4,286,418	4,302,313	4,639,151	4,361,499	4,265,685	4,043,815	4,290,038
Economic development	556,451	528,172	572,306	816,593	615,343	448,174	1,622,199	6,770,860	444,972	280,227
Tourism	-	-	57,039	123,052	-	-	-	-	-	-
Interest on debt	640,400	374,399	598,364	702,384	765,919	923,196	808,538	653,094	481,455	433,883
Total expenses	<u>45,866,496</u>	<u>39,444,434</u>	<u>38,506,197</u>	<u>38,754,096</u>	<u>36,009,404</u>	<u>35,088,793</u>	<u>32,396,474</u>	<u>35,918,314</u>	<u>28,189,728</u>	<u>27,828,195</u>
Change in net position	<u>\$ 36,921,918</u>	<u>\$ 24,534,143</u>	<u>\$ 25,571,490</u>	<u>\$ 15,473,951</u>	<u>\$ 8,342,325</u>	<u>\$ 10,961,585</u>	<u>\$ 5,937,163</u>	<u>\$ 5,932,146</u>	<u>\$ 6,783,611</u>	<u>\$ 3,716,229</u>

City of Gallatin, Tennessee
Financial Trend Information
Change in Net Position - Last Ten Fiscal Years

(Prepared using the accrual basis of accounting)

Business-Type activities:	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Revenues:										
Program revenues:										
Charges for services	\$ 108,490,786	\$ 95,741,011	\$ 96,304,597	\$ 104,274,429	\$ 102,309,298	\$ 99,131,412	\$ 94,763,804	\$ 98,670,740	\$ 100,225,082	\$ 91,501,059
Capital grants & contributions	8,438,231	6,341,397	10,898,190	4,907,752	5,623,904	3,508,042	2,490,314	1,485,205	2,317,854	1,152,932
General revenues:										
Other sources	171,323	105,925	-	-	-	147	10,000	-	487	2,603
Unrestricted interest income	180,733	316,711	328,769	229,021	197,243	134,055	142,192	108,911	95,539	121,102
Total revenues	<u>117,281,073</u>	<u>102,505,044</u>	<u>107,531,556</u>	<u>109,411,202</u>	<u>108,130,445</u>	<u>102,773,656</u>	<u>97,406,310</u>	<u>100,264,856</u>	<u>102,638,962</u>	<u>92,777,696</u>
Expenses:										
Electric	67,411,765	61,466,937	64,715,592	70,565,030	68,464,520	68,658,346	66,077,111	65,953,465	65,344,259	63,093,670
Gas	17,460,412	12,390,484	14,208,176	13,612,534	13,482,880	12,817,606	12,360,729	14,620,277	16,443,781	12,848,397
Water & Sewer	15,120,466	13,300,552	10,525,253	13,321,850	13,115,652	11,787,952	12,582,400	10,769,977	11,170,248	10,846,942
In lieu of taxes - transfer	1,872,093	1,891,977	1,805,424	1,610,234	1,635,255	1,699,195	1,640,386	1,545,670	1,448,787	1,383,147
Total expenses	<u>101,864,736</u>	<u>89,049,950</u>	<u>91,254,445</u>	<u>99,109,648</u>	<u>96,698,307</u>	<u>94,963,099</u>	<u>92,660,626</u>	<u>92,889,389</u>	<u>94,407,075</u>	<u>88,172,156</u>
Change in net position	<u>15,416,337</u>	<u>13,455,094</u>	<u>16,277,111</u>	<u>10,301,554</u>	<u>11,432,138</u>	<u>7,810,557</u>	<u>4,745,684</u>	<u>7,375,467</u>	<u>8,231,887</u>	<u>4,605,540</u>
 Total change in net position	 <u>\$ 52,338,255</u>	 <u>\$ 37,989,237</u>	 <u>\$ 41,848,601</u>	 <u>\$ 25,775,505</u>	 <u>\$ 19,774,463</u>	 <u>\$ 18,772,142</u>	 <u>\$ 10,682,847</u>	 <u>\$ 13,307,613</u>	 <u>\$ 15,015,498</u>	 <u>\$ 8,321,769</u>

City of Gallatin, Tennessee
Financial Trend Information
Fund Balances of Governmental Funds - Last Ten Fiscal Years

(Prepared using the accrual basis of accounting)

	<u>2022</u>	<u>2021</u>	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>	<u>2014</u>	<u>2013</u>
Governmental Funds										
(Post-GASB 54)										
Nondisposable	\$ 99,135	\$ 85,469	\$ 82,177	\$ 674,250	\$ 1,169,853	\$ 1,612,302	\$ 1,065,869	\$ 173,269	\$ 86,851	\$ 105,468
Restricted	13,103,486	12,647,277	6,877,193	1,289,029	1,366,992	1,176,985	583,621	531,907	579,606	531,995
Committed	98,506	89,508	103,873	156,408	156,408	284,987	209,987	205,085	205,085	226,979
Assigned	400,089	2,810,969	58,712	7,400,387	11,899,028	12,626,737	16,335,657	8,011,003	2,734,115	1,915,974
Unassigned	43,461,521	29,343,786	18,722,398	16,287,472	17,248,650	17,730,397	16,180,042	13,232,920	11,455,850	8,689,632
	<u>\$ 57,162,737</u>	<u>\$ 44,977,009</u>	<u>\$ 25,844,353</u>	<u>\$ 25,807,546</u>	<u>\$ 31,840,931</u>	<u>\$ 33,431,408</u>	<u>\$ 34,375,176</u>	<u>\$ 22,154,184</u>	<u>\$ 15,061,507</u>	<u>\$ 11,470,048</u>

City of Gallatin, Tennessee
Financial Trend Information
Changes in Fund Balances of Governmental Funds - Last Ten Fiscal Years

(Prepared using the accrual basis of accounting)

	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Revenues										
Taxes	\$ 31,828,287	\$ 28,148,675	\$ 24,907,697	\$ 23,082,274	\$ 22,304,176	\$ 21,677,227	\$ 20,117,243	\$ 18,988,744	\$ 18,393,292	\$ 17,768,774
Licenses and permits	3,633,533	3,247,237	2,279,208	2,146,030	2,542,185	2,187,478	1,093,853	760,459	467,638	402,533
Fines and penalties	658,741	673,966	691,541	737,197	785,160	922,423	983,427	1,051,142	2,556,501	884,878
Charges for services	7,978,910	6,285,822	6,005,756	5,476,634	4,534,678	4,302,069	3,984,098	3,739,436	3,481,559	2,849,243
Intergovernmental	19,963,272	16,201,370	14,437,262	10,628,819	6,717,563	6,616,702	10,457,840	14,007,953	8,668,804	6,696,213
Other	3,287,292	4,479,403	2,683,304	2,371,227	1,315,537	884,022	414,025	575,308	708,339	544,215
Total revenues	67,350,035	59,036,473	51,004,768	44,442,181	38,199,299	36,589,921	37,050,486	39,123,042	34,276,133	29,145,856
Expenditures										
General government	8,648,829	7,717,866	7,687,329	8,486,465	7,609,102	6,723,566	5,932,888	5,471,142	4,825,287	4,558,323
Public safety	18,697,043	15,764,227	15,439,576	15,118,065	14,447,340	14,122,444	12,181,199	11,707,728	11,452,818	10,770,629
Engineering	2,114,553	638,392	621,511	2,140,367	1,902,729	2,219,984	1,643,528	1,611,956	1,353,632	1,006,769
Environmental Services	3,086,360	2,819,961	2,783,382	1,993,528	1,921,514	1,788,412	1,707,426	1,704,725	1,641,126	1,525,929
Animal control	-	-	-	-	-	-	-	123,665	113,487	108,023
Public Works	827,963	765,125	670,407	358,438	429,269	330,388	294,737	360,112	453,374	264,185
Highway and streets	1,127,266	1,045,433	1,137,622	1,248,681	1,559,615	1,168,778	1,227,048	1,254,942	1,374,830	1,100,961
Vehicle maintenance	639,633	585,193	614,540	558,341	558,653	551,334	496,426	418,068	418,626	399,019
Parks and recreation	4,982,212	4,188,436	3,786,654	4,258,583	4,292,539	4,309,104	4,014,097	3,936,723	3,763,086	3,597,451
Economic development agency	557,630	521,733	557,726	813,666	743,864	445,448	1,622,169	6,769,860	444,972	280,227
Tourism	-	-	57,039	123,052	-	-	-	-	-	-
Debt Service:										
Principal	1,745,000	1,395,000	1,355,000	1,795,000	1,839,745	1,754,475	1,205,000	1,385,000	860,000	835,000
Interest	971,989	796,360	738,850	808,775	862,768	892,232	572,156	245,373	403,564	431,901
Capital outlay	13,637,922	16,670,921	17,324,244	13,586,576	5,257,893	4,926,719	7,385,042	7,610,707	4,787,847	5,188,144
Total expenditures	57,036,400	52,908,647	52,773,880	51,289,537	41,425,031	39,232,884	38,281,716	42,600,001	31,892,649	30,066,561
Excess(deficiency) of revenues over (under) expenditures	10,313,635	6,127,826	(1,769,112)	(6,847,356)	(3,225,732)	(2,642,963)	(1,231,230)	(3,476,959)	2,383,484	(920,705)
Other financing sources (uses)										
Premiums on bonds issued	-	1,387,853	-	-	-	-	1,163,285	884,045	-	-
Proceeds of long-term debt	-	9,725,000	-	-	-	-	11,040,000	14,185,000	-	-
Bond issuance cost	-	-	-	-	-	-	(121,358)	(155,986)	-	-
Repayment from debt refunding	-	-	-	-	-	-	-	(6,098,495)	-	-
In lieu of tax payments from utility	1,872,093	1,891,977	1,805,919	1,610,234	1,635,255	1,699,195	1,640,386	1,545,670	1,448,787	1,383,147
Operating transfers in	-	-	-	-	-	-	-	-	2,183,420	2,866,662
Operating transfers out	-	-	-	-	-	-	-	-	(2,183,420)	(2,807,596)
Total other financing sources (uses)	1,872,093	13,004,830	1,805,919	1,610,234	1,635,255	1,699,195	13,722,313	10,360,234	1,448,787	1,442,213
Net changes in fund balances	<u>\$ 12,185,728</u>	<u>\$ 19,132,656</u>	<u>\$ 36,807</u>	<u>\$ (5,237,122)</u>	<u>\$ (1,590,477)</u>	<u>\$ (943,768)</u>	<u>\$ 12,491,083</u>	<u>\$ 6,883,275</u>	<u>\$ 3,832,271</u>	<u>\$ 521,508</u>
Debt service as a percentage of non-capital expenditures	6.68%	6.44%	6.28%	7.42%	8.08%	8.36%	6.10%	4.89%	4.89%	5.37%

City of Gallatin, Tennessee

Revenue Capacity Information

Assessed Value and Estimated Actual Value of Taxable Property - Last Ten Tax Years

Tax Year	Appraised Value			Assessed Value as a Percentage of Actual Value	Total Direct Tax Rate*
	Total Taxable Assessed Value	Estimated Actual Taxable Value			
2022	\$ 1,749,990,933	\$ 6,184,000,396		28.30%	\$ 0.80
2021	1,639,821,560	5,804,981,995		28.25%	0.80
2020	1,568,403,152	5,505,851,345		28.49%	0.80
2019	1,379,876,000	5,345,047,430		25.82%	0.80
2018	1,085,548,889	3,758,217,774		28.88%	0.99
2017	1,063,378,081	3,688,978,706		28.83%	0.99
2016	1,030,640,007	3,498,839,903		29.46%	0.99
2015	970,755,253	3,050,696,936		31.82%	0.99
2014	973,251,111	3,032,204,783		32.10%	0.99
2013	955,038,384	2,982,691,390		32.02%	0.99

* Per \$100 of assessed valuation.

Note - Property of the City is reappraised periodically. For this reason, appraised value is considered
All information was pulled from the tax levies by the year noted.

City of Gallatin, Tennessee
Revenue Capacity Information
Principal Property Tax Payers - Current Year and Nine Years Ago

Taxpayer	2022		2013	
	Assessed Valuation	Percent of Total Valuation	Assessed Valuation	Percent of Total Valuation
Sumner Regional Medical Ctr	\$ 89,239,100	5.10%	\$ 89,172,100	11.65%
Revere At Hidden Creek LLC	62,333,700	3.56%	-	0.00%
GAP INC	52,583,300	3.00%	76,300,000	9.97%
Green Lea Prop LLC	42,608,700	2.43%	-	0.00%
Wellington Farms Holdings DE LLC	37,142,900	2.12%	32,661,100	4.27%
SP RGA Stoneridge LP	36,696,400	2.10%	-	0.00%
KJPL Gallatin LLC	30,445,600	1.74%	-	0.00%
Vintage Foxland Harbor LLC	28,994,900	1.66%	-	0.00%
Sumner Regional Medical Ctr	22,816,027	1.30%	14,171,857	1.85%
Hoeganaes Corp	13,113,940	0.75%	14,117,342	1.84%
MAA Brik	-	0.00%	25,764,200	3.37%
Stoneridge Farms	-	0.00%	25,024,586	3.27%
ABC Group Prop., Inc.	-	0.00%	14,145,900	1.85%
R R Donnelley & Sones	-	0.00%	8,597,513	1.12%
Gap, Inc. & Subs Ent #99560	-	0.00%	5,796,355	0.76%
Total	\$ 415,974,567	26.52%	\$ 305,750,953	39.96%

Information was obtained from the property tax rolls for the years noted.

City of Gallatin, Tennessee
Revenue Capacity Information
Property Tax Levies and Collections - Last Ten Fiscal Years

Fiscal Year	Assessed Valuation	Total Tax Levy	Amount	Percentage of Levy	Collections in Subsequent Years	Total Collections	Total Collections as Percentage of Total Levy
2022	\$ 1,749,990,933	\$ 14,038,125	\$ 13,127,681	93.51%	\$ 100,687	\$ 13,228,368	94.23%
2021	1,639,821,560	12,917,234	12,578,223	97.38%	196,398	12,774,621	98.90%
2020	1,568,403,152	12,158,928	12,061,074	99.20%	-	12,061,074	99.20%
2019	1,379,876,000	11,039,008	10,962,352	99.31%	62,482	11,024,834	99.87%
2018	1,085,548,889	10,746,934	10,482,842	97.54%	104,110	10,586,952	98.51%
2017	1,063,378,081	10,527,443	10,151,671	96.43%	892,798	11,044,469	104.91%
2016	1,030,640,007	10,203,336	9,756,265	95.62%	368,379	10,124,644	99.23%
2015	970,755,253	9,610,477	9,447,813	98.31%	257,653	9,705,466	100.99%
2014	973,251,111	9,635,186	9,401,063	97.57%	343,744	9,744,807	101.14%
2013	955,038,384	9,454,880	9,146,352	96.74%	377,995	9,524,347	100.73%

Assessed valuation amount was taken from the property tax levy for the year noted.

City of Gallatin, Tennessee
Debt Capacity Information
Ratios of Outstanding Debt by Type - Last Ten Fiscal Years

Fiscal Year	Population*	Per Capita Personal Income**	Governmental Activities			Business-Type Activities			Total Primary Government	Debt Per Capita	Percentage of personal income
			General Obligation Bonds	Notes	Total Governmental	Revenue & Tax Bonds	Notes	Total Business-Type Activities			
2022	50,160	\$ 32,912	\$ 26,135,000	\$ -	\$ 26,135,000	\$ 46,620,000	\$ -	\$ 46,620,000	\$ 72,755,000	1,450.46	4.41%
2021	44,431	32,996	27,880,000	-	27,880,000	33,765,000	-	33,765,000	61,645,000	1,387.43	4.20%
2020	42,918	30,203	19,550,000	-	19,550,000	35,780,000	-	35,780,000	55,330,000	1,289.20	4.27%
2019	40,457	28,945	20,905,000	-	20,905,000	37,795,000	-	37,795,000	58,700,000	1,450.92	5.01%
2018	37,351	26,544	22,240,000	549,745	22,789,745	33,955,000	-	33,955,000	56,744,745	1,519.23	5.72%
2017	35,734	26,450	24,805,000	1,310,000	26,115,000	37,560,000	57,667	37,617,667	63,732,667	1,783.53	6.74%
2016	34,473	26,708	14,570,000	1,710,000	16,280,000	38,890,000	219,944	39,109,944	55,389,944	1,606.76	6.02%
2015	33,347	26,596	6,985,000	2,090,000	9,075,000	33,185,000	382,221	33,567,221	42,642,221	1,278.74	4.81%
2014	32,307	25,534	7,480,000	2,455,000	9,935,000	34,465,000	544,498	35,009,498	44,944,498	1,391.17	5.45%
2013	31,414	22,963	7,960,000	2,810,000	10,770,000	35,705,000	706,775	36,411,775	47,181,775	1,501.93	6.54%

* Source for population: U.S. Census Bureau

** Personal income amounts were obtained from State estimates.

City of Gallatin, Tennessee

Debt Capacity Information

Ratios of General Bonded Debt Outstanding - Last Ten Fiscal Years

		Governmental Activities							Ratio of General Obligation Debt to Appraised Value	Net General Obligation Debt Per Capita
Fiscal		General Obligation		Total Governmenta l	Business-Type Activities	Total Primary	Assessed			
Year	Population*	Bonds	Notes		Notes	Government	Value		Value	Capita
2022	50,160	\$ 26,135,000	\$ -	\$ 26,135,000	\$ -	\$ 26,135,000	\$ 1,749,990,933	1.49%	\$	521.03
2021	44,431	27,880,000	-	27,880,000	-	27,880,000	1,639,821,560	1.70%		627.49
2020	42,918	19,550,000	-	19,550,000	-	19,550,000	1,568,403,152	1.25%		455.52
2019	40,457	20,905,000	-	20,905,000	-	20,905,000	1,379,876,000	1.51%		516.72
2018	37,351	22,240,000	549,745	22,789,745	-	22,789,745	1,085,548,889	2.10%		610.15
2017	35,734	24,805,000	1,310,000	26,115,000	57,667	26,172,667	1,063,378,081	2.46%		732.43
2016	34,473	14,570,000	1,710,000	16,280,000	219,944	16,499,944	1,030,640,007	1.60%		478.63
2015	33,347	6,985,000	2,090,000	9,075,000	382,221	9,457,221	970,755,253	0.97%		283.60
2014	32,307	7,480,000	2,455,000	9,935,000	544,498	10,479,498	973,251,111	1.08%		324.37
2013	31,414	7,960,000	2,810,000	10,770,000	706,775	11,476,775	955,038,384	1.20%		365.34

* Source for population: U.S. Census Bureau

** Personal income amounts were obtained from State estimates.

City of Gallatin, Tennessee
Debt Capacity Information
Pledged Revenue Coverage - Last Ten Fiscal Years

Fiscal Year	Utility Service Charges	Less: Operating Expenses	Net Revenue Available For Debt Service	Principal	Interest	Total	Percent of Coverage
2022	\$ 38,405,643	\$ 31,115,155	\$ 7,290,488	\$ 2,075,000	\$ 1,340,498	\$ 3,415,498	213.45%
2021	31,047,874	19,860,727	11,187,147	2,015,000	1,410,424	3,425,424	326.59%
2020	28,473,862	17,853,481	10,620,381	1,775,000	1,268,910	3,043,910	348.91%
2019	30,554,008	20,257,578	10,296,430	2,015,000	1,418,722	3,433,722	299.86%
2018	14,593,834	8,546,734	6,047,100	1,730,000	1,326,336	3,056,336	197.85%
2017	14,190,626	7,221,685	6,968,941	1,830,000	1,403,935	3,233,935	215.49%
2016	13,525,181	7,389,032	6,136,149	1,775,000	1,460,061	3,235,061	189.68%
2015	12,112,544	6,651,379	5,461,165	1,330,000	1,101,320	2,431,320	224.62%
2014	12,259,008	6,548,582	5,710,426	1,280,000	1,420,441	2,700,441	211.46%
2013	11,293,065	5,934,780	5,358,285	1,465,000	1,464,908	2,929,908	182.88%

Note: Details regarding the city's outstanding debt can be found in the notes to the financial statements. Operating expenses do not include interest, depreciation, or amortization expenses. Sales tax increment bonds are backed by the sales tax revenue produced by the sales tax rate in effect when the bonds were issued (2.5%) applied to the increase in retail sales in the Commons shopping area since the time.

City of Gallatin, Tennessee
Demographic and Economic Information
Demographic and Economic Statistics - Last Ten Fiscal Years

Fiscal Year	City Population*	County Population*	Personal Income**	Per Capita Personal Income**	Median Age*	County School Enrollment***	County Unemployment Rate****
2022	50,160	200,557	\$ 60,930	\$ 32,912	38.4	30,512	3.00%
2021	44,431	196,281	59,745	32,996	39.1	30,425	4.50%
2020	42,918	191,283	55,825	30,203	37.9	29,540	7.50%
2019	40,457	187,149	53,794	28,945	37.6	29,400	3.20%
2018	37,351	183,545	49,041	26,544	37.2	29,196	2.80%
2017	35,734	180,063	47,957	26,450	36.0	29,059	2.30%
2016	34,473	175,989	46,441	26,708	37.0	29,060	4.10%
2015	33,347	172,706	46,102	26,596	37.0	28,715	4.70%
2014	32,307	168,888	45,603	25,534	37.4	28,361	5.60%
2013	31,414	165,950	42,425	22,963	37.5	28,508	6.70%

* U.S. Census Bureau

** State Estimate

*** Sumner County School Board

**** Tennessee State Department of Labor, Statistical Services

Note: Population, median age, and education level information are based on surveys conducted during the last quarter of the calendar year. Personal income information is a total for the year. Unemployment rate information is an adjusted yearly average. School enrollment is based on the census at the start of the school year.

City of Gallatin, Tennessee
Demographic and Economic Information
Principal Employers - Current Year and Nine Years Ago

Employer	2022			2013		
	Employees	Rank	Percentage of Total City Employment	Employees	Rank	Percentage of Total City Employment
Sumner County Government & Schools	4,675	1	21.25%	3,750	1	33.19%
Gap, Inc.	1,571	2	7.14%	707	3	6.26%
Sumner Regional Medical Center	1,075	3	4.89%	1,012	2	8.96%
ABC Technologies	1,000	4	4.55%	N/A	N/A	N/A
Volunteer State Community College	753	5	3.42%	564	4	4.99%
City of Gallatin	587	6	2.67%	381	7	3.37%
Servpro Industries	395	7	1.80%	379	8	3.35%
Hoeganaes Corporation	232	8	1.05%	248	9	2.19%
Stanley Black & Decker	230	9	1.05%	N/A	N/A	N/A
NIC Global	200	10	0.91%	N/A	N/A	N/A
Sumner County Government	N/A	N/A	N/A	500	5	4.42%
ABC Group Fuel Systems	N/A	N/A	N/A	459	6	4.06%
R. R. Donnelley & Sons	N/A	N/A	N/A	175	10	1.55%

Source: Tennessee Department of Labor Workforce & Development and City of Gallatin's Economic Development

City of Gallatin, Tennessee
Operating Information
Full-Time Equivalent City Government Employees by Function/Program - Last Ten Fiscal Years

Function/Program	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
General Government:										
Mayor's Office	3	3	3	3	3	3	3	3	3	3
Planning	8	8	8	9	9	7	7	6	6	0
Finance	6	7	7	6	6	6	5	5	8	8
City Attorney	4	4	4	4	4	4	3	3	3	3
Recorder	7	6	6	6	7	6	6	6	7	7
Personnel	5	5	4	4	3	3	3	2	2	1
Codes	17	18	15	15	15	12	9	10	7	13
Economic Development Agency	3	3	3	3	3	3	3	2	2	2
Information Technology	8	8	8	7	7	7	6	5	0	0
Public Safety:										
Police	97	97	97	99	99	99	98	93	94	89
Fire	98	97	97	96	98	85	68	72	72	71
Public Works	52	49	52	48	50	47	48	47	49	48
Leisure Services	30	30	29	26	29	29	31	31	31	30
Engineering	10	10	9	9	8	7	6	7	6	6
Public Utilities	84	88	92	93	95	86	88	87	82	85
Golf Course	0	0	0	0	0	0	0	0	0	0
Total	432	433	434	428	436	404	384	379	372	366

Sources: PERSONNEL OFFICIAL

*AUDITS PRIOR YEARS

2013 numbers include 3 PPT employees. It does not include 11 unfilled positions (total authorized manning 377 as 6/30/13).

2016 numbers include 4 PPT employees. It does not include 12 unfilled positions (total authorized manning 396 as 6/30/16).

2017 numbers include 4 PPT employees. It does not include 15 unfilled positions (total authorized manning as 06/30/17).

City of Gallatin, Tennessee
Operating Information
Operating Indicators by Function/Program - Last Ten Fiscal Years

Function/Program	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Police										
Physical arrests	3,419	2,985	3,571	3,802	3,718	3,805	3,803	3,575	3,772	4,913
Parking violations	188	169	219	407	308	279	458	722	420	634
Traffic violations	14,847	11,720	17,065	15,334	13,436	13,824	17,393	22,643	13,231	20,494
* Red light camera citations	5,598	5,109	3,828	6,345	6,211	7,386	9,054	7,751	7,029	5,953
Fire										
Emergency responses	7,729	6,854	6,228	6,048	5,636	4,192	3,917	3,390	3,120	2,973
Fires extinguished	148	132	115	122	113	133	144	94	120	105
Inspections	4,552	3,296	2,530	2,526	2,423	1,658	1,664	1,413	829	1,194
Animal Control										
* * Animals Restrained	317	288	346	519	487	576	622	N/A	388	491
Highways and Streets										
Street resurfacing (miles)	8.11	5.16	6.64	5.20	6.00	3.31	4.60	5.75	4.50	5.60
Potholes repaired	2,465	259	363	315	356	314	403	324	546	122
Other Public Works										
Utility cuts repaired	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Parks and Recreation										
Athletic field permits issued	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Community center admissions	150,000	150,000	150,000	270,000	270,000	270,000	240,000	240,000	230,000	230,000
Community Service										
Number of organization benefited	17	17	21	18	14	10	12	16	16	16
Number of services benefited	3	3	3	3	3	5	6	4	4	4
Environmental Services										
Tons hauled	20,506	18,599	17,625	16,432	16,171	16,142	12,224	11,413	11,376	11,588
Water										
New connections	754	715	441	406	425	380	316	330	272	238
Water main breaks	58	31	45	46	37	37	37	38	40	32
Utility cuts repaired	79	54	123	83	145	100	139	138	175	142
Average daily consumption (thousands of gallons)	7,805	7,293	7,774	7,110	7,316	6,052	6,171	5,865	5,944	5,948
Peak daily consumption (thousands of gallons)	12,562	8,797	9,347	10,523	8,451	7,072	8,287	7,873	9,277	9,714
Sewer										
Average daily treatment (thousands of gallons)	8,077	7,785	8,911	7,010	6,282	5,902	5,808	6,435	6,992	6,285
Electric										
Average daily consumption (thousands of kilowatt hours)	2,147	2,163	2,020	2,237	2,254	2,244	2,194	2,186	2,184	2,176
Natural Gas										
Average daily consumption:										
Summer -April/October (thousands of cubic feet)	4,059	3,587	3,623	4,920	4,810	4,656	4,937	5,550	5,117	4,723
Winter-November/March (thousands of cubic feet)	8,335	9,124	8,211	8,507	10,445	7,454	7,644	9,078	9,660	8,823
Golf										
Rounds played	44,145	44,145	44,145	45,000	45,000	45,000	45,000	35,000	45,000	45,000

Sources: Various city departments

Notes: Indicators are not available for the general government function.

City of Gallatin, Tennessee
Operating Information
Capital Asset Statistics by Function/Program - Last Ten Fiscal Years

Function/Program	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Police										
Stations	1	1	1	1	1	1	1	1	1	1
Zone offices	4	4	4	4	1	1	1	1	1	1
Patrol units	80	80	96	96	91	79	78	76	73	64
Fire										
Stations	5	5	5	5	4	4	4	4	4	4
Fire trucks	11	11	11	11	9	9	9	8	8	7
Animal Control										
Trucks	2	2	2	2	2	2	2	2	2	2
Highways and Streets										
Streets (miles)	221.0	217.5	215.8	210	204	200	195.6	195.3	195	194.5
Streetlights	4,278	4,254	3,931	3,874	3,892	3,811	3,720	3,621	3,678	3,602
Traffic signals	438	411	411	388	380	370	362	362	354	352
Sidewalks (miles)	100	93	90	78	67	58	46.5	46	45	44
Parks and Recreation										
Acreage	610	598	598	598	532	532	532	532	532	532
Playgrounds	5	5	5	5	5	5	4	4	4	4
Baseball/softball diamonds	23	23	23	23	23	23	23	23	23	23
Soccer/football fields	8	8	8	8	8	8	8	8	8	8
Community centers	2	2	2	2	2	2	2	2	2	2
Volleyball Courts	4	4	4	4	4	4	4	4	4	4
Basketball Courts	6	6	6	6	6	6	6	6	6	6
Picnic Shelters	13	13	13	13	13	13	13	13	13	14
Tennis Courts	6	6	6	6	6	6	6	6	6	6
Horseshoe Pits	5	5	5	5	5	5	9	9	9	9
Fishing Piers	2	2	2	2	2	2	2	2	2	2
Swimming Pools	2	2	2	1	1	1	1	1	1	1
Walking Trail (miles)	8	8	8	8	8	8	8	8	8	5
Disc Golf (holes)	18	18	18	18	18	18	18	18	18	18
Model Airplane Strip	1	1	1	1	1	1	1	1	1	1
Skate Park	1	1	1	1	1	1	1	1	1	1
Environmental Services										
Refuse Trucks	25	24	24	24	23	22	22	20	21	20
Water										
Water mains (miles)	342	337	335	331	320	316	313	312	311	308
Fire hydrants	2,273	2,212	2,173	2,113	2,075	2,025	1,986	1,920	1,902	1,893
Storage capacity (thousands of gallons)	15,000	15,000	13,000	13,000	13,000	13,000	13,000	13,000	13,000	13,000
Percent of Water Loss in System	35	32	25	16	16	12	13	12	15	15
Sewer										
Sewer mains (miles)	270	264	257	254	244	240	236	234	233	231
Pump Stations	44	43	41	41	41	41	41	41	40	40
Natural Gas										
Gas lines (miles)	405	398	394	389	385	382	380	376	368	363
Golf										
Acres	136	136	136	136	136	136	136	136	136	136
Holes	18	18	18	18	18	18	18	18	18	18
Driving Range	1	1	1	1	1	1	1	1	1	1

Sources: Various city departments

Note: No capital asset indicators are available for the general government.

Internal Control and Compliance



**Independent Auditor's Report on Internal Control Over Financial Reporting
and on Compliance and Other Matters Based on an Audit of Financial Statements
Performed in Accordance With Government Auditing Standards**

Honorable Mayor and Members of the City Council
City of Gallatin, Tennessee

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*), the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Gallatin, Tennessee (the City), as of and for the year ended June 30, 2022, and the related notes to the financial statements, which collectively comprise the City's basic financial statements as listed in the table of contents, and have issued our report thereon dated December 19, 2022. Our report includes a reference to other auditors who audited the financial statements of the Electric Department, as described in our report on the City's financial statements. This report does not include the results of the other auditors' testing of internal control over financial reporting or compliance and other matters that are reported on separately by those auditors.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the City's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, we do not express an opinion on the effectiveness of the City's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that were not identified. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. We identified certain deficiencies in internal control, described in the accompanying schedule of findings and questioned costs as item 2022-001, that we consider to be significant deficiencies

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the City's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

City's Response to Findings

Government Auditing Standards requires the auditor to perform limited procedures on the City's response to the findings identified in our audit and described in the accompanying in the schedule of findings and questioned costs. The City's response was not subjected to the other auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on the response.

Purpose of This Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Blankenship CPA Group, PLLC

Blankenship CPA Group, PLLC
Goodlettsville, Tennessee
December 19, 2022



**Independent Auditor's Report on Compliance for Each Major Federal Program
and on Internal Control over Compliance Required by the Uniform Guidance**

Honorable Mayor and Members of the City Council
City of Gallatin, Tennessee

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited the City of Gallatin, Tennessee's (the City) compliance with the types of compliance requirements identified as subject to audit in the OMB Compliance Supplement that could have a direct and material effect on each of the City's major federal programs for the year ended June 30, 2022. The City's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

In our opinion, the City complied, in all material respects, with the compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2022.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States (*Government Auditing Standards*); and the audit requirements of Title 2 US Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the City and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of the City's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules, and provisions of contracts or grant agreements applicable to the City's federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the City's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the City's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the City's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- Obtain an understanding of the City's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Report on Internal Control Over Compliance

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. *A significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Blankenship CPA Group, PLLC

Blankenship CPA Group, PLLC
Goodlettsville, Tennessee
December 19, 2022

City of Gallatin, Tennessee
Schedule of Findings and Questioned Costs
For the Year Ended June 30, 2022

Section I. Summary of Auditor's Results

Financial Statements

Type of report the auditor issued on whether the financial statements audited were prepared in accordance with GAAP Unmodified

Internal control over financial reporting:

Material weakness identified?	<u> </u> Yes	<u> X </u> No
Significant deficiency(ies) identified?	<u> X </u> Yes	<u> </u> None Reported
Noncompliance material to financial statements noted?	<u> </u> Yes	<u> X </u> No

Federal Awards

Internal control over major programs:

Material weakness identified?	<u> </u> Yes	<u> X </u> No
Significant deficiency(ies) identified?	<u> </u> Yes	<u> X </u> None Reported

Type of auditor's report issued on compliance for major federal programs: Unmodified

Any audit findings disclosed that are required to be reported in accordance with section 2 CFR 200.516(a)?	<u> </u> Yes	<u> X </u> No
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Identification of major programs:

**Assistance Listing
Number**

21.027

Name of Federal Program or Cluster

US Department of the Treasury/
COVID – 19 - Coronavirus State and Local Fiscal Recovery Funds
(CSLFRF)

Dollar threshold used to distinguish between type A and type B programs \$ 750,000

Auditee qualified as low-risk auditee?	<u> X </u> Yes	<u> </u> No
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City of Gallatin, Tennessee
Schedule of Findings and Questioned Costs
For the Year Ended June 30, 2022

Section II. Financial Statement Findings

Finding No. 2022-001. Internal Controls over City assets (Significant Deficiency)

Criteria

A good internal control framework is essential to providing reasonable assurance that organizations are achieving their objectives. Such objectives include, but are not limited to, utilizing public resources in compliance with laws, regulations and budgetary limitations. An adequate control framework will provide information that helps detect errors and fraud, and provides reasonable assurance that financial reports are accurate. It will limit the opportunity for theft or unauthorized use of assets, including cash, inventory, and capital assets.

Condition

Testing of certain inventory areas at the City revealed a lack of controls over inventory. Specifically we noted that certain fuel storage tanks were not properly secured and monitored by City personnel.

Cause

The City's internal controls currently do not provide adequate controls to identify, or detect and correct, the deficiency in internal control on a timely basis. The lack of adequate controls adds additional risk of misappropriation to the City's assets could go undetected.

Effect

This deficiency in internal control exposes certain assets to increased risk of misappropriation.

Recommendation

We recommend the City implement controls to reduce risk of misappropriation of certain assets such as, but not limited to monitoring of fuel usage activity in each department and development of internal audit procedures to monitor the activities of various departments throughout the year.

Management's response

Management concurs. Several discussions have been held over the past year regarding fuel, city vehicles, take-home vehicles, improved monitoring of vehicle usage and potential vehicle tracking, improved monitoring of fuel usage, etc. Those charged with governance will make every effort to ensure city property and inventory are safeguarded against loss. Additional pin-pads will be purchased for the bulk fuel tanks that are not currently equipped with such. All city vehicles will be required to use fuel cards and will be required to enter mileage with each use of the card. Take-home vehicle policies will be re-evaluated and justifications for each will be reviewed annually to determine if such is warranted. Vehicle tracking options will be researched for a cost-effective option to implement city-wide to further safeguard city inventory and assets.

Section III. Federal Award Findings and Questioned Costs

None reported.

City of Gallatin, Tennessee
Schedule of Prior Year Findings
June 30, 2022

Financial Statement Findings

Finding Number	Finding Title	Status
N/A	There were no prior findings reported.	N/A

Federal Award Findings and Questioned Costs

Finding Number	Finding Title	Status
N/A	There were no prior findings reported.	N/A

Compliance and Other Matters

Finding Number	Finding Title	Status
N/A	There were no prior findings reported.	N/A



Management's Corrective Action Plan

June 30, 2022

The City of Gallatin respectfully submits the following corrective action plan for the year ended June 30, 2022. The findings from the Schedule of Findings and Questioned Costs are discussed below. The findings are numbered consistently with the numbers assigned on the schedule.

Significant Deficiency

Finding 2022-001

Internal Controls over City assets

Person Responsible: Mayor Paige Brown

Action Planned or Taken:

Several discussions have been held over the past year regarding fuel, city vehicles, take-home vehicles, improved monitoring of vehicle usage and potential vehicle tracking, improved monitoring of fuel usage, etc. Those charged with governance will make every effort to ensure city property and inventory are safeguarded against loss. Additional pin-pads will be purchased for the bulk fuel tanks that are not currently equipped with such. All city vehicles will be required to use fuel cards and will be required to enter mileage with each use of the card. Take-home vehicle policies will be re-evaluated and justifications for each will be reviewed annually to determine if such is warranted. Vehicle tracking options will be researched for a cost-effective option to implement city-wide to further safeguard city inventory and assets.

Anticipated completion: 2023